

Final Hearing
Attendance Notes

19th to 28th February 2024

Attendance Note – Zahmoul Final Hearing

Client: Zahmoul

Matter: ZAH01.1

Date: 20.02.2024

Time: 09:30

Initials:

J - MacDonald J

ACKC -Alexis Campbell KC – Counsel for Respondent

Sassa-Ann Amaouche – Counsel for Respondent

BMKC - Brent Molyneux KC – Counsel for Applicant

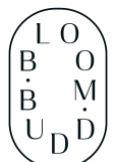
ZB – Zoe Bloom

MP - Marlon Pinto

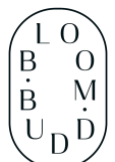
	10:34
BMKC	Introducing everyone. Can I apologise for the gross lateness of my position statement, Ms Zahmoul tried to confirm it. Difficulties of IT in her approving it. No real excuse but explanation of the lateness in the day yesterday. Whilst you have seen Mr Zahmoul's statement, you won't have seen my clients, they haven't had an opportunity to read it. My client's s25 has fundamentally been prepared by my client herself. Going to ask for an hour, to have the opportunity to skim it, so counsel can determine whether to tell you not to read it because it is inadmissible
J	I haven't read it – given its lateness you will need permission, I will not read it until I've given permission.
ACKC	I anticipate in the next 15 minutes I will have reviewed it and be in a position to say whether you will be able to review it.
J	There is an updated SJE report. I will take a hard copy.
	Hearing paused at 10:38
	11:38 back in court
BM	Thank you for the time you have given us, I know I will require to take instructions and reflect more broadly on where this will go.
AC	Didn't want to keep you waiting, having read the [s25] statement quickly, I don't think it will prejudice our examination of the statement. I object to the statement being admitted in its current form, want all conduct redacted. Paragraphs 9-26 are all under the heading conduct, you made directions on conduct pleadings, W has had opportunity to plead conduct, it is not permitted to use a s25 to further expand on something dealt with elsewhere. My client has difficult reading long documents, and reading English, he hasn't yet had an opportunity to read this. He is content for the statement to be brought in with the redactions. Those paragraphs are very easily under conduct. The second part is behind the statement there is 110 pages of exhibits, some of these are tables which we have seen before but look slightly different, need to review this. and there is effectively another statement. 35-40 are repeats of what is in the bundle they should come out. Statement in exhibits should come out. Reserve the rights to



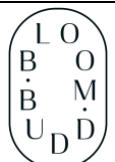
	consider 41-53, 54-56 is a statement from a US lawyer, it presents a legal document from a lawyer, it's an attempt to adduce expert evidence, there is a risk that this is waiving privilege. 60 onwards is a statement from an accountant, Jeff Wilkinson, one 13 th February and one 16 th February. You gave clear directions about expert evidence. None of this evidence was served near the time limits. They should come out. Then there are more tables, I reserve my position on them, at 83 there is another affidavit from the wife. It needs to come out. There are a number of detailed tables and evidence which needs to come out. Either whole document is not admitted or the body of the statement except conduct can go in. I can understand the need for the parts about income needs. Exhibits, Ms Amaouche and I will consider the more detailed documents overnight and discuss with Mr Molyneux.
J	Yes
BM	I didn't get a complete note of what needed to be redacted, so will need to speak about that. My client feels passionately about this, the nexus between feeling her voice has been heard and her capacity to take part. She was extremely distressed at finding out the 11 th hour that her s25 would be redacted. I understand everything Ms Campbell says about repetition. Can't apply to one and not the other. It would be wrong to redact her statement and to leave the husband's statement untouched. If you look at Mr Zahmoul's statement, already in the court documents, on page 3 at paragraph 16, background, initiated relations with professor Stebbins..despite my awareness of her indefinitely' [BM reading statement paragraph 16]. Paragraph 67, conduct, [BM reading statement] page 71, he attempts to attach a transcript of a conversation with his daughters, he has done what he is accusing Ms Zahmoul of.
J	On time – timing brings wife's statement well outside the rules,
BM	Principle objection is not the lateness, it is what is permissible. What is good for Mr Zahmoul is good for Ms Zahmoul. They should feel their voices have been heard. She would have to take notice of the court, but it would feel her with unhappiness and regret if she were not able to set out the background. She says this is much a part
J	I have heard evidence regarding conduct, it is set out in documents which were filed in sufficient time to other side
BM	She focused on financial conduct in her conduct statement, my client wants to set the record straight in terms of marital conduct. The advantages to the parties and the court being able to get on with things, you attached whatever weight you want to or disregard what you want to may outweigh the technicality of sticking to the rules
AC	There may be some substance in what BM says, there comes a point where there is a direction, if this had proceeded as ordered, we could have met and agreed as to what should have come out. It is not fair for BM to say you should deal equally for these statements, you made directions as far ago as November. Wife didn't file conduct statement until 16 Jan. Then today, I have sight of another 4 or 5 pages, it is not appropriate for BM to stretch out what should be permitted.
J	Do you invite me to read the statement or make pronouncement, I have not read it.
AC	You don't need to read it, I say conduct should be ignored, BM says allow it because the husband has breached a little bit too.
J	As a preliminary matter I am required to determine whether the wife's s25 statement, which was filed late this morning, should be admitted in part or in full. Basis of decision in part 22 of FPR 2010, allows to produce a document when



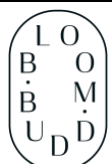
	they have failed to comply. Here it's a failure to comply with the courts directions and to the contents of that statement. AC on behalf of the husband says there are a number of features which should not be permitted. [x] has been dealt with elsewhere. AC informs the court that the exhibits to that statement also deal with a number of matters which seek to bring in matters by the back door, in particular AC says there are two statements within the statements, which are in the exhibits but are not an exhibits. AC says the statement from the lawyer and the accountant constitute expert evidence and circumvent the need for a part 25. Though she doesn't go against the statement...Paragraph 21 dealing with conduct, exhibit statement of wife and affidavit, statement of accountant and lawyer should be removed. AC reserved her permission of the tables. Mr Molyneux in response points out the importance to the wife given the case and the history for this coming to a proper outcome utilise the time. BM says the conduct in those statement are not dissimilar in terms to conduct allegations made by H in her statement. I am satisfied that the exhibits to the statements should not be permitted at the final hearing, those exhibits would have had to be disclosed to H in a timely fashion, not appropriate to circumvent part 25. You cannot exert documents which are in the form of a report. Likewise a party cannot file additional statements to a statement as an exhibit. Those matters must be removed. In respect of the tables, allow further time for counsel discussions. Matters concerning conduct, they can remain in the statement, I am not convinced, the matters set out therein if they match the husbands statement, are going to particularly assist the court with the determination of the case. Having regard to not disrupting the timetable. I admit paragraphs 9-26 in the statement.
AC	Paragraph 21 effectively lifts one of the affidavits, that can be redacted
J	Yes thank you
BM	We can start
J	Had an opportunity to read those parts, latest report in full.
	12:03 Mr Pinto joins
MP	Taking the oath
BM	Tell the judge full name and address
MP	Confirms name and address
BM	Latest iteration of 16 February we will focus on. You will understand that maybe the others don't have familiarity. Distinction between account and wallet?
MP	Wallet is like a digital wallet, like a leather wallet in the real world. Account is like a bank account. Leather wallet would be a custodial wallet, account would be a bank account. Wallet address is different from wallet. A wallet could have 100s of addresses.
BM	Explain to his lordship, if he was opening an account wanted to buy a bitcoin and transfer it how would he?
MP	Use a service provider like Coinbase, similar to a bank account, they are like e.g. NatWest,, they would set up a wallet for you, you would put in address and execute that to sent the amount to someone. They create an account for you.
BM	Then you purchase your bitcoin.
MP	Yes. Self-storage wallet, where you have a custodial wallets, you could have a USB stick, you could create a seed to generate a wallet. One in one thousand years to come up with the C phrase to break it.
J	Seed phrase will lead to creation of the wallet?
MP	Once you have access to the wallet, you can keep regenerating it



B	What does that mean?
MP	If you had the wallet and no longer had access you could use the seed phrase to generate access to the wallet
J	You then have two wallets which have been generated by the same seed phrase, both go towards the bitcoin
MP	To bring it further, I have dealt with certain fraud and the fraudster would use the seed phrase to generate the wallet.
BM	Coinbase and self-storage are entirely different, Coinbase they keep the wallet for you, self-storage you take more risk
MP	Correct. If you own Coinbase, you can be hacked you don't have ultimate control. You can take self-storage offline and you have control, offline, hot and cold
BM	You forget your cold storage log in, you're in trouble, you have crypto that no one can access
MP	Yes. Multibit is self storage wallet
BM	Is there any way when you look at a wallet address, if you can tell it is cold wallet, coinbase?
MP	Though analytics you can, you can look at perhaps the change address for every transaction and if its to a known address. You can't always look at cold and hot storage
BM	Crypto is totally separate to government, offers complete secrecy if you want it to
MP	If you want it to yes
BM	If you saw a wallet address in isolation, would you be able to tell who it belongs to?
MP	Ultimate answer no. If you just had wallet address abc123, you would not tell, someone may be a victim of fraud from a wallet address and post it online and then we would do the research and try and find out who it belongs to
Bm	Old fashioned detective work. If J wanted to provide bitcoin, you wouldn't know who sent it but you could go to the service provider and try to find out the owner of the account
MP	Yes
BM	You also have KYC info
MP	Some service providers take KYC some don't, some offshore are not as stringent as the likes of Coinbase.
BM	Page 9 of most recent report. You say in relation to all of these transaction in coinbase, there are lots of smallish transactions, they reveal the same amount of assets..except T6..remain unspent in the wallet..trying to educate how crypto works to individuals. You show the little wallet on page 10 'no onwards transactions of these addresses.. no other wallets that have not been disclosed' would be like paying £50 into multiple bank accounts and being able to evidence that there were no withdrawals from the account where they were deposited to. Page 11 '..that Mr zahmoul had been sent assets to'. I think explanation, Mr zahmoul was educating third parties?
MP	Yes
BM	You say at page 5, fifth bullet point from the bottom 'no reason to contest these', that is your opinion, not your expert opinion, its just you saying seems plausible to me, not expert, is that fair?
MP	That's fair
BM	He has transferred 60000 dollars into wallets and they remain there, but what you can't do is tell the judge who they belong to because you just don't know
MP	Yes



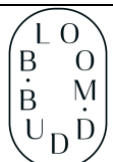
BM	There would be no way to know the recipients of these bitcoins
MP	Only other way if every person was spoken to and they showed them accessing the wallets to show they were in control.
Bm	If we look at page 12, one transaction was queried, transaction 6 – all balances par transaction 6...sent to BC1QG..unless it was to amalgamate' what does it mean?
MP	If you look at all the addresses, Mr zahmoul said for educational purposes, wallet transaction 6 if that was for educational purposes the person owning that wallet would leave it there or extract onto a platform. To leave it there would not make any sense
J	What's the forensic basis of that decision/conclusion
MP	I don't think there is a forensic opinion that sits behind that, its just my experience of crypto, they would not want to move them on unless to cash out of amalgamate
BM	Its lay opinion rather than expert. Initially Mr Zahmouls explanation was that it went to his daughter, but it wasn't true as he told you. His explanation has changed. You through instruct wanted to press him on this – on 8 February, he says there was an error ' I initially mistook this transaction due to closeness to the birthday, it was to Olivia' you say ' based on the above, he did not make a transaction to his own account, and they are not associated to his own account. We know they have not been to his account. We don't know who they have gone to, the only way to know would be that if the wallet it was received to was a coinbase account and we did a subpoena to get the KYC.
MP	It is not a service provider – I can use [x] platform
BM	Bottom of page 14 'beneficial to... pre-2019' I want to understand the limits of what you have done – nothing you have seen could answer the question, does Mr Zahmoul have crypto assets pre dating 2019 which he has either transferred to other parties or kept himself?
MP	Can you repeat the questions
BM	The nature of crypto, if he had transferred pre 2019 which touches on that wallet, it could still be there from 2019. If he had crypto in 2016 or 2015 or 2017 and he hadn't transacted with it, then it could still be there on that scenario
MP	Possibly, on that scenario yes
J	The impression I get from the evidence so far is that the surrounding info is important as there is so little you can tell from the blockchain information
MP	Yes, when we talk about the limitations on the blockchain, with the anonymity it provides the limitation, a lot of it is geared against self-disclosure.
BM	If you had gone back to 2015, you would have a clearer idea of transaction then
MP	Yes
BM	Page 15, transactions into Mr Zahmouls 'ascending wallet could be controlled by someone else other than Olivia' 1AWKG, Ms Molina has said is attributed to her. Attributing that to her comes from her saying yes it's my wallet, that's how you know - is that fair?
MP	That's fair
Bm	Page 16,...0.08 bitcoin on July 2018, it has now been provided to another day. 1GQYK..768000' could recognise your analysis of 1GQ..whats link between that and 1AWKG?
MP	1GQY is the sending transaction for 8, that forms part of same cluster for 1AWKG
Bm	1AW is the one Olivia says is hers
M	Yes



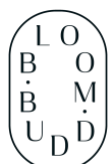
BM	Whoever controls 1AW has made 57 transactions, 768000 dollars of bitcoin transactions during the period that you have analysed. Ms Molina has transacted 768,000 yes?
MP	Yes
J	Would the reading of the bitcoin wallets be used nefariously if this is published?
MP	Generally use the first 5 letters
BM	Next few pages, you look more closely at Olivia's account, at page 21 you conduct some similar analysis. 'total of 142 bitcoin have been traced through this cluster'. The nexus between these clusters and Olivia's wallet? As I read this 1072 bitcoin going through that cluster of addresses
MP	Cluster addresses we look at the green circle of the cluster. When we look at the green circled address, we can see that that address is only 1 step away from the cluster controlled by Olivia. There are transactions from the green address to Olivia's address. When we look at the address which appears as the white dot, that also has a direct link to that address. Could give the reason why there are a large sum of bitcoin being transferred.
BM	Ms Zahmoul does not think Ms Molina owns this wallet, in today's money it is a lot. What evidential value does this have to linking Olivia's wallet to this volume of transactions.
MP	I would say there is a direct link which we can see from the green circled link to Olivia's, but I can't give the reasons for these transaction. I can't give the reason as to why the large sums went through the cluster. There is a link somewhat between the two.
BM	Is it possible to link it to a banking analogy?
MP	Would be if judge has 2 million GBP going through your account, you have a link to me, you sent me 2000, shows you have a link to my account.
BM	Transaction 8 at page 22. Within 1AWKG cluster. 'This wallet also has a value of zero...two addresses have sent money...it is possible they are controlled by him or another entity...specific transaction' only way to be sure would be to go back to coinbase and get the KYC, they would tell you who is the account holder? Only way to know?
MP	Yes
J	The question of the exchange, the white dot, in terms of assuming the exchange may have a large volume of movement, can those movements follow any route on the spiderweb or does there have to be intention?
MP	Exactly that yes. We can't see with an exchange any internal ledgers and any transactions internally. It would have to be executed by someone with a coinbase account who says I want to send x bitcoin to an account
BM	At page 23, this 15k cluster, 148 bitcoins traced through it. The letter on 14 February, 15h5k not associated with Mr Zahmoul, 'it is suggested it may assist in showing who is in control of 15h5k' you were suggesting coinbase might be able to say who it did belong to?
MP	Almost reverse of earlier, asking who did make the transaction and getting the KYC
Bm	Possible it is Mr Zahmoul custodial wallet
MP	Yes, we don't know
Bm	Although 'an application should be made should this be required' what can we deduce from that?
MP	With those transactions going to the yellow dots, if Olivia is the controller, each of those transactions if they have KYC information will show who were the recipients.



BM	Page 25, transaction of 90 euros. 'The above transactions shows that the wallet address was spent' transaction out of Mr Zahmoul's wallet to ...Ms Molina confirms this is her address. Olivia is saying this wallet is my wallet. She seems to have a number of different wallets. You say 'cluster of route addresses 3n69e' What does this mean, was it a typo?
MP	I believe it is a typo.
BM	So we are looking for a further reference to 13gat somewhere else because I can't find that. It would be helpful for judge to understand if this other account has been the recipient 786,000 US dollars. We see in the first paragraph that that wallet address appears to be her wallet address. I need to understand whether you meant to say it went though D...
MP	That would be something I would have to check
BM	Leads onto another question – can we adjourn now
J	How long do you have left?
BM	30 minutes left
AC	I have atleast an hour possibly an hour and a half
J	Back at 2pm
	12:51
	Hearing resumed 14:01
BM	You were kindly going to look at 25, to see what it should have said
MP	Second para 1GQYJ should be 3DAGT
BM	Shows that 3DAGT dated 20 October, Ms Molina confirms this is her address
MP	I can't recollect
BM	Was the answer to one of your additional report October 2022. This address seems to have made 20 transferred, we saw the previous account which was apparently Ms Molinas account, we now see this wallet with 36901 passing through it
MP	That's correct
AC	Passing through?
BM	Transferred received, sent 703901. I am going to stick with my calculation and your agreeing with me
MO	Yes
BM	This transactional bitcoin, Ms Molinas email at 28 of your report, at the bottom of the page, I want to confirm the following wallets. 189UKP..october 20 th 2022. This is where is gets confusing, in the letter page 28, the payment made to Miss Molina, 13 th February, absence of any formal record, they spend time in new York day prior to her sending 10 bitcoin to him. Actually it was directed to Forte securities. 25 th October 2019 Mr Zahmoul transferred a further.. including a letter from forte securities showing the ownership of the wallet, they claim the wallet WDGAT is theirs. Page 29 you see the letter from Forte securities, 3DGAT. We then see some emails from 2019..' The emails 'once you want to sell let me know' [BM reading email chain on page 29]. We've got 2 people claiming that is their wallet, Mr [Kassis] at 29 and at 28 we have something from Molina saying the wallets are mine and mine alone. Are you able to tell the judge who's wallet it is?
MP	No
J	The two communications are 3 years apart, is there any way the wallet can move from one person to another in that time?
MP	Can they transfer the seeds and giving them access, it would be a question of who owns the wallet
BM	Any pointers that you can tell us who owns it?



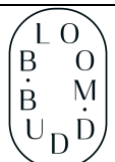
MP	From looking at the blockchain no, only way I can do is see if there is any direct links through exchange either inbound or outbound to that wallet.
BM	A lot of self certification of the assets, you only know if someone says yes its mine.
MP	From an investigative point, yes.
BM	Is there any independent source info that could cast some light
MP	Other way would be to have Miss Molina in the court room or Mr Casis and ask them to access the wallet
BM	Only one have the key
MP	Well they could technically both have the key
BM	As a matter of theoretics but not reality
MP	Yes
BM	Focus of this has been Mr Zahmouls coinbase transactions
MP	Exactly
BM	Did it include coinbase pro
MP	Yes coinbase and pro
BM	Difference?
MP	Coinbase pro is more of a trading platform, ultimately you shouldn't be able to see transactions on coinbase pro without it being a coinbase account
BM	In your experience do financial institutions have these crypto wallets themselves, how would they hold their assets – the email from Mr Kassis. I want to understand whether it is normal or abnormal
MP	Cant comment on that
BM	Point 30 'olivia bpt exchange, letter from Ms Molina on 20 th October she confirms this is her address..she confirms this is her address' in my opinion this is likely to be correct..1AWK traditionally wouldn't seem reasonable he would send himself things..is this a matter of expertise? Why not reasonable from a crypto expert that he would send himself crypto from his own account
Mp	From a personal opinion I would not have sent it, from a professional opinion he could or could not send them to himself.
BM	So he could do it, at the moment all you can say is this is the evidence
MP	Exactly
BM	Page 32, more transactions to Olivia Molina, three lines down. 'Transactions 14 and 15 can be justified as from Olivia, 15 has been provided for as from Mr Zahmoul as Olivia..' same point, all self-certification, no empirical said way of establishing who has sent these
MP	I agree
BM	Page 71. In the interests of time, only going through a few transactions. We have your observations in relation to the multibit address, analysis of this address, 24 bitcoins have been sent to this address..when it was first active was May 2015. In your November 2022 report..was there an explanation of who's bitcoin they were or where they were going?
MP	Not that I can recall
BM	We then see what the transactions were in relation to this address, the counter parties this has interacted with. Zappo.com 'it is possible Mr zahmoul has an address at a mining company' he may have an account at Zappo, court order may reveal the owner of this assets...Gemini exchange address' I want to be clear about the numbers, it is actually 10.964, page 71, sent figure the first one, and then at the bottom the transaction take it to 10.9 sent to Zappo.
MO	Yes



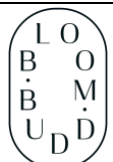
BM	As far as you were concerned these were bitcoins leaving Mr Zahmouls account but he wasn't able to identify save that it was a zappo account
MP	Correct
BM	Now transpires that this was his account they were being sent to
MP	Without reviewing the disclosures I can't definitely say
B,	So much of identifying the recipient is about the honesty or the recollection of the recipient.
MP	Correct
BM	You are not able to say who is the probably recipient of the Gemini
MP	Yes
BM	If we now know this went to Mr Zahmoul, you wouldn't have known. The thing about the crypto world, its so invisible as to who owns what, you are dependant on the honesty and integrity of who owns it
M	Partially correct, what you have said is factually correct, but when we are looking for the off ramp transaction
Bm	The linked transactions that give you a clue of the scale of someone's useage
M	No where the bitcoin is sent to an exchange, where they want to transfer it to currency
BM	So its only the end game, where you want to get the cash that gives you the info
MP	Yes
BM	If you want to sit tight, its hard to tell how much you have
MP	Yes I agree
BM	If you are an early adopter, then its even more difficult to tell what crypto assets you have
MP	I cant answer that, it is down to the individual
BM	That might be all I have to ask, [checks with NZ] all questions asked, thank you
AC	Couple of preliminary things if I may, you met with Mr Zahmoul this year, last meeting previous was June 2022
MP	Yes
AC	During your interactions with Mr Zahmoul, how would you say you have found him?
MP	Helpful, timely
AC	Do you fell he is trying to hide something from you?
MP	No
AC	Have you felt that Mrs zahmoul has been helpful in the same way?
MP	Not had direct contact but yes
AC	How often has she tried to contact you since the instruction?
MO	I would say 10-15 times
AC	This year how often has she been in touch with you?
MP	There have been influxes of emails on 3 different occasions
AC	Have you had to contact her instructing solicitors and ask her to desist
M	Yes
AC	Did she listen?
MP	No, contacted me in the last 2 weeks
AC	You are here based on experience, how long in crypto?
MP	4 years
AC	Experience of looking at personal accounts?
MP	I have assisted in civil and criminal courts, both individual and companies looked at



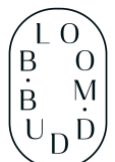
AC	The wallet is a bit like a physical wallet. Is it fair to say if we were looking at bank accounts, you can say I have seen your NatWest account but it doesn't show you don't have any other accounts
M	Yes
AC	It is hard to prove a negative isn't it
MP	Yes
AC	The only way to know would be to write to every single exchange
MP	It would take a lot of effort to do that
AC	We have 5 years' worth of data, if I was looking at bank accounts I would be looking for a link to an account that hasn't been disclosed, that's what you have been doing
MP	Exactly
AC	Looking at 5 years of Mr zahmoul's data, anything to suggest he had another account?
MO	Initially there were questions, but now Mr Zahmoul has come back to me
AC	He has given you all of the data, a complete account of all of the accounts he admits to?
MP	Yes
AC	So if he did have hidden accounts they would have to be kept completely separate from all the other accounts he had given you?
MP	That would be the assumption yes
AC	After your meeting last June he gave you a comprehensive account of every account he has
MO	Everything I have asked for he provided, from June 2022 to Jan 2024 there is additional data which shows additional account
AC	The additional zappo and gemini, you have now had the complete data for these?
MP	Yes
AC	BM has said that bitcoin tis for someone who acts undercover, but the blockchain is publicly available showing every single transaction
MP	Yes
AC	So you can see the transaction timing and leaving and arriving, you can see it going to an account, check incoming and outgoing on the blockchain
MP	There are sometimes where there is a slight discrepancy with timing, but you would normally be able to see it going across
AC	The fees charged by the platforms and the exchange of bitcoins
MP	You would also see the change address, it has assisted me with the investigation. If I had a wallet and wanted to send you 5 bitcoin I would send 10 and then 5 would come back to me. When we look at the multibit wallet [x] UTXO is an unspent amount
AC	Page 20 of your report, this is an example of wallet addresses receiving payments, the address on the left and payments on the right. One of the questions but to you is that you don't know who the wallet address belongs to. You could enter the link and go on the public blockchain to find the connection, here Mr zahmoul went and provided that information. I will find the page reference for your lordship. 3942 in our bundle. Mr Zahmoul was able to give you the direct links – 8 transactions on page 20, he says he can identify 5, he has given the specific links. In the bundle, it takes you to the blockchain and it. I know they are correct, apart from 1 there is an extra dot. He was able to check and was able to identify who were in those transactions. Is it also right to say these days the crypto market is more carefully regulated than it used to be?
MP	The last 2 years yes



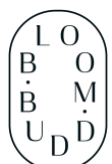
AC	Coinbase and Binance have quite formal regulations, standard things from a bank such as KYC, they are quite careful to make sure if you have an account it belongs to you
MP	Yes
AC	Coinbase and binance only allow you to have one account per person
MO	Yes
AC	You used to be able to have two accounts, one in UK and one in US but not anymore
MP	I can't say
AC	The best Mr zahmoul can do is show you a comprehensive picture of all his trades and movements, that's best he can do in proving his movements.
MP	Yes
AC	Bundle at 3969, you can see date January 15 2024, Mr zahoul writing to binance and giving his details, he is asking for an email clarifying the accounts he has, he acts for details of the accounts, jurisdictions and to see whether he has any accounts, any jurisdiction. 17 January, Mr Zahmoul, 'I would appreciate you confirm all the accounts', he chases it, if you can scroll through that, on page 3965, 'please find enclosed a copy of your personal data' Binance have given a complete view of all the accounts he has ever had. 3948, should find an email there in green, 11 January 2024 Mr zahmoul to Miss Marsh, general counsel at coinbase third paragraph 'documentary proof, please can you reiterate the details of any and all accounts' 'that account has since been closed, transferred to karim@.net' at 3647 you can see repeat of this requests, further requests at 3646 and we have the coinbase team saying showing the wallet address. They have responded and as I understand they have given a complete run of all the addresses Mr zahmoul has had. Same can be said of Gemini, you have seen 100% of the transaction of that account
MP	Yes
AC	Seen everything on the zappo account from the date of inception to now?
MP	Yes
AC	Mrs Zahmoul was able to find an expert who gave a list of accounts that Mr Zahmoul might be connected to, we can see it at page 2135..this is a detailed account that Mr Zahmoul gave to Cipherblade. Cipherblade put to Mr Zahmoul a list of accounts that had somehow touched his account.
Mp	Partially recollect, I do recall seeing this.
AC	They reported some possibly connected accounts, binance, gateIO, OKX, bitfinex and 33 bitwire, blockwire..uphold and zappo. These were the accounts that had been thrown up as connected. Mr Zahmoul was able to check and give a conclusive report of every one of these accounts made. With binance, he used to have accounts and provided statements for them were you aware of that
MO	Yes
AC	Nothing from the statements that he was hiding any accounts?
MP	That is correct
AC	The bitfinex, you could see that account had never been used. He was able to use Bittrex accounts, and was able to show it hadn't been used since 2015, do you recall that?
MP	Yes
AC	650 paycoins there worth about \$2 because of fraud [of the ceo of Bittrex]
M	Correct
AC	He was able to show he never had an account with X
M	Correct
AC	Cumberland is for corporate institutional platform



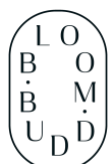
MP	Correct
AC	They didn't reply, not surprising.
BM	Are these questions for the expert, we can all read his statement but are these questions for the expert?
AC	It is difficult to prove a negative, you have been drawn by BM to certain transactions, you must also be shown transactions that throw nothing up. He answered everything, left just zappo and Gemini. With Zappo, Mr zahmoul was unaware, can we look at 2280 please. You can see at 2283, letter to the corporation.2281 you can see the Gmail address, 'sorry our services no longer available, we would love you to reactivate your account.' We can see at 2284, 'I did not know I had balances..please can you explain the entries' 2285, 'balances were internal when business migration occurred'. Can we look at the comprehensive zappo account at 2287, we can see the whole transaction history, the third column first two entries are the migration and then BO, look to the far right there is a tiny transaction I am told its likely to be a fee. Activity starts on the third line up, starts on 26 th October, we can see if we follow up the trading there. It ends 4 lines from the top, 7 th November 2017. Mr zahmoul didn't have any activity on this account from 2017
MP	Correct
AC	BM asked you about the multibit wallet, brought to your attention by cipherblade. Mr Zahmoul was able to give you a comprehensive account of everything that went through that account. I have made reasonable efforts 'my friend mike D..is Washington state in a mining farm' He gives evidence of 1GEQT at 2290. Full account from 3 rd January 2015 through to March...we can see every single transaction carried out'. 2297 we can see some money being sent out, that wallet was never used again, he has revealed that wallet, shown every transaction. 2299, this is the second wallet, this is called 1LVSG, we can see the period of time, we can see a 1.42 dollar balance, the money from the old wallet has gone to the new wallet
MP	Yes
AC	Then some payments in, fast forward to 2311, these are then actions, these are 17 transactions that we can see. Mr Zahmoul was able to explain every single transaction. He is able to identify every single transaction and where they go. It shows some went to his coinbase account
MP	Yes
AC	Some went to the Gemini
MP	Yes
AC	And some went to an orphan wallet, see at 2316. We then have coinbase receipts at 2314. The orphan wallet has been lost and he cant access that.How often does that happen?
MP	I can't give a definitive. It can happen to individuals who have numerous wallets
J	Is there a way of keeping a central register of what you have?
MP	You buy devices to manage all of it into essentially one wallet, but security issue is if you lose the key or the security breach you have lost all your assets. Large investors separate their assets for security reasons
AC	Quick google says 30% of bitcoins are lost
J	Can't trust google
AC	We can trace money going into the orphan wallet, and apart from that everything else was traced
MP	Yes
AC	I want to look at specific transactions we have been taken to, page 12 of your report. Looking at the report, Mr zahmoul thought it was a transaction to his



	daughter for her birthday due to the date but later, page 14 he was able to confirm this was payment out to Olivia Molina his former girlfriend, it was a payment to her to repay her for expenses in Dubai of \$2500. You are aware?
MP	Yes
AC	If its not able to prove the recipients' details, it will help to have contemporaneous details?
MP	Yes,
AC	So if I say at the time here is a WhatsApp from my girlfriend saying that you for the payment at the time, that suggests the recipient?
MP	Yes circumstantial evidence adds up
AC	Page 16 of the report, you refer to the wallet the 1AWK we are referring to this as Miss Molinas account. 39 bitcoins have been traced through the account, The exchange rate of bitcoins to dollars, is that the value at the time or the value from today
MP	Value at the time
AC	What period?
MP	During the life period of the route address
AC	Could be anything from 2008 to now, hard to tell if it's a lot of money
J	Contemporaneous evidence – is there a central thing used in terms of time zones. The WhatsApp is fairly contemporaneous in terms of time
MP	Eastern standard time
AC	We can see the WhatsApp 31 st July 2019. I am told the time zone is ZMT. If we have a look at page 23, this confirms the money transferring through this account is not a coinbase account, the query BM is raising is these nexus points of interest, these are somehow associated, they could be Mr zahmouls, but they could be anyone's couldn't they
MP	Yes
AC	The fact that an associated address has 40 million worth of a trade, it just has an associated with a wallet with lots of transactions going through it. If I sold a handbag for 1 bitcoin to a Saudi princess I would be associated with her account of lots of movement doesn't mean I have a penny of it
MP	Correct
Ac	We know from page 29, Mr Casis at Forte, although it is not definitive, the email on the left, the 3DAJ address, the consistent transfers, it is almost certain that that transaction was going to Mr Forte
MP	Yes
AC	Unless there was very careful fraud afoot to assist Mr zahmoul in lying, the address shown here and on the transaction are definitive
MP	I would agree
AC	Page 30, transaction 11 and 12, Mr zahmoul confirmed these were effectively payments in from Ms Molina in repayment of a debt. He made a payment of 85000 euros, and she paid him back in bitcoin. Assuming there is a payment from my client of 85000, he says this is her repaying him in bitcoin, we can see in the detail in red, we assume this is coming from the account we associate with her. You say it wouldn't seem reasonable that Mr zahmoul would send himself bitcoin. But from your experience, it is not likely that a user would send themselves from another wallet
MO	Yes unless you are amalgamating it
AC	First screenshot is 28 th October, she then gives the details, then on 31 st October Mr Zahmoul says 'I took the conversions you set' received 5 bitcoins, 31 st October 2019. Over the page we can see her sending in the small windows on



	the right, the payments second on 27 th October on page 30. In fact one is 26 th rather than 27 th – can you account for that?
MP	May have been a delay on the blockchain
AC	They look to be consistent, in relation to those we know on page 32 you were able to verify the cluster as 1AW.
MP	Yes
AC	On page 32 we have the transactions 14 and 15, 5.01 bitcoins being paid in, we know there was an argument between Mr Zahmoul, Mrs Zahmoul and Ms Molina at 3981 of the bundle. So you understand where this comes from, Mrs Zahmoul and Ms Molina got into a conversation and understood that Mr Zahmoul owed Ms Molina bitcoin and she encouraged Ms Molina to chase them. It looks as if Ms Zahmoul recognises that those bitcoin belong to Ms Molina. Scroll down, Ms Molina says bitcoin...price is reference and the date, 3983 you see 30 th January 60 euros. Mr zahmoul will say this is contemporaneous evidence of these transfers. From your position Mr pinto, that looks consistent, but you need something to tie it to miss Molina, we do have evidence of that?
J	There is no way of saying without the surrounding evidence of saying who owns them
MP	That is correct, yes
AC	3960 please. Evidence Mr zahmoul provided to verify the transactions he made to Ms Molina, February 2023, if we follow down we can see their conversations, he is referring to bitcoins he is about to send, bread wallet. 12 th July 2018, we see Ms Molina giving her address to receive the Valentine's bitcoin. Her contemporaneous letter, these WhatsApps show that they are contemporaneously that these are bitcoins being sent to Ms Molina
MP	That is correct yet.
AC	Page 34 you refer to the helium hotspots, he used bitcoin to purchase helium hotspots. Mr Zahmoul has explained that he and two friends were mining helium, you haven't had any investigation into that. That and chia are a bit more off piste
MP	Yes
AC	They are not recognised by coinbase?
MP	I'm not sure I can't answer that
AC	To summarise, all the documents you have seen from 2015 to date, all are comprehensive correct
MP	Yes
AC	You were not able to identify any missing assets
MP	Clarify, there were things that cropped up and then information was provided
AC	Are you content that looking at the information and the comprehensive statement there are no undisclosed assets?
MP	Correct
J	Thank you Mr pinto, that has been useful in what is a complex and new area.
	15:36 Mr Pinto left
J	I don't think it would be appropriate, move to the next stage tomorrow at 10:30
	Hearing ended 15:37pm





Attendance Note – Zahmoul Final Hearing

Client: Zahmoul

Matter: ZAH01.1

Date: 21.02.2024

Time: Hearing started at 11:00

Initials:

J - MacDonald J

ACKC -Alexis Campbell KC – Counsel for Respondent

Sassa-Ann Amaouche – Counsel for Respondent

BMKC - Brent Molyneux KC – Counsel for Applicant

ZB – Zoe Bloom

FS – Faye Simpson

	Hearing started at 11:00am
BM	We're back again, one or two housekeeping matters then NZ's evidence. Yesterday, you grappled with Miss Campbell's redaction of the witness statement, page 7 paragraph 21. I don't think you need 20 mins, paragraph with exhibit KZ7, a cut and paste and AC said given that it is a cut and paste of an exhibit there is no need for it to be in there, we don't need to have it in there. It transpires that it is expressed as a cut and paste, we cannot find it anywhere else in the bundle. My client deals within that in a light touch way, deals with an aspect you are familiar with in respect of money laundering and it feeds into her concerns that there may be forfeiture proceedings outside these proceedings, and she is worried about the US authorities by KZ's actions in the middle east, she sets out some extracts of exchanges with her and KZ. You could say it could be dealt with in her conduct statement, she feels passionately that you should read and add whatever weight you might add to that paragraph. The court should be limited by the questions that she should be asked. Very short examination in chief, questions then moved on.
AC	You have already ruled on this, the wife has made a statement, one of the exhibits is a separate affidavit and she takes a portion of this affidavit and puts in the main statement, the excerpt that is in the main body should be removed. You have made a decision and it should be taken out. We couldn't find this affidavit, we looked carefully and saw it the statement was made on 20 July 2021, when we checked the chronology and the private FDR was on that date, it was evidently produced for the private FDR, it shouldn't be produced in court proceedings. BM says there should be an opportunity for you to hear about forfeiture proceedings, all this does is records various dates about proceedings, its her recording of what her view is and what's been said. Impossible to verify where it has come from. Thirdly, this is already covered in the conduct statement. It is privileged, it's not reliable, you've already decided on it, appears to broadly have appeared in conduct.
BM	AC can't say that it was privileged, it wasn't for an FDR or tribunal, you should not make a decision on that. It was thought to be elsewhere within the exhibit to the statement, transpires that it wasn't elsewhere in the bundle.



J	I have already said yesterday it is inappropriate for statement to exhibit another statement, I understand that that paragraph comes from the statement. It follows that that paragraph should not be permitted. That is my ruling. Need 20 minutes to read redacted statement
	Court resumed at 11:40
BM	Before NZ starts, I would take her to each of the sworn statements. In terms of housekeeping, I would suggest this is agreed to your approval, Rosie to assist with the bundles.
	NZ takes the stand
BM	NZ you cannot take notes, you can take blank paper to write things down
NZ	If I want to refer to page numbers. NZ takes the religious oath.
BM	Tell the court your full name and address
NZ	NZ confirms her name and address at 3093 Teton Village.
BM	You have produced a number of statements and affidavits; those are already in evidence. The procedure now is that you will be asked questions with AC, there are a number of questions about Karim's s25 statement. There was a suggesting in KZ s25 there was an affair with Professor Stebbing, is that true
NZ	No
BM	Abortion as a result of the affair with Stebbing is that true?
NZ	Yes and no, we had 3 rounds of IVF in 2009, 2 were lost and 1 resulted in a foetus that had Edward's syndrome, the nurse gave me a...it was a result of IVF treatment with preserved specimen of the respondent.
BM	One of the disclosure yesterday was a multibit wallet, suggesting it came from you or ciphorable, was that correct?
NZ	The Gemini come from another part of the documents called Imerman on April 16 2021 sent to KZs solicitors, on 6 may 2021 he sent me a text message of the full documents that were sent to HFC, they are called Pinocchio, the other binders are UBS, the Pinnocchio are 200 pages it took me 400 pages to understand, because he sent them to me they lost their confidentiality statement.
BM	Rosie will be assisting you with the page numbers in the bundle, I am now handing over to AC
AC	Mrs Zahmoul, sure you understand that one of the first things the judge needs to do is to understand what assets there are.
J	You need to listen wherever you look, and listen carefully AC
NZ	I will look at her speaking, but line she is on is hard
AC	Judge has to work out what is available before he decides how to share it. Am I right that apart from what KZ says there is at least 141 million missing.
NZ	I am sorry
AC	Is it your case that the assets are at least 141 million?
NZ	The nature of crypto
J	You need to listen to the question and answer what is being asked.
AC	Is it your case that apart from what KZ says is in existence, there is another 141 million?
NZ	Yes
AC	Can we first look at what is in existence, do you know the copy of the ES2 – have you had a chance to have a look at it?
NZ	Yes
AC	Do you agree with it?



NZ	No
AC	Where is the column with your figures?
NZ	You are asking me assess access of the ES2
AC	Next to it there is another column to say what you are worth
NZ	I do not have assets of my own, that I can control over which I have visibility, there is no column on the wife's side simply because there is the disclosure process that the proceedings have turned because there is no details.
AC	Do you accept there is a property in Wyoming that you and Mr Zahmoul share ownership of?
NZ	Yes, don't know what they are worth
AC	Do you accept the property you live in is worth 4.72 million?
KZ	On 11 May 2022 we received appraisals, rocky mountain appraisers, they are close in value. Yes.
AC	I am not clear if you accept [the 4.72 million valuation]?
KZ	I accept the formal valuations in May 2022, they are 6 months in date and then they expire, we have asked for updated valuations. I accept those May 2022 valuations, but they need updating.
AC	Bundle at 640. This is an order made on the last occasion, ordered your solicitors to file a bundle with an ES2 in it. You were ordered to file your version of this document in the bundle, what is your explanation of not doing what you have been asked to by the judge?
NZ	Is the question why do I not comply?
AC	This one specifically, the bundle shall include the ES2, by that date we should have had your version of the ES2, why did we not have it?
NZ	I work 24 hours a day it is very hard for me to keep up with everything, I don't have another answer.
AC	567 of the bundle. Paragraph 21, the parties shall exchange updated open offers on 20 January, you didn't do an open offer – why not?
NZ	To provide an open offer, its very difficult to provide an offer when what I received was nowhere in the universe of what is true, we are not even overlapping so I would be wasting your time.
AC	Your counsel made essentially an open offer in their position statement, you want everything. It was ok for you to say that on 19 th February 2024, why couldn't you say that on 20 th January?
NZ	I was doing to work, making my way from Wyoming
AC	You were too busy.
NZ	Not too busy, I was busy with orders filling his order, I have to prioritise, I have to do conduct and section 25.
AC	Do you understand the purpose of these orders are so Mr Zahmoul can understand your case?
NZ	I do understand, I apologise, we are going to go through the orders outstanding and there is a list.
AC	On the schedule of assets, Mr Zahmoul has put forward there is a difference in the tax we think is going to have to be paid, BM says there is about half a million less in tax than Mr Zahmoul, on the schedule we are about 850000 apart, do you accept that?
NZ	Which taxes are you referring to?
AC	Answer the questions please
BM	She has got to be able to ask that, she needs clarification



AC	The figures in the ES2 and BM's statement are 850,000 apart – do you agree with Mr Zahmoul's figure? If you look in the left-hand column, looking at 240 Frost Street, if you look under there we can see there is a few lines, if you scroll along you can see the figures that Mr Zahmoul is saying needs to be paid 191,040. You can see in red the figures Mr Zahmoul says 191 in CGT, 394k in NY transfer tax and those figures come to 550000. Your counsel comes to 747,000. There is about 200,000 apart on those figures. 300 arrowhead, the bold address, Mr Zahmoul says 1.3 million in CGT to be paid, and your counsel puts it at just over a million.
NZ	Where is the computation behind these taxes?
J	Counsel asks the question and you answer – you say you are much more apart, why?
NZ	We are 4 years in, all taxes are done by CPAs, all principles on tax have to be agreed by us, they did not, some of the metrics are US statutes, I can see a number we have been seeing for some years. I need a spreadsheet with the numbers behind. Because I am a US citizen, when we made a capital gain of 4 million in 2016, as long as you buy the same property under the same legal orders you defer to the next one. The tax number is going to depend on who gives to whom, this means nothing, I cannot accept a tax numbers from a spreadsheet they need to come from a CPA.
AC	We need to give the judge the numbers, you understand it is important we do that?
NZ	The original memo from my CPA is august 2021, update of the CPA
AC	I need to ask you some question, I said you do understand that the judge needs some figures so he can understand what there is?
NZ	The only asset that has my name on it is...the order of April 2021
AC	Let's look at that order on page 26, made in April 2021. 3 years ago, the judge tried to sort it out and said KZ should serve on you his tax calculations and the parties should use their best endeavours to agree on tax calculations, and if you don't agree, you can provide your figures.
AC	You understand what the court was asking?
NZ	Yes, I did it, filed my tax on August 2022
AC	Page 4230 of the bundle. This is Mr Zahmoul's advice about tax in the UK,
NZ	I have the earlier version, 13 April 2021
AC	You have seen this document, his advice in June 2021?
NZ	Yes
AC	4229, you see some other figures there?
NZ	There is a big section where they say we are not Portuguese specialists
AC	You had your accountant on 6 august 2021, you had your accountant set out your position. The order said you should file your tax document before the private FDR. You were ordered to respond to KZ's documents 6 weeks before the private FDR. You produced it in August 2021 – why wasn't it produced before the private FDR. Do you understand?
NZ	Not at all. Can I see the order?
AC	Page 26, paragraph 26. 'Parties shall use their best endeavours to agree KZ's figures, if they can't agree, the applicant can serve competing calculations'. What the judge was trying to do was to get the important figures to the private FDR judge. Why didn't you have your tax figures in advance of the July hearing as you were ordered?



NZ	Provide the tax numbers on abcde, I can only do the real estate as I don't have my name on anything else, the same court order asked us to file updating disclosure before the private FDR, and the respondent filed the coinbase disclosure 48 hours prior. I cannot produce taxes on assets I don't control.
AC	Mr Zahmoul gave you his position in relation to taxes, you were asked to respond and you didn't.
NZ	Let's go to the memo, May 26 2021, it says if you transfer the appreciating property, you have no step up or gain recognition. There is no computation, nothing.
AC	No immediate tax to pay, it will rollover
NZ	No, there was tax
AC	If that was your case, the judge needed to know that.
NZ	There was nothing to answer, the FDR judge had no problem with the taxes as it relates to my residence and his non residence.
AC	No less than 9 orders were made to agree the taxes, as we stand here today you have not produced any response or your version of the figures in accordance with 9 orders
NZ	No I do not accept them, asking your client.
AC	Is it fair you instructed Nick Warr to liaise directly with KZ to try and find out the figure?
NZ	Yes
AC	There was a negotiation, was it without prejudice?
NZ	Always open. I can only provide taxes on assets that I own, I cannot instruct his broker to give me the tax because it particular to his taxes.
AC	On 21 st July 2022 KZ prepared a table with his figures in relation to tax – do you remember?
NZ	Can we please get the order of 10 July 2022
J	If you keep interrupting it will not help, if you answer the question that will help
AC	Page 311 in the bundle. Paragraph 8, made by judge Cope, recital that the parties will discuss and endeavour to agree the figures in relation to tax, they will do so with Nick Warr of Taylor Wessing, they will produce a schedule on what is agreed. Judge was trying to see what the issues were.
NZ	No, she said tried today create a table.
AC	I am asking if you understand what that table said.
NZ	The judge asked us to agree, then create a table, I thought that meant discuss all the issues and then narrow it down
AV	As a result of that order Nick Warr continued to have discussions with Nick Warr
NZ	No, the discussions were in August
AC	31 st July 2022, schedule of outstanding tax issues for agreement sent to your solicitors
NZ	At that stage we are in July, at that stage Karim has not spoken to Nick, they were not outstanding your client was managing the universe, outstanding was a manipulation.
AC	If it was a manipulation, was the sensible thing to get your solicitors to add this to the table of outstanding issues?
NZ	Not at all, I would fire him if he did that, we would be working off the wrong table, not at all with taxes.
AC	You have been trying to file amended taxes
NZ	Not at all, we do not file jointly



AC	You have filed joint taxes in 2020, 2021, and 2022
NZ	No not at all
AC	I have misunderstood, with LLCs in American there are corporate tax returns, those documents were filed jointly in the LLC?
NZ	It's a partnership called 3093 it owns 100% of the house at 3093 where we live and purchased in august 2020, it has two partners who are equal, I have the corporate documentation and everything. That partnership has one face that is the representative, the respondent, he files the tax returns and give the other partner the 401k, every year he talks to my CPA, then he files the numbers for the partnership, the other house we own 50/50 in joint names.
AC	The Wyoming properties, those taxes were filed by KZ in 2020, 2021 and 2022.
NZ	I don't agree, still mad about those
AC	He sent them to you and then filed them. You were involved.
NZ	Yes, absolutely
AC	You were unhappy with the content of those returns?
NZ	No, it's not a book
AC	You didn't agree?
NZ	No
J	What were you unhappy about?
NZ	The returns and the computations by the CPA are false, as a result of the misrepresentations there is something called a recourse loan which is also not correct, it puts me at risk, the respondent has represented that he is a US citizen he is not, and said I am UK citizen which I am not. Gives him right to open a mortgage, open an account close an account and everything, He is not a US resident, it is relevant. He doesn't pass the residency test.
AC	You were not happy with the returns.
NZ	No and I filed a D11. The court need to understand the issues, my CPA has been telling his CPA for 3 years, it is in my D11 of April 2023, the other piece is the partnership, the debt. One coin guarantees the debt vis a vis the bank, the person responsible for the liability it the respondent, that is not correct. When he liquidated the assets in September, he increased his partnership interest, he is now in credit of 4 million.
J	I understand, thank you.
AC	You made an application for an English court to make a determination on your divorce proceedings, didn't you
NZ	I live here for 18 years, where else should I have?
AC	This court knows those properties are owned by you jointly, don't they?
NZ	Yes
ZC	This judge can make orders as he sees fit, do you agree?
NZ	Absolutely not
AC	You wanted an English court to deal with your divorce they have the power, it doesn't matter what is on the tax returns, is that correct?
NZ	I filed my application on 24 January 202- with withers, you can decide on the division of the properties, does that mean if I find the fraud I should sit back, I am completely alone and without any money I can't get Waitrose, one of my daughters has needs
AC	Even in the US, you and Mr Zahmoul share the ownership of the properties
NZ	No
AC	The 3100 is owned by two LLCS



NZ	No problem with that
AC	Other properties are owned by LLC with you and KZ, is that true?
NZ	Exactly the same as the 4 million, he liquidated and sent to the Bank of Jackson Hole, if he wanted 50/50 he would have split the liquidated, he put himself as the only guarantor.
J	I understand, I have your point
AC	In 2022, the tax returns were rectified to put them in the position you wanted them to be in, 50/50 owners in the LLC.
NZ	No, there are two issues, the mortgage at bank of Jackson Hole needs to be 50% one property 50% the other, the respondent applied 2/3rds for one house. The only reason is the consequence is that it discharged the capital account of the LLC, so one is debt free. Inside the house, I wanted to divide the 4 million 50/50. I needed both 50s, this one in the 3093 is more important as it says he is the only guarantor.
AC	The contact with Bank of Jackson Hole, you are both equally liable. BOJH don't care about the taxes as long as the mortgage is paid down.
NZ	In terms of ownership, I don't care about the bank. He withdrew 4 million fraudulently as the only guarantor and we are equal.
AC	Can you look at 2531. You can see here there is a message from Jeff Wilkinson, CPA, look below it at 2531, you see the email from Steve smith, Karim's CPA. In March 2022 Mr Zahmoul's advisor was trying to liaise with yours to rectify some tax information. At that stage, 29 march your advisor writes to him asking for the information, then Steve Smith says 'Hi jeff, we will follow up when we receive it. Message a year later, 'Mrs Zahmoul is suggesting you contact her attorney' you instructed your tax advisor not to speak to Karim's and sort these issues out, didn't you?
NZ	Absolutely not correct
AC	You instructed your CPA not to talk to him
NZ	I have very limited funds, I cannot pay people when they are gaslighting, my CPA asked many times for the information which is not here, they overrode my CPA
J	Is your answer that you sent that email asking him not to engage because you had no money to pay your CPA?
NZ	No
J	Do you agree just before March 2023 you had instructed jeff not to engage?
NZ	I instructed him not to engage
J	Why?
NZ	When someone pretends not to understand you what is the point of carrying on, they were ignoring him for 3 years, I cannot keep answering when they are ignoring.
AC	Do you accept the two US pensions can be shared between you and Mr Zahmoul equally?
NZ	Which ones?
AC	Look at the ES2, the pensions owned by the Husband – the US pension can be transferred to you, so you get half of the US pensions
NZ	The memo of my CPA on the impact of the tax position..
J	Let's start at the beginning, do you accept they can be shared?
NZ	Answer is on august 10 th 2021, there is a liability I forgot the name..
J	Are they shareable



NZ	Yes, with tax consequences
AC	Did you agree that the Barclays pension could not be shared because of the type of pensions they were?
NZ	No, I do not agree
AC	Withers said on [x] they could not be shared
NZ	Which ones and for what reasons?
AC	Do you think they could be shared or not?
NZ	I don't know
Ac	Mr Zahmoul got lots of advice from pension experts about this
NZ	This is very convoluted, I have a timeline of he said she said, April 30 th 2023, he sent to me, to my address the link on April 17 th was below. I only pressed the link in September, the discussions when I had funding with Taylor Wessing and withers were a dead end. At the LSPO the respondent knew he had already executed the funds to Malta, when he asked us to discuss the pensions, he knew they were already executed to go to Malta, he knew and did not say, later at 7 September 2023 he said he executed. In April everything was done unilaterally, I didn't agree I still don't, I never received the documentation withers asked for. He takes the conversation without asking for approval, I have never had advice that we asked for, my team never got what they asked for, Taylor Wessing it was a minefield.
AC	4241 please. This is the initial advice in November 2021, explaining the Portuguese position, the tax position. Have a look at the document. Your lawyers were asking 3 questions, and it was Karim's lawyer's response. 'If H were to transfer any assets to you' 2.'can he confirm a time limit' 3. 'Lump sum subject to tax' Then they give a detailed analysis of those three questions, do you agree?
NZ	I accept this is a memo from Ilya.
AC	They were attempting to answers questions your lawyers had asked
NZ	The memo is giving an over theoretical answer and it is deficient. I bring your attention to the deficiency, it is saying if you were to transfer assets outside of Portugal at 4242, a mere transfer of assets is not transferable in Portugal. If you go to the asset schedule of the respondent, he has put taxes everywhere, why.
J	Why is the memo deficient?
NZ	It is not consistent with how it has been applied to the asset schedule, it says if one gets more than the other, this becomes a taxable event in Portugal. I am not sure what that means – if the husband sends the assets to the wife, his regime is called non habitual resident, he has a US Portuguese tax treaty that is also a source of problems he did not disclose on the Portuguese tax returns. He talks about the real estate no consequence if it is taxed at 28%. Instead of saying it is deficient, it is very helpful, because this is the opposite of what has been done on the asset schedule.
AC	Are you saying you do not agree with the memo?
NZ	No, I am not a tax expert
Ac	Your lawyers asked specific questions and KZ paid advisors to answer them
NZ	These questions are theoretical
J	Pause, I think I can take notice of that fact. NZ has been in the witness box for some time, there will be some time to go. Break for lunch.
	12:56
BM	We are not allowed to chat to you now, you are not allowed to talk to anyone about the case. Go get a tea or coffee.



	Back in at 2pm
AC	Mrs Zahmoul, turn to 4028. Still asking questions about pensions, beginning of the document, a letter from Mr Zahmouls lawyers to yours 30 February 2022, open proposal on the case, 4027, talking about how to share investment properties, crypto assets, paragraph 18 talks about equalisation of the US pension, 4029 it says the Jersey pension 'alternatively my client is considering transferring the pensions to Malta...preferable so the pensions are in your clients hands' suggesting he should move the Barclays pension before it is divided.
NZ	I see in specie, but not subject to. When was it sent to me? You are talking about Asden, no date on first page, what document?
J	The document you have got there
AC	I am told its dated 1 April 2022, it doesn't matter except that your solicitors were sent it, they responded. This document was sent 2 April 2022. What I am trying to do is identify a timeline, unfortunately the important person who needs to understand the document and the timeline is the judge
J	I need to come to a considered decision at the end of this trial, I need to understand for myself what you live and breathe. I need you to listen to the questions asked and answer. I need you to listen carefully and answer.
AC	It was second of April 2022, it talks about transfer, from advisors Adsen Moore, at 4293. This is a document sent to my client, talking about pension sharing in Malta.
NZ	Do you know when I received it – I can tell you, it was April 24 th 2023 if it was part of the 100 page package, if it was part of the link.
AC	You agree that it came at the beginning of April, it explains to my client that pension sharing in Malta can be executed and the pensions can be split, and it is favourable. Just showing you the document. 4294. This is later, July 2022, information about the effect of the transfers
NZ	I got this September 9 th 2022, November 2015 sent 20 million dollars.
AC	You saw this document, in September 2022.
NZ	Do we have the reply?
AC	We have some detail KZ has put forward
NZ	I am not a pension expert, this is complex, Taylor Wessing have assisted all the way to the end even after august 2023, 1 hour conversation in 2023, Taylor Wessing terminated everything as it was going circular. None of the advice on the pensions was sufficient or accurate.
AC	You weren't at all impressed with this advice
NZ	It's not my area
AC	341, you will see where we were by November 2022, order by his lordship, he was aware the pensions were still at large, you said you weren't content so his lordship ordered by 8 th December you should state whether you agree whether the pensions could be shared in Malta..ordered either party should apply under section 25 and if there was a dispute an expert should be ordered. Judge was saying if you can't agree that you should get an expert, you understand?
NZ	Completely
AC	You needed to respond to the advice by 8 December
NZ	Yes



AC	You didn't do that did you?
NZ	I need to give some context, we arrived to your court from Bristol, the new team joined 1 day before, Rebecca KC was not on top of the situation, when you issued the orders, I was with Burgess Mee the entire conversation was how I was going to pay and get money. Then until September the entire time was spent on figuring out funding, they thought the hearing was about finding, my bills went to pay funding documents. I am unable to shed any light on whether I agree, I am not an expert I don't know where to start. Burgess Mee called the respondent and said nothing is being done until funding is sorted. This is the consequence of going through 3 different lawyers.
AC	Effectively you are saying you didn't have the funding to arrange the advice in relation to response. Go to the order of 1 March 2023, paragraph 5, you shall state whether you agree with his advice, did you send a letter to say you agreed or you didn't agree?
NZ	This is the order, and your asking me if I complied with this order – no I didn't, I had to write the LSPO by myself, there were many events in April. I managed to do the LSPO application by April 20 th , 3 weeks late, and then I wrote to his lordship that the respondent emailed me saying he is moving the pension, after that I filed a D11 by myself about the Wyoming situation
AC	On 30 th June 2023, LSPO was made to carry out the order, his lordship was worried these orders were not being dealt with. Did you then respond once you had a legal team? Page 560. On 7 September, his lordship gave orders to try and deal with pensions, again Mr Zahmoul was ordered by 6 October to provide disclosure in relation to pensions, in the event there is a dispute, either party may seek to apply for an expert, it says you shall by 14 October 2023, confirming whether you agreed in accordance with that order.
NZ	No because that day of the hearing, he presented that he had executed that transfer, the bundle was void void void bundle, the real bundle was the one he executed and sent me with a small link.
AC	You had lawyers acting for you, did you provide a response to the advice of Adsen Moore in accordance with his lordships order. Did you obey his Lordship's order?
NZ	Your lordship, he had already moved them since April.
J	Did you obey the order or not, or 12 th of June
NZ	Zoe can you find out when the respondent told you...
J	I understand this is difficult and there is a huge amount of information about the case, lets concentrate on the questions
NZ	Did I obey the court order to respond to advice I had not read, and the respondent had already unilaterally moved it by September 7, he already moved it.
AC	On the 21 st November 2023, solicitors on your behalf did respond and said they didn't accept the advice, not by the 13 th October, not by 13 th November, but the 21 st November.
NZ	Your point is?
AC	My point is you ignore the court orders and you do want you want when you want to.
NZ	I am not a lawyer, I am extremely sorry if I look like I lack respect, if I allocate your resources to what I need help and what I can do myself



AC	You have had 2.7 million pounds worth of help. On 21 st November you said you do not agree with the advice – are you saying the pensions cannot be transferred?
NZ	No, we could never discuss it, we never received satisfactory responses. Nothing was received or analysed properly.
Ac	Do you now accept the pension can be shared?
NZ	No – I have not had an expert.
AC	You have been given 3 opportunities to get an expert and you have not
NZ	Not correct, the execution order was April 24th 2023, everything else is a show. September 7 th you are asking me if you complied with the order post facto.
AC	Mr Zahmoul told you he was planning to move the pensions, wrote in October 2022 and December 2022 to tell you that.
NZ	On every time he said he was planning we said we need a detailed plan of what is happening, he did never provide a tax analysis, you can say more dates if you wish, if we are waiting for tax analysis and it is not provided
AC	We have seen Mr Zahmoul put his view in writing, would it not be easier if you had put your view in writing?
NZ	Your lordship, she is asking me my view on the taxes
J	Question is would it not have been simpler if Karim had put his opinion on taxes on paper and then you put your opinion on paper?
NZ	1 you are duplicating costs there we would not agree and 2 do we even know whether the respondent has a detailed tax position, it would have probably been a solution, but that would not guarantee a solution.
AC	If you borrow money from your family, that is quite straight forward. On the liabilities you claim, you owe your father \$202,000
NZ	That is correct
AC	Do you think it is fair that Mr Zahmoul should see documents evidencing the debts you have?
NZ	The respondent has a debt outstanding no contact, miss Molina, no proof, he wired bitcoin to Miss Molina. My children survive because of my father.
AC	Bundle at 388
J	You alright?
NZ	Yes, yes
AC	Do you see paragraph 10, 1 March 2023, he ordered you to provide the following disclosure, evidence of any moneys borrowed which has not so far been disclosed. You had never provided evidence, but you said your father had leant you money.
NZ	You want a contract – I haven't had a chance to provide money documents, I apologise for the delay I will have all the documents to you in due course, as soon as I can. I am working as hard as I can.
AC	Page 561
NZ	April 2021, the respondent cut me off unilaterally.
J	14:40 – short break, lawyers will tell me when to go back.
	Hearing paused
BM	Try and focus your answers, will help the judge and you.
NZ	Trying my best, none of the questions move the case. She is trying to trap me.
	14:51 – court resumed
AC	Mrs Zahmoul, please look at 341 in the bundle. Can you see at the bottom at paragraph 12, made on 7 November 2022.



KZ	There was no hearing 7 November 2022
AC	17 November sorry, you were asked to provide you US tax returns by 8 December 2022. The order of 1 March 2023, paragraph 10, you are being ordered to do the same thing, to produce them by..
NZ	And then in September and November
AC	Yes let's have a look, ordered by 8 th November. We still don't have copies of your US tax returns.
NZ	My solicitors sent correspondence saying I do not pay taxes in the UK and I only became UK citizen in 2021 and left in the summer, I do not pay taxes in the UK
AC	What about in the US?
NZ	Why are we repeating the same orders and wasting money. My CPA cannot file my taxes for numerous reasons they are long and complex, my barrister will say I am going off piste, firstly I have no money I have maxed out 3 credit cards for the children, secondly I need to wait for the LLC, we didn't accept the K1 for the LLC, thirdly I was due a refund from the IRS which has been withheld because they had an inconsistency in information that told them I was American and another saying I was not, the LLC blocked my refund, 60-70k 401k refund I sold everything to survive. Jeff Wilkinson my CPA said there is no downside to wait until this mess is over.
AC	You were told no problem for you to wait, so you just wait
NZ	When you are owed money or have no money, there is no downside to wait.
AC	Page 223, paragraph 6 you were ordered to provide your health insurance policy called Cigna, you were asked to ask Cigna to reinstate Mr Zahmoul as a parent with authority, you were asked to provide a breakdown of claims, you have been asked on 4 occasions and you have refused to comply?
NZ	Yes, I agree
AC	Do you think its okay to not comply with the orders?
NZ	Absolutely not, this is a big one your lordship
J	I know it's a big one, I understand this and I am going to ask AC to move past it
AC	Page 338, paragraph 7, you were asked to sent details of the whereabouts of Mr Zahmoul's belongings, you haven't done that
NZ	No I have not. These watches, there is nothing that says they belong to KZ, they are joint matrimonial assets, the watches why are we making a big fuss. I didn't have a choice. I had applied for the LSPO, I received a unilateral email on 2 May, I went to zero on May 2 nd on my daughters birthday, my landlord said I had to move by July 4 th , thousands of pounds just to move, still had one daughter taking a levels, math, French. My father sent 3557 per month, goes to children. I would not have survived, my mother has angina it is taking away money.
J	Just pause, you are running away again
AC	Same page 637, 6.1 provide disclosure with respect to two transactions for 20,000..
NZ	That is the watches, this is leading.
AC	You haven't sent letters saying this is the watches
NZ	Your lordship, in the interests of you understanding the case, I can't respond to everything so I have different ways of responding, so I have different buckets of requests. I allocate my resources to moving the case forwards.
AC	Let's move on to what you do think is important, the undisclosed assets. Do you think this is important?
NZ	Not strictly true, what is important is freedom from everything and justice.



AC	At 3273, you said there is 141 million pounds missing from the assets. Can we have a look at your breakdown of this, page 3266. Paragraph 9, figure 1 23.1 million
NZ	I am with you
AC	Scroll forward, page 3269 there is another figure of 9.8 from the Portuguese tax return, you add these together. Another on 3272 crypto 3.9 million, 3273 103.9 million figure, you say add all those together it comes to 141 million. Can we try and examine some of it. I want you to be clear what my instructions are. My instructions are these are plucked out of the air and they don't make sense, do you accept that?
NZ	Absolutely not
AC	Let's go back to the first figure on 3266. The round figure 23.1 million, it is different from your s25 statement, paragraph 35. This figure of 32.88 million, you are saying it is completely different
NZ	One is called initial, and it is representative of Form E, this one is more 7 April 2021.
AC	You say this is a figure representing April 2021, we have just looked at the figures – we have added them to come to 141 million missing.
NZ	Okay, so?
AC	If we look at this first box, it is different than the one at paragraph 35. The difference isn't the breakdown of assets. Are you saying this paragraph 35, you are referring here, below is a summary of the non-disclosed marital x, which amounts to 38.28 million – is this sum of 38 the figure you want the judge to rely on or the 141?
NZ	There is overlap, we need to go asset by asset. Coinbase, this table, Gemini is on this table but not on the original table as I only found out at March 2023 when I received the subpoena, when I found out, that is why is it not in the other table, then we go to purchased land from IPP1 and IPP2.
J	Are you saying the table in your section 25 that adds up to 38.2 million should replace the table at 3266?
NZ	Exactly, but we are missing the Barclays account, they are not in form E they were disclosed later so I consider them to be deficient disclosed investments. The on shore investments...
AC	So when I asked you the first question about 140 million, the answer is no?
NZ	This would be more accurate, this is a very difficult exercise, with no disclosure, we cannot...
AC	You have given specific figures to come to 23 million there
NZ	If there is a figure, I can back it up
AC	You have focused on coinbase, at 3266, the figure in your statement is 7.99 million dollars..the paragraph says it amounts to 38 million pounds in your statement.
NZ	Should be dollars
AC	Exchange rate to give you 5.70, where from?
NZ	The exchange rate at the date of exchange
AC	Where is the evidence for this figure?
NZ	The first evidence is 16 July 2021, updating disclosures from HFC announcing he had received, that was the first evidence, in it there was a little piece of paper, from Topanga holdings.



AC	You have taken it from the value awarded to Mr Zahmoul for the Topanga shares in July 2021.
NZ	Yes
AC	I understand, those shares went down, they were surrendered in September. Correct?
NZ	No, could you pull out the transaction statement
AC	I can't do that – are you challenging what those shares were sold for, are you saying Mr Zahmoul never surrendered those shares?
NZ	Exactly, Mr Zahmoul made 4 million from coinbase securities, he produced on 5 September 2022. He states he sold, remind me to go back to the Portuguese taxes, he states that 7 million became 1.4 million, the shares were at bank of New York Melon. These were coinbase, they only trade on Nasdaq, when he produced the documentation evidencing the same, it is not a confirmation of sale, this was an indication of sale, if you sell you will get this price, from Sydney Australia.
AC	Let's look at the document at 4142
J	Are you okay?
NZ	Yes – At the top it says Australia, this is a lot of explanation, why is this from Australia? The bitcoin wallet, the forte securities is a whole saler, they service hedge funds and broker dealer, Kassis was a senior person here was the boss of the respondent, in order to have a license he needs, respondent signed manual of compliance of forte, he is sponsored by forte. The respondent has a financial security company. This is very relevant.
AC	Are you saying you don't believe this document is true?
NZ	Not at all, you don't sell Nasdaq from Australia, someone who trades would not sell at that time
AC	What do you think happened?
NZ	He has not disclosed his relationship with forte. If you do not want to sell stock, you can if you think a stock is going to go up, you can let other people borrow the stock, it looks like a sale.
J	What do you say happened here?
NZ	The derivative of forte is in Australia, I think someone borrowed the shares and Mr Zahmoul sold them out and gets them back at a later date. Not a single reason why a Nasdaq share would be sold form the Australia desk, we next see shares form forte securities in London to Revolut London. Revolut is sending it to revolut NY, then to USB and then to Jackson. The denomination of coinbase is US dollar, it goes from Sydney to London, to New York, to Denver. It does not make sense.
AC	Mr Zahmoul has sold the shares and you do not agree. This document is evidence of the sale.
NZ	If it is, great. There is many questions, there are other ways to sell US dollar. I am sorry he sold on 16 September
AC	Can we go back to conduct statement at 3266. Paragraph 35 of your s25 statement, Gemini subpoena, at 1834 you call that the Gemini subpoena results. You have said you got a subpoena in early 2023 against Gemini
NZ	February and March
AC	Page 1936 please of the bundle. You are claiming 1.8 million dollars, how you are learning about the crypto. 1939 has specifically the reference to the Gemini subpoena. You say this subpoena shows that Mr Zahmoul had been cheating



NZ	Subpoena results show that he had an account at Gemini. A judge in New York city made an order for full subpoena
AC	I accept you made the disclosure
NZ	The judge told me how many bitcoin in the account
Ac	1.8 million dollars, how many bitcoin does this relate to?
NZ	Okay I get it I'm sorry, the results of the subpoena show on 2 nd February 2023, 5.5 bitcoins and change, the blockchain is solid. Mid-February 2023 and the second tranche is 9 March 2023.
AC	5 bitcoins in March 2023, you are saying have the value 1.8 million
NZ	The blockchain is immutable, it tells you how many bitcoins were there on exchange of form E. They would have been there in the wallet on the day we exchanged form E. It is the bitcoin in the wallet on the day we exchanged form E, on that day he didn't disclose.
AC	I still don't understand the 1.8 million – Where in this statement can you show the blockchains or the bitcoins add up to 1.8 million?
NZ	I will get the information and give it to you, someone needs to go to chain analysis.
AC	The undisclosed UBS accounts, paragraph 35 again.
NZ	Undisclosed holdings in the UBS accounts
AC	You say 20.546 million – where does that come from?
NZ	Comes from the statements of UBS cumulatively over the years. I have an explanation that makes more sense at 42.
AC	The first line is wrong, Mr Zahmoul stopped working for Barclays in 2014.
NZ	He was still an employee, we need more clarity, there is inconsistency. He received compensation. I am assuming but I don't want to speculate. Why was he not working but getting paid?
AC	Let's see the big picture – how do we get to the figure at 42, you've added up UK earned income from 2005 to 2018, you have taken off the tax, we shall follow through the maths.
NZ	The starting point is AG tax memo
AC	I will ask you the questions, first column of 13,8 million odd, living expenses of 8.99 which you have deducted to come up with figure of 2.4 million
NZ	2.4 is clean capital at end of 2018, it has paid taxes, it can be used in the UK without paying further taxes. They were meant to go this way, what I am saying, your lordship 4 sources of income are in 4 fiscal buckets.
J	I understand
NZ	The three other buckets are not in the UK. One bucket I have access to. One bucket is UK earned income, end of 2016 there was a reserve of 2.5, that reserve what did we do when he didn't have a job, we spent 932k and the reserve went down. Page 13 tells you at the same time what was happening at Barclays, it was offshore on tax, three buckets. There is one more account called remittances, it is through a scheme called Lichtenstein HMCTS, that money can come and pay the bills here in a separate account called LDF. He did not do full disclosure. Page 13 says we can see onshore spending, we see these inflows and outflows from UBS, 13 in 12 out sterling, we see pre liquidations of Barclays shares. The Barclays shares are complicated, three different categories one of them are UBS. He didn't pay tax outside the UK, he was also doing tax avoidance scheme.



J	You may think you are making sense, but I am struggling to understand, so I am going to get AC to ask another question.
AC	Paragraph 26, figure of 20.5 million dollars, UBS. 3266 in the bundle, the figure you say for undisclosed holdings is 12.81 million pounds. I don't understand 20 million in one, 12 million in another?
NZ	The spending in the UK is covered, there are 3 offshore incomes, the UBS income, shares of liquidations and shares of Barclays and shares of the rentals in New York.
AC	Are you suggesting none of this has been spent?
NZ	Offshore tax, it is an asset base, 20 I cannot account for, purchased prior to 2004.
AC	I don't follow what you are saying. I am going to stop you. BM can help you explain this in re-examination.
NZ	It is an asset base that has been invested but not disclosed.
AC	Each item – UBS at 3299 of the bundle. If we focus on each item, we might understand where the figures are from. Inflows and outflows from the UBS. This is your document, its giving different figures from those in your statement. You are trying to say that in sterling you have had 14.29 million come in and 14.63 million out, they are payments of UBS assets
NZ	They are flows, these are above and beyond the cash burn of the UK
Ac	I am not keeping up still. The UBS shows 14.29 million coming in, and 14.69 million going out, are you saying that?
NZ	No you said that, that money is not accounted for, Cash burn we use 900 a year.
AC	Have a look on page 3496 for me. Document from UBS showing all the money going in and out, in reverse you can see a fund value of some 84,000 euros, in 2010 there are inflows of 8.8 million euros and 5.6 goes out. That leaves a final value of just over 3 million. The next year 252 flows out, inflow...
NZ	Outflows are above and beyond what was spent, what assets they were used for I don't know
AC	Because you don't have a list of everything was spent, you think additional money still exists.
NZ	There have been no assets that have been reported that justify 20 million. The outflows don't go to the UK. The outflows don't go to the UK.
AC	I am told they go to the UK, and they are used by the family and spent
NZ	I don't remember the excess and above and beyond
AC	The money has got to come from somewhere, where do you think it is coming from? It says quite clearly that it is coming into the UBS and out of the UBS account, what do you think happened to it when it comes out?
NZ	I don't know, you tell me. The respondent is an active investor in all sorts of assets. I would like to know where it went.
AC	Paragraph 35, 5.1 million dollars, not in Form E. Look in bundle at 3506, you can see those Barclays shares, these are shares Mr Zahmoul was paid for by Barclays. The shares vest over time, one year they vest, then the next, then the next they vest.
NZ	From a fiscal perspective it is a very complicated process. We need a HR person to explain it.
AC	We can agree generally. 3506 – Statement period...
NZ	If you know what CVP means



AC	Cash value plans, you can read what it says 3507. It shows every activity on the case, you can follow this through, flick forward, you can see all the detail, you accept it is genuine?
NZ	Yes
AC	Mr Zahmoul has asked Barclays to produce all his shares and the share releases, 3504 you'll see each and every vesting, scroll up towards to front of the bundle, on 3502. You'll see the dates are in reverse order, these shares are being released and shares paid out. If you keep going to 3498
BM	I do wonder if we have reached a point
NZ	I want to make progress
J	I am going to rely on you, we can continue for a little while
AC	I have quite a lot to go, if you feel she would benefit from a break.
J	I have something else at 4:15 so we will rise them
AC	Mr Zahmoul has produced all the releases, the Barclays shares have all been spent, so where do you get the 5.1 million dollars in your statement at paragraph...
NZ	I put them all on a spreadsheet, the shares are taken inclusive
AC	You have added all the shares realised since 2009 to 2018 and you say that comes to 5.1 million dollars and you are saying it is still available for Mr Zahmoul to spend
NZ	No I'm not saying that, some of the shares he was granted access to, I was saying this money was not needed to live in the UK above and beyond the burn. Not needed. Its very simple, what was burnt in the UK was page 12, anything else I don't know.
AC	You don't accept that Mr Zahmoul was drawing down on these shares and spending the money on the family?
NZ	Absolutely not, there may have been share liquidations but there was a salary
AC	How do you prove that? You have to prove that was not spent on the family living
NZ	I am going to take you to my statement, his old CPA says between 2004 and 2016 says the UK income exceeded the cash burn
AC	What do you think income is?
NZ	Probably some of it is income
AC	You have said probably some of the shares were income, you are saying
NZ	Some of them were called BACS, I am not a HR specialist, the respondent had 3 different ones from 2020. Even if we assume 3.8 will liquidate it, you still have 12 of 13 from UBS that were not used, those 3.8 are shares vested, we are saying he is part of a payroll, we need someone to explain BACS, payroll and say what went out and what did not go out.
AC	You say Mr zahmoul would draw down on the shares to pay for the family, do you accept that?
NZ	Onus on me to accept or for the respondent to show?
AC	I need to know whether you believe that?
NZ	It is not believe, it is not religion, it is evidence based. His AG tax says in so many words, between 2004 and 2016 the salary more than covered the burn which was 750, when he stopped work we spent 942 and a year later we spent 942, the clean capital went down again. UK based tax income and earnings, that is what was used for our cash that went all the way to 2020, then he goes on to say if they continue to spend at that rate, he will have to get it from offshore, then



	you find out there are 3 buckets, offshore income, offshore investments, each one has a different tax consequence if it is remitted to the UK
Ac	Bundle page 3269. This is money you say is undisclosed investments, 9.8 million pounds, are you asking the judge to take this figure and add it back to the asset schedule?
NZ	No. One here that is allegedly coinbase. I don't speak Portuguese and not expert in tax returns, the returns were produced [dates] by reconstruction the investments are coded but not identified by the entity invested in, there is just a charge and the date of acquisition and date of liquidation. I spoke to people in Portugal it's the value at date of one and the other.
AC	I don't understand, this figure the 9.8 million, are you asking the judge to add this to Mr Zahmoul's share of this assets?
NZ	No, at this stage I sent a letter saying these were investments disclosed of by US E trade.
AC	Yes or no – do you want J to add 9.8 million to the assets?
NZ	Are they on the balance sheet, they are not, where is the money?
AC	We looked at the boxes and added them up to the 141 million pounds and you said Mr Zahmoul is hiding the assets. My assumption looking at these figures is that you do want him to add them to the balance sheet.
NZ	Is it your client's case, the biggest number 7.2 million is your client claiming as coinbase?
AC	Are you asking me if the figure on your schedule should be added on or taken off?
NZ	Of course I don't know
AC	Of course, you don't know. Mr Zahmoul filed a statement saying you had completely misunderstood the Portuguese tax returns, here at paragraph 17 is Mr Zahmouls response 'she has fundamentally misunderstood the documents' you have just said as much
NZ	I said I don't know which entity this is, it is the equity or partnership this is, I cannot guess it.
AC	Mr zahmoul pays his advisor in Portugal
NZ	Which one, there are many.
AC	If you look on 4241, this is the historic advice that has been given, this is louis Leon, Ilya, this man has assisted in the past. When you said there was nearly 10 million pounds missing, Mr Zahmoul went back to him.
NZ	Do you know why your client has two different tax advisors in the same place, has multiple people and can't produce proper numbers for the final hearing?
AC	On 26 January, advisor filed a comprehensive reply, have you read this document NZ?
NZ	Let me read it
J	I am going to pause matters there. I am going to make sure you are in a position to give your best evidence so we will pause. You are not allowed to talk to anyone about your evidence, you cannot talk to Mr Molyneux about your case, you can't talk to your solicitor about your case.
BM	It is not just me or Miss Bloom NZ can't speak to, it is anyone who has assisted with the case.
NZ	Anything implied?
J	No. 10:30 tomorrow.
	16:13 Hearing ended





Attendance Note – Zahmoul Final Hearing

Client: Zahmoul

Matter: ZAH01.1

Date: 22.02.2024

Time: 10:30

Initials:

J - MacDonald J

ACKC -Alexis Campbell KC – Counsel for Respondent

Sassa-Ann Amaouche – Counsel for Respondent

BMKC - Brent Molyneux KC – Counsel for Applicant

ZB – Zoe Bloom

	Hearing started at 10:32
AC	Before I continue before cross examination, at the bar we have reached a conclusion, Ms Zahmoul has given a lot of evidence. BM won't make any objection, if I make reference to the statement without putting each point to NZ because we would be here forever, not going to put any further points on the non-disclosure. Mr Zahmoul rejects her case on non-disclosure, I have gone through some questions with NZ and she has made her points.
J	Sensible, thank you for having that discussion.
AC	Mrs Zahmoul, turn to the Bundle at 1193. Email 16 November 2016, email about investment, you are explaining it looks interesting, good demographic. If this information KZ passed to you about an investment. He was asking for your opinion?
NZ	Yes, based on a business model which was not yet public.
AC	Thank you. Page 1230 please. This is another business investment, subject yummy in 2017. Another investment opportunity KZ was forwarding to you for your opinion?
NZ	Yes, similar business, not yet public
AC	1198 please. Email 2018 from your husband to you about a crypto fund, subject draft crypto fund, he is forwarding a multi coin fund, this is another fund Mr Zahmoul was sending to you.
NZ	Not correct – this one is a fund, the other 2 were not funds. The respondent sent me, typically business models to get my take, my fundamental analysis on the business. No such thing as Topanga.
AC	First page of the respondents exhibit to his s25 statement. This is a document that Mr Zahmoul passed to you, about his contact with sphere digital, he sent it to you to have a look at. This is you giving your opinion on the contact?
NZ	Correct
AC	2095. 2019, this is a message from Mr Zahmoul to you, looks like he has sent a whole collection of documents that refer to his tax returns to UK and US,
NZ	Yes
AC	Sending you the information to compile his tax return



NZ	Not return, we had purchased a house in Cheltenham, to get a mortgage
AC	This was evidence to try and get a mortgage
NZ	Yes
AC	I understand. 338. WhatsApp conversation. What is this – looks like you are saying should I buy back? Green is Mr Zahmoul asking your opinion?
NZ	Sugarneff, sounds Russian, I don't know
AC	Looks as if you are making a record for him, of the trades. I am told this is something that was sent to my client by UBS and it was sent to you.
NZ	Yes, sounds good
AC	1433. 2020, the date at the bottom, it's a WhatsApp
NZ	Sorry I am trying to understand whether the date is American or English
AC	February I'm told, you are talking about some health details, bitcoin investment he has forwarded to you, do you remember this?
NZ	Sorry I was looking at the emoji. I don't remember but that would be reasonable.
AC	1467, this is you sending him details about the new scientist PDF, he is talking to you about putting bitcoin in Bitwire.
NZ	Yes, correct
AC	1037, this is Mr Zahmoul in 2021 sharing some information with you about mintgreen
NZ	Correct, this is in the divorce proceedings
AC	Throughout the latter part of your marriage and into the divorce, Mr Zahmoul shared with you a significant amount of financial information, he was open with you ,do you accept that?
NZ	The part discloses the whole
AC	Do you agree, Mr Zahmoul shared with you, he was an open book?
NZ	I don't agree
AC	How did you get the Imerman or Pinocchio as you call it.
NZ	Some of it was documents that were prior in a drive, this is the minority. Context in 2020 we had been married for 27 years, the person who does all the admin, this is set out in the march 27 th letter. I was the administrator, I paid for everything. I had access to everything.
AC	What happened in 2020?
NZ	In November 2020, I found out the respondent had given a computer to Jade, she became tired and was watching Netflix.
AC	You had full access and then in November something changed and you didn't?
NZ	I had access to what the owner decided to give access to
AC	When did you get access to what the owner hadn't given you permission to access?
NZ	Pinocchio was sent to the solicitors in March 2021
AC	How did you get access to the documents referred to as Imerman?
NZ	I was thinking yesterday, I am still piecing things together.
J	When did you get access to Imerman?
NZ	End of March, Withers asked me to send copies.
AC	That's when you delivered it up, when did you obtain the information?
NZ	December 2020, that's when I realised my daughter was not sleeping
AC	1397. This is a letter from Evelyn Gargano, 'Nadia asked me to be executive of her will...Nadia stayed with us in September 2020'...she says it was during that stay, you stayed until 5 October, you told her and her husband about having hacked into his laptop and his phone, is that true?



NZ	False, absolutely I did not tell...
AC	Did you access this information in September 2020?
NZ	He left in November, and I realised jade was not sleeping, it was between November and December.
AC	This information that you had, we know there was extensive information copied to your solicitors
NZ	On the same day when everything when he left, pick up was maybe 16 th April. Two devices, he texted back to me Pinocchio. April 16 th 2021. There is one more set of documents, it is the documents. During the pandemic he hacked Ms Molina's account, we need the Imerman letter from Diana parker, there was 6 months of the pandemic with all the screens open all the time, 3600 pictures.
AC	From 2020 you got 6000 pictures?
NZ	During the pandemic he had left devices open everywhere, they were open
AC	Did you look at them in 2020?
NZ	During the pandemic with Miss Molina
AC	Did you or didn't you look at them.
NZ	If they were open and everywhere, probably
AC	Well, your either did or you didn't
NZ	Screens were open and I can recount it
AC	Did you just see what was open or did you access the devices? You mentioned a few moments ago there were thousands of documents. You are saying you just glanced at the screen, you didn't scroll through?
NZ	I walked in the room in Morocco, there was an open WhatsApp with Miss Molina and that's when I found her existence.
AC	November 2020 you noticed your daughter's computer, between February 2020 and November 2020 you had access to respondent's devices
NZ	In February 2020 I found out about miss Molina. He came to Cheltenham for 6 months, we went to LA for 3 weeks then we went to Wyoming..
AC	Between February 2020 and November 2020 you just told us you had access to our devices. When did he leave your home?
NZ	August. October 2020 was the last presence of the respondent
AC	From February to end of October 2020 you had access to his devices. I am going to put to you that you carried out extensive research on Mr Zahmoul's devices.
NZ	That is not true. I only found the laptop computer in November 2020.
AC	Did you access the devices between November 2020 and April 2021 when your solicitors got them?
NZ	Through the 200 pages, yes I did. They were returned to me, they made no sense and they only made sense last week.
AC	I understand there were over a thousand documents.
NZ	They were useless.
AC	What do you mean?
NZ	They were simply bank records asking me to forward to the respondent, they were filed by me as administrator of the house, they had no useful value to the proceedings.
AC	You downloaded them and put them onto paper.
NZ	No, they arrived in the post, I opened them. 200 documents are Pinocchio. 4 binders, 1 is Pinocchio, 3 are useless. 200 pages are useful. Reason Imerman took so long, even though it was forwarded to the respondent we were not communicating, they instructed HFC to do the entire exercise, coinbase was on



	the FDA, the Imerman being stretched in time and cost we arrived one day before the private FDR, they asked to skip the updating disclosures, we said no. I said it should be so expensive it should be one folder, they said no we are doing all 4.
AC	2230 of the bundle, letter from Mr Zahmoul's solicitor to yours.
NZ	Review of Imerman?
AC	What we can see here is there were categories of documents, you categorised them.
NZ	Yes
AC	Yellow lever arch with Barclays, red lever arch, grey with tax
NZ	Useless
AC	Red folder about children
NZ	Yes. Only one is the black lever arch.
AC	You are concerned whether they breached the privacy of Mr Zahmoul, I am trying to decipher what you looked at.
N	Everything in the black folder, 90% did not make sense, I did not know what a node was, he sent by text it lost confidentiality status.
AC	We are talking about 2 different things.
NZ	I looked at them, they are not confidential.
AC	Not the question I am looking at. We now know you had access from February 2020 to November 2020.
NZ	No. The document the respondent had, the devices he was with me and the children. I saw what I saw and the children, it is horrible we would not want them in the courtroom.
AC	2235. Paragraph 51, a printout relating to coinbase and Gemini. It is expressed there that Mr Zahmoul's coinbase account, and he had not had a Gemini account for a number of years
NZ	Not true, it took a subpoena and millions of pounds to find out that was false
J	Can you listen for the question
AC	Page 1389. Back in 2018. This is an email Mr Zahmoul sent you a list of updating assets, relates to real estates and then investments, can you see. Can you see reference to coinbase, 75,000.
NZ	2018, two things there it says coinbase there is no connection in this email between coinbase and Topanga, the only person who knew about Topanga was an LLC.
AC	In 2018 you know Mr Zahmoul had 75000 in coinbase?
NZ	No. In addition I did not know about Topanga, he made on 17 th February 2015 into macros the holding company in 2015, I did not know that. I knew he had a wallet at coinbase and in that wallet he invested in crypto, when I spoke to my brother it's the wallet buying crypto, only became coinbase on 16 th July 2021, one day before private FDR.
AC	Look at the heading of investments, coinbase, you knew your husband had invested 75000 in coinbase. I am asking you if you knew he had 75000 in coinbase
NZ	If I knew this was Coinbase do you think...
AC	1392. WhatsApp exchange on 3 rd October, Mr Zahmoul sending you a link, about Tiger Global investing in coinbase, you reply with a wink. This was 2018. What did the wink mean?



NZ	Coinbase the private company had 17 rounds of investments, so when the respondent said he did not know the value of the investment, this is in opposition when a venture capital firm like tiger global he is saying he knows it is worth 8 billion.
AC	What is your wink for?
NZ	I sent it because I didn't care
J	I am trying to understand your case, I am trying to listen to the answers you are giving. If you do not listen to the question and try to answer I am not going to be able to understand your case. I want you to calm down and listen to the question.
AC	Why are you sending a good luck wink to him about the announcement that coinbase was now worth 8 billion
NZ	Because I have no words, it is good news for the market
AC	I put it to you that you sent it because it was good news for your family, because you knew there was a 75,000 investment. Page 1394, you were arranging a mortgage, an email exchange to the bank.
J	Look at the document
AC	In context, 1395 you see where this is coming from, this is the bank asking for additional information. At 1394 Mr Zahmoul is correcting the information being relayed. He says the big missing piece the IPP2 its more than 1.8m of assets...'i have private investments that don't seem included like the investment in coinbase.' Reflection that you and he knew about his investment in coinbase.
NZ	The missing word is Topanga.
AC	I'm asking about coinbase.
NZ	My training is the valuing of companies, it wouldn't have taken me 2 years and 1.2 million to get there if I knew about Topanga.
AC	1394, as mentioned yesterday 'I have crypto'...he is distinguishing the coinbase company investment.
NZ	There is no connection between coinbase and Topang,a if I would have known that it was worth 7 million
AC	Did you know about coinbase?
NZ	No, I did not
AC	You were copied in the email. I am putting it to you
NZ	Investment in Topanga also called coinbase
AC	You knew that he had made 75000 in the company, different to the shares
NZ	I do not agree.
J	That is fine, I understand.
AC	Page 1400. Mr Zahmoul instructs me that not only you, but your friends and family and they knew you and he had investment in it.
NZ	No
AC	Exchange between Mr Zahmoul and your friends about his coinbase investment.
NZ	Not true. Mrs Ouziel is honoured by the French government well respected [NZ speaking French] Zu means pieces, it is direct. It refers to pieces.
AC	She says 'bitcoin' He says yes, I am waiting for ICO also
NZ	This is pieces. I make prudent investments, this is the rest of the conversations
AC	Where is it?
NZ	She can come and give evidence, my team said
AC	Don't tell us what your team said. Conversation with your husband and brother on 6 th January, at this stage Mr Zahmoul didn't know you were proceeding with the form A.



NZ	I disagree.
AC	Your brother was sending information about buying into IPO. Mr Zahmoul says it is expecting to go to 10,000 dollars. Over the page on 17 January, Mr Zahmoul, asking do you work with Hassan, over the page the conversation continues, again from your brother, the details about buying from coinbase. Page 1405 there is an emoji from your brother with an excited happy face. Mr Zahmoul tells me this is evidence that your brother knew about coinbase, he knew about the coinbase deal and that's why he sent an excited happy face.
NZ	No, my brother is available to come and testify.
AC	1692, this is a spreadsheet that was prepared, dealing with a list of investments, date of acquisition, currency, and the value. Listing 2016, 75000 in coinbase security investment, document sent to you in 2017.
NZ	No incorrect, this is a document made available to me in a shared google drive.
AC	I'm told it was sent to you in May 2017
NZ	Absolutely not, the date of acquisition was 2015 not 2017. It is 25 February 2015.
AC	This is inaccurate. He sent you this schedule, so you knew what he had.
NZ	Absolutely not, the only thing of value is the last line
AC	You are talking about something else. Is it your case that you have not seen this document until divorce proceedings?
NZ	Correct.
AC	I put it to you that you are lying, you say this in 2017 when he was reassuring you about what he had in the event of his death.
NZ	The respondent said at 21 and 22 he said he had not invested, after sending me all the documents and what I invested in it. During the proceedings, he said he didn't do it because he is not a US citizen, this says he did do it through Mike Deeg. Mike takes the money and gives it to Karim when it goes up. Stack is an off-peak IPO.
AC	What is Mike Deeg's job?
NZ	Expertise is taxes and..
AC	He is FCO regulated?
NZ	Yes
AC	You think mike Deeg would hold money and assets for KZ to hide them from you?
NZ	The answer is still yes, this investment was made through a vehicle he was told you need to be a US resident, he said can I put my wife. Can he do it? yes, would he do it? yes
AC	You are saying he did it for business reasons?
NZ	In this case, he simply did it to help, in the rest of the proceedings, Mr Deeg would do it.
AC	KZ said it is nonsense, that Mr Deeg would not engage in activity to hide assets from you.
NZ	He would, absolutely.
AC	After the IPO in coinbase we know IPO rocketed to 7 million, and he wrote to you about the appreciation between coinbase and bitcoin, that it puts the value of 10 million dollars. Mr Zahmoul wanted to sell the shares in coinbase on 4 November, to liquidate the coinbase and each of you take cash.
NZ	I don't read any messages by the respondent, and I blocked the respondent a long time ago. I do not read anything from him and he knows this. Did he send this, he knows the price of coinbase.



AC	Did you know he wanted to sell the coinbase on 4 November?
NZ	This is not 'I would like to sell'
AC	He says 'we would get 4 million'
NZ	He is saying would I settle, I would not do settlement on an email because of non-disclosures.
Ac	1375. You are writing to Rachel, she has kindred ventures control of the coinbase shares.
NZ	Yes
AC	You are asking that half be transferred to you
NZ	Yes
AC	KZ is not copied?
NZ	No. Direct listing on April 14 2021, because of the 7 million. The respondent invested in an LLC vehicle, he paid for 75,000. The partnership did an in-kind distribution. On April 14 he received a [x], that went to forte securities. From a tax perspective, the capital gain between 75000 and 7 million he pays nothing on that because he is in Portugal, but Portuguese authorities hold 28% and might claw back on it. I was trying to avoid it, that I am a US citizen.
AC	You are telling us why, I want to know what.
NZ	I am getting there, I didn't want to be chained for 4 years, to avoid that there is another way. At the time of the exchange, if he said I would get half of 7 million and be responsible for all the capital gains, as if those 75 were from. I am not asking her; it is totally doable.
AC	You were asking for legal title to 50%. What were you asking her to do to?
NZ	To put 2 people under the distribution, to get 50%
AC	Did you tell Mr Zahmoul or his solicitors?
NZ	In correspondence.
AC	They did not know you did that
NZ	When he did know, he did not do it. She said you have 1 more week. If I'm correct, coinbase has reported 7 million. It's not a capital gain it is a dividend he wants to charge me capital gains.
AC	1367
NZ	The UK believes LLCs are shady vehicles
AC	Katherine Landells writing to the owner of Bitwyre, concerns about the transactions, Mr Zahmoul sold back some bitwyre.
NZ	Do you want me to explain?
AC	No. Look at the middle paragraph, why were you writing to Mr Denby telling him that?
NZ	I will explain the transaction, we sold on November 2020 to bitwyre in Indonesia, for professionals in crypto.
AC	I am asking you why your solicitors are telling Mr Dendi that you were possibly going to report Mr Zahmoul to the FCA. What is the interest to this man?
NZ	The respondent bought 10,000 bitcoins and a year later he divested. Mr Dendi is the owner of the company, he texted him to buy back his costs, he said buy me back at cost. Mr Dendi did the company had 6 funding rounds in 1 year, on the day they did the transaction at 6000.
J	Just stop. Part of my job is to write down your answers, at the moment I am not writing, as you are not answering the question you are being asked. You are not listening to the question. It makes it very difficult for me to listen and understand your case, I really need you to listen. Short break.



	11:42 break
	12:03 court resumed
J	I should have made clearer, I have had the opportunity to read everything in the bundle. I have been involved for a long time, I know a lot about it, you don't need to give me the background. I know.
AC	I am moving topics. I want to ask you about the litigation with the BOJH. 2203 of the bundle.
NZ	May I finish, the explanation on the bitwyre was convoluted, it is called an undervalued transaction in the code of fraud. I simply asked to show the respondent had 1% of bitwire with 11 other people. I wanted evidence that he sought that 1%, evidence that he sold back his ownership. It is a private transaction; he is allowed to send something that is 100,000. This is a man who they would like to know he is regulated. In my opinion it is something notable, this is why I instructed my solicitors to write to the CEO.
J	Okay. Have you got the page?
AC	You provided the court with confidential settlement communications; the court thought it was inappropriate. What were those documents, do you know? 'the plaintiffs arguments..the courts finds the terms and conditions are ambiguous'
AC	What were the settlement communications you gave?
NZ	We had mediation communications, we reached after 1 day of mediation and the bank and the mediator reached out that should the CEO call the respondent and ask him to reverse the transaction, the respondent did on the December.
J	What were the confidential communications?
NZ	The mediation documents
AC	I was under the impression is was documents from these proceedings you have clarified it is not. Page 2383 – opening of the joint LLC business, Mr Zahmoul was trying to get an account opened for the LLC. It is your case he was trying to do so through the UK court, your case to BOJH was the court had not approved an order to open an account, what is this reference to? Court is reciting your case, but he was not successful.
NZ	He was not successful, 17 November 2022 court order, it is a variation, possibility to vary the order. Burgess Mee applied for a variation, I represented myself with a D11 to vary.
AC	Let's look at the orders at 336. 17 November 2022, you and Mr Zahmoul trying to have arrangements for the Wyoming bank account. There are promises that you are Mr Zahmoul are giving. Bottom paragraph on 335, 'must take all steps necessary for the rental payments being paid into the following account; LLC account at 3100, paragraph B is the property at 3093. Rental income shall be paid into an account, account shall be opened on the parties' joint application to the bank. The parties are promising the judge you will open the account.
NZ	I do not agree, paragraph 17 you could vary. I was told I should proceed to move on and I could apply to vary it.
AC	You gave a promise to the court that you would do that, but you weren't happy so you would vary it?
NZ	I was unhappy with this
AC	You have made the point you were not happy and you did not want to open an account
NZ	I didn't want an account because..



AC	I don't want why, I just want what. There is a court order which contained a promise you would open an account but you are making clear you wanted to vary. You knew what the order meant, but you wanted to vary.
NZ	I understood that there was language in the order asking to open the account and I had made clear to all that I was not happy with an account open as on 4 October 2022, I received an email saying an account..
J	I understand all that, just concentrate on the question
AC	Paragraph 31 on page 2183
NZ	The court order with paragraph 17 was sent to the Bank of Jackson Hole and was sent with redaction of paragraph 17 and asking them to open the account.
AC	You thought because you could vary your order, you had been successful in asking the court to prevent him from opening an account. You said to the bank he had not been successful in getting the order, because you could vary it?
NZ	I genuinely thought I could vary the order, everybody knew, I think Burgess Mee applied for variation immediately. Absolutely, what I think is that he could not open that account
AC	You are continuing with these proceedings against Mr Zahmoul?
NZ	Technical breach
AC	These proceedings are continuing in America?
NZ	Yes, the judge joined Karim.
AC	The action against the bank was discharged
NZ	Yes, and costs against me
AC	What's the benefit of carrying on with this in America?
NZ	There are false representations and fraud regarding the LLC. This is a dynamic situation, when the judge ruled against me, the transfer that the bank did too, 676,000. I lost on the matter. On the timeline this is before I started understanding the LLC fraud.
AC	How does it advantage you if you are successful – what do you get out of it?
NZ	There is a live misrepresentation, it's not what am I getting it is what is the downside, there is a misrepresentation, the fraud. What am I getting? When you have an entity and the ownership has been shifting, the bank needs to be on notice.
AC	If these properties were sold, the mortgage was repaid, the LLCs closed down and no further connection between you and KZ. What would be the benefit of these proceedings?
NZ	As long as someone is perpetrating fraud against me, I will need protection. I need someone. I bring to court on the D11, 27 April 2023, he answered May 2023 the answer is worth a read. As long as...
AC	Does that answer apply to why you have reported him to the IRS?
NZ	The respondent told me everything himself about the relationship and what there is to know, it is bigger than me. It is dangerous, there are too many things I do not know. I need protection. The children...
AC	Your children do not know about this, it is adult material. Page 2623.
NZ	It's not the IRS, it is the IRS criminal division, New York.
AC	Email exchange from Mr Zahmoul to you, he is writing to you, saying 'it is looking like we spent 800,000..' 'what I think is reasonable to spend 400,000 to 450' 'the balance left is 195 to 235', divided by...leaves a free float of 91 to 131k' do you remember this?
NZ	Absolutely



AC	Next page, email exchange in December 2014, you to Mr Zahmoul and him to you, you say 'I do understand your situation has changed and I will be more supportive, good luck' I read this email to understand that you understood there was financial pressure.
NZ	Yes
AC	Next page - December 2015. You say you cancelled the membership for an expensive gym, KX. He writes to you, you write that you are sorry about it, if she likes we can extend it to 3-6 months
NZ	Not KX, maybe a gym in Gloucestershire.
AC	Mr Zahmoul 'you spend over 5k a month...we are burning through the Barclays shares faster than anticipated'. You write 'I understand I will try not to do anything frivolous.' I read that as you saying you understand there is a bit of pressure on money and you will try not to spend as much.
NZ	Yes, this goes back to taxes, there is onshore and offshore
J	You explained all of that yesterday I don't need you to repeat, I understand.
NZ	The 104, he set my retirement at 104.
AC	At the time you knew there was some financial pressure, and you were trying not to spend.
NZ	Not correct. Respondent made clear if I wanted to spend I can do it offshore, I have been always clear that the restrictions were about remittances to the UK, when he was working or not working the spending onshore was 192l. They are lies so I am stuck at 104.
AC	2626, this is an exchange by you and Mr Zahmoul by WhatsApp, forwarding a message. You had written a message for Mr Zahmoul to send to the bank as you wanted to buy a house and couldn't afford it.
NZ	We bought the house and..
AC	I am told this email exchange about buying a house from Steve and you didn't buy it because you couldn't afford it.
NZ	There is what I know then and what I know now, what I know now is he was restricted by clean capital reserve, when he put in the mortgage he was probably told take it out of it will mess up the taxes.
AC	'Budget will not meet our expectation'. You drafted that email from Mr Zahmoul and he sent it.
NZ	Absolutely, the next year our spend onshore was 942, reconciling those two facts is enlightening.
AC	Next page - 6 May 2019. Looking at budget, high-level budget for you and the girls, 66 in tuition, 66 in rent...
NZ	Me writing to him?
AC	No, I think its him to you. He is saying it will be 360 dollars, he is showing how much.
NZ	360 thousand, using his salary to peg, which now he is doing with the rental in Wyoming, 104 is 2000 x 52. There is always pegging, there is always a budget and a plan. In 2018 he had Miss Molina, we are looking at a pegging right now. My future income is restricted by Wyoming, we never touched rental income, this is a box. I make 30 therefore budget is 360.
J	I need you to concentrate on the questions, I can't write fast enough when you answer like this. The faster you talk, the more difficult it is to take a note. You need to listen to Miss Campbell.



AC	In the bundle there are documents from 2018 – 2023, in the documents Mr Zahmoul is trying to ask you to spend less money, do you agree?
NZ	I agree he was doing that, it didn't make sense and now I know why.
AC	I was asking whether we agree and I think you say yes
NZ	I know this boxing, everything is by tax memos, the move to Portuguese was premeditative since 2018, likewise my budget and restriction, he even asked me to go and get a job at Cheltenham ladies college.
Ac	He asked you to earn money?
NZ	Yes, can you believe that.
AC	You believe he was trying to ask you to spend less money, its his case that he was worried about you running out of money, so he was asking you to not spend so much. Do you agree?
NZ	He was worried he would have to remit funds from offshore
AC	Would help to say yes or no, Mr Zahmoul was asking you to spend less as he was worried you would run out of money, do you agree?
NZ	No. From where it stands today, our expenses speak louder and clearer than I ever will. I am worried for this balance sheet.
AC	You don't agree and you have explained why. 2083. Table showing the reservations for the property in Wyoming. Recognise this?
NZ	Yes
AC	Third column says type, it says guest. We can see the third line you have booked the accommodation from the 9 th July until 26th august.
NZ	Yes, and I am staying there now
AC	Purchased first Wyoming property in 2017
NZ	Yes
AC	Second in 2019, where did you stay before the purchase?
NZ	A hotel.
AC	When you purchased in 2017, you didn't stay there because it was let.
NZ	When we purchased the first one I would stay in terra hotel
AC	So only time you started to stay was when you bought the second property
NZ	No, in the pandemic
AC	So 2020, I am told you stayed two months in 2020 and two months in 2021 and one month in 2022
NZ	Different houses but yes
AC	In November 2022 you booked to stay for the summer.
NZ	No, yes probably, when they send an email they are opening the calendars, I originally...I only booked to stay 1 month.
AC	Can we look at the second booking at 2225. Bottom two lines, second booking on 10 March extending the booking from August through to November
NZ	Correct
AC	2297
NZ	The situation is..
J	Let's just get to the question first
AC	2995 please, sorry. This is a bill from GB liners in July 2023 from Hill Villa to Boston, for Jade.
NZ	Correct
AC	2997, email dated 3 rd August from one of the agents to look after one of the Wyoming properties, saying because Nadia is in residence indefinitely, remains



	blocked off until we get confirmation from both parties. Did you tell Daniel to block it off?
NZ	I asked Daniel to block it off and moved indefinitely. Life is a moving river, these emails, what has happened not in writing, one girl, Jade was finishing her a levels and moving to Boston. I lost our home and I at first I thought I would rent in London, my time in the UK was finished my older daughter was in US and she has needs. To rent in London you need a balance sheet, and to rent in London my monthly rent would depend on the respondent, I could not do that
AC	When you came to court and asked for the rent in London to be paid for by the respondent, you already knew you would be moving to Wyoming.
NZ	When I came to court I would intend to move to London in September, my intention was to ship the belongings to donkey storage. I wanted to live in London until the end of the proceedings and decide what to do with my life. It shifted when I couldn't pay to move out of Hill Villa, I can't do anything without my own balance sheet, I will not accept to live in London without my own balance
J	You have set it out for me
NZ	I didn't lie
AC	When you booked the accommodation in Wyoming through to November, back in March and then you told the agent to keep it booked for you indefinitely
NZ	Booking date in March
J	I am satisfied I can see from the document. How long do we think we have left?
AC	Another hour, I may possibly be able to refine that. It would help me to narrow my questions if we had a slightly longer break. I have no objection to NZ being supported if she needs that. If we came back at 2:30 or even 3 o'clock?
J	2:45
	Hearing paused 12:50
	Hearing Resumed 14:51
AC	Page 2168 please. A letter I am told you wrote.
NZ	Beginning 'neither of us'?
AC	Yes
NZ	Absolutely. 2171. 3 June 2020 correct?
AC	Yes. Can you read the highlighted two paragraphs. Is what is written true?
NZ	Yes, at the time of writing.
AC	Thank you. S25 at paragraph 9. Read the first two paragraphs. Those two statements are contradictory
NZ	Reflect the reality and inconsistencies of the time. What is the question?
AC	They appear contradictory, at paragraph 9 you say this is someone who broke you and took you to the edge of despair
NZ	Process of 30 years, coherence comes way before the breakdown, there was a 10 year, gradually slowly these things happened. It is progressive. Between 1994 and 2011, for when I ordered drugs for the first time in my life. You take someone, it takes a long time to change the internal messages. Likewise, once there is a complete if you are brave enough to go all the way and restart fresh, it does not happen all the time, it is an exception rather than a rule, when that happens you need another 10 years to piece things together. The process is there is a break, that is why I lack coherence.
AC	2701.



NZ	Inconsistencies don't represent a liar, they represent incoherence.
AC	This was an affidavit prepared 7 September 2021, you give the address of Hill Villa, Daisy Bank
NZ	Representative of how homeless I have been, I don't know where I live. An oversight, but more being homeless.
AC	We know you were living in Wyoming. May I suggest the reason you gave that address you wanted to dupe your lordship into thinking that the rent you were getting paid was for London.
NZ	You are telling me this is to keep on getting the rent, no.
AC	You had moved back to Wyoming, why would you give a Cheltenham address?
NZ	It was not a secret I was not trying to hide that, by its nature it is a freezing order because there was a million dollars in the Coinbase account.
AC	Look at page 2064 please. Legal lender.
NZ	Lila had a rough time in the autumn term because of losing her home in England and because I was no longer on the continent
AC	We can see this is September 28 2021, explaining you had taken a loan
NZ	Correct, 14 days later they offered pound for pound and Diana said too little too late.
AC	KZ was prepared to dip into the savings in BOJH if he could use the same money for his legal fees, the same amount.
NZ	False, not savings they were rental revenue, they were sitting there. 2 at the FDA Judge Cope asked that that account, my assets at the beginning were 350 at fidelity were savings from Lehman brothers, started off at withers, joint account at BOJH was frozen. Maintenance of the homes..
J	I get that
NZ	When we ask for my legal fees, the respondent could close the balance sheet. When we asked for access to the joint funds for my legal fees, the answer was no. They would not agree to give me permission but I could apply for variation when needed.
J	Rather than the whole history, just listen to the question.
AC	1839.
NZ	That he would give me access provided he had access does not exist.
AC	Paragraph 38.
AC	Withers were informed respondent would be acting in person. You were able to secure Burgess Mee 24 October 2023, they ceased their instruction on 24 February 2023. During that time, you had extended the detach loan by 40,000 and you hadn't declared that. You didn't declare that the loan had gone up did you?
NZ	I appeared in person on 1 March 2023, I am not sure I filed a form H.
J	Did you increase the loan by £40,000?
NZ	The 40000 was ringfenced to apply for an LSPO. I signed a contract was that it was only for the LSPO.
J	Did you tell his lawyers or him about this?
NZ	No, Mr Zahmoul said that he represented himself so I didn't converse with him, I would not have sent an email to him no.
AC	Supplementary bundle at page 324. Page 389, the application dated 18 April 2023, if you look and confirm you are the applicant, your application for maintenance and so forth. You represented that you were acting in person.
NZ	Correct



AC	Now at 2572, this is a document who shows who the author of the document and it was David Lilywhite
NZ	Correct
AC	You were filing documents by solicitors who were assisting you
NZ	This was a template sent to me by burgess mee, they provided the template to me. They sent me a draft and I didn't use it
J	AC I am aware, if someone takes an MS word document and uses it in another case for another order, it can look like counsel drafted it.
NZ	The first time I sent it I didn't have the D11 form, I needed a template
AC	I accept what you say, look at 1839. This is where we were looking before. You were giving the judge the impression you had no legal assistance between November 2022 and April 2023 and it continued for a year, you say at paragraph 41 you had no access to legal assistance to pursue your case.
NZ	This is correct
AC	We know you had the detach loan, and it had been effectively doubled.
NZ	Between September 9 and when it ran out in august 2023...
AC	You got another 40,000
NZ	Yes ringfenced
AC	That wasn't referenced in these documents
NZ	I need to check if I filed form H, if I did it would be there.
AC	Whilst this was happening you were instructing lawyers in America who were pursuing subpoenas for you
NZ	Nothing has been paid yet
AC	I am getting on to ask about Mr Zahmoul watches
NZ	Your lordship do you have any questions on legal fees?
J	No
AC	Mr Zahmoul would like them back, are you holding them or are they being pawned?
NZ	We had the answers yesterday, the watches I said yesterday are not matrimonial pot.
AC	Where are they?
NZ	They are with the institution that leant me money. I do not agree that they exclusively belong to one party.
AC	There were 11 items of jewellery in the order. You didn't respond, are they safe with the agent?
NZ	Yes
AC	Do you agree you should give Mr Zahmoul the documents so he can go and get the items back?
NZ	Of course, except the items which are joint
AC	638.
NZ	I am sorry, I have paintings in Mr Zahmoul's flat in Portugal, watches paintings and everything, they go together.
J	Look at the page
AC	Item 11, Mr Zahmoul's mother's pendant, that belongs to him that was given to him by his mothers, I assume you don't want that?
NZ	I don't know where it is, I am not sure if I have it, or its in Tunisia or Portugal, I will not hold onto it.



AC	The 10 items, number 10 you accept this was a gift to KZ from you and a friend and number 9 was a gift from his father, number 8 was a gift on his 18 th birthday...
NZ	What's going on? Yes
AC	Number 7 a gift to KZ from your parents at your wedding
NZ	Yes
AC	Which watches do you want?
NZ	The ones you skipped
AC	Items 2-6?
NZ	Yes
AC	Why?
NZ	I am living out of suitcases with no permanent addresses, this is the legal definition of ownership. I am not capable to say about anything because I don't have anything. They are all except are engraving the ones in the middle you skipped are just from the shop.
AC	You sold the family car for 50,000.
NZ	Not for 50, it was a long time on the market. I asked someone in Cheltenham to sell it. I used 10k to pay solicitors, and 10k to pay a friend who lent me and there is about 12k remaining.
AC	Do you accept it was worth £50,000?
NZ	The discrepancy is theoretical
AC	Okay. You have told J you want to live in New York
NZ	Yes, Lila has ambitions to go to Columbia. I was in New York before I moved here 18 years ago.
AC	You have not lived in New York since 2005
NZ	Given Jade's needs and I don't have any more reasons to stay here, I move now, Lila Mae is boarding.
AC	Wouldn't you want to be in Massachusetts where your other daughter is? You have not lived in New York for 18 years, your other daughter is in Boston. You want to move for the first time in 18 years to New York?
NZ	Correct
AC	I say you want to live there because it is expensive
NZ	Actually, I would not get very much for the price. Both girls would not get a bedroom.
AC	So it's not affordable?
NZ	No, I'm just being rational.
AC	You didn't provide any particulars
NZ	I have some
AC	They were not in your statement were they?
NZ	No
AC	Mr Zahmoul is absolutely confident that what you said yesterday is absolute [X] No further questions
	Re-examination
BM	You were asked about your sister-in-law and your brother, in relation to what they said about Topanga. Could you look at 1407 in the bundle. You told his Lordship you could get a statement from them, there is no need as here there are emails and WhatsApp's from them. The first one, from Sylvie – was that the Sylvie you were referring to?
NZ	Yes, she will come here



BM	No need, 1408 – tell your lordship who is sending that message?
NZ	Me
BM	The response, 'no never'
NZ	My brother.
BM	The barrister told you he knew; he replies 'I am 100% sure'
NZ	That is correct
BM	Did you dishonestly procure those, by telling the author to write them in those terms?
NZ	Absolutely not.
BM	A letter. 2171.
BM	Was put to you that this text was inconsistent with other text where you had been highly critical 'I would never had the opportunity...you have provided us with luxury...i am conscious of this and grateful'. I am going to ask his lordship, to focus on 2168-2171, look at the second page 2169. Mr Lord, you will need to read the whole letter. 9 years ago you write 'I rose from the ashes...I healed through...the pain and the loneliness and the suffering...I torched my own beliefs [BM reads the letter] for the first time there was no tension between us during lockdown' do you think there is an inconsistency with what you say there and what you say in your other statements?
NZ	No
BM	There was a list of chattels you were taken through, what are you saying should happen to those for the avoidance of doubt?
NZ	I don't care
BM	Are you happy for the things to be returned to him that have sentimental value?
NZ	Yes
BM	She mentioned paintings in Portugal...
J	If you seek to adduce the evidence in the witness box, or put on record what your client's position is, you can but I'm not sure about resolve it
BM	In relation to the property in Portugal where your husband lives you mentioned paintings you describe as yours
NZ	Yes
BM	Are there any other specific items you would like to retain as Mr Zahmoul will like the watches
NZ	The artist is [X] she is a friend, I love them, some furniture for the children two beds and chest of drawers, peter rabbit hand painted, the girls would like those.
BM	His personal possessions in your possession, would you have any objection to Mr Zahmoul having those returned to him
NZ	No
J	I have no other questions, I am grateful. I am going to release you from your oath and let you go back to your seat.
	15:36
BM	I am going to need a little bit of time to speak to NZ after giving the evidence, I propose starting tomorrow.
J	Cross examination time estimate?
B	I would like to think I can do this in a day, depend how verbose I am and how succinct KZ is.
AC	I am in your hands, seems a shame to lose an hour but I won't make representations



J	I am prepared to rise now, but I would want to finish tomorrow, we need to be as sure as we can be so he's not in purgatory over the weekend
BM	In your hands
J	I would like to start now, reduces chance of KZ being in purgatory over the weekend. I will rise now for 5 minutes, and then we will go through until 4:20
	15:38
	KZ in witness box – 15:46
	KZ taking the oath.
AC	Mr Zahmoul give your full name
KZ	158, Lisbon 1150282
AC	Your voice is soft, direct your answers to his lordship. You have filed a number of documents, are those contents true?
KZ	Absolutely
AC	You want to deal with a debit on the asset schedule that's due for tax, a lifetime allowance tax, been included as a liability, is that a current liability?
KZ	As I understand that the UK parliament has changed the law, and there is no longer the lifetime allowance, there should not be a tax on taking that out.
AC	You would be happy for us to deduct that?
KZ	Yes

BM	Usually, the name and address bits are uncontroversial. Can you say again your address
KZ	158 Lisbon 155-81 . That's been the position since passing of my father in October 2020
BM	The issue is the difference between this address and the one in Cascais as Nadia is concerned there may be a different address that you haven't disclosed. Please provide an explanation of difference between Lisbon address and that?
KZ	When I left the UK in 2018, I moved to Portugal. Change in EU regulations, made pension taxable past the date of 20 February 2020. A friend of mine introduced me to address in Cascais. I was able to show I had a rental contract with someone and say I was a non-habitual resident. Deloitte did this for me in Portugal. Had contract for 6 months, I have showed the contract signed the 500 euros per month out of my account from February to October. Stayed on my tax return I addressed it with my current accountant. He has fixed it in my tax returns. My HMRC tax returns showed hill villas, it is not so relevant from a tax perspective.
BM	Tax advantage for that address?
KZ	Benefit from drawing from the pension with zero tax, from 2020 it was 10% because I qualified, I could take annuities at 0%.
BM	That wasn't true,
KZ	In what sense?
BM	You weren't living there
KZ	I was not living there
BM	That was a lie to advantage yourself for tax purposes
KZ	Was not a lie
KZ	I paid someone 500 a month at the time I was searching for an apartment I could live in. I was debating if I was going to take a two bedroom instead NZ convinced me to rent a more expensive property.



Bm	It was an artifice
KZ	I don't think so.
BM	It was a façade, the key is where you were residing you were pretending you were residing there. You were paying out money but not living there
Kx	My father passed away I was travelling I had a Pied-a-terre that I wasn't actually staying in for the changing legislation in Europe.
BM	1340. Do you see any dissonance between what you have just said and what you wrote here. About your character. 1340. You juxtaposed your good character and integrity, 'my banking career...respected for giving...completely trustworthy and honest...Nadia wanted to give bribes in Morocco I was completely against the dishonesty' do you think that description of yourself is consistent with what you've just said about what you did with the property you pretended to live in?
KZ	Yes
BM	1676 please. A couple of things by way of explanation, what the assets are and how we got to where we got to, with such a difference in presentation between what Nadia thinks the asset base is. In amongst over criticisms of Nadia, you wrote this to Burgess. You say 'lastly I am enclosing a list of books over the years ..during therapy period...believed Nadia had borderline personality disorder and PTSD...not to expose Nadia but make you aware of your actions, take advantage of someone who is may not be well' Nadia sees this as being characteristic of what some men do to women, to tell them they are unwell to undermine them, she thinks this is what you were doing with her solicitors, that is a fair criticism isn't it?
KZ	It's a spin, not a criticism. I have done since beginning of Nadia serving me, this has been written, we have been in proceedings for 1051 days since FDA. This was done after so many attempts of reaching out to Nadia, my first email to miss Bloom to offer any explanation with any expert and nobody was engaging. I was articulating what I was experiencing in earnest. We bought a house together Wyoming joint. I should have said you take one house I take the other, I wrote an email on June 3 rd explaining what had happened to our assets, she gave court origami to our friends she didn't want to engage.
J	As I understand it, this email was written to progress things
KZ	Yes
BM	Do you regret writing it in those terms, was it helpful to write?
KZ	I thought it when I wrote it, similar to her when she writes, I am not a Russian Oligarch, I worked hard for my money, if I offended I am sorry. I pleaded around that time for her to be rational. I wrote to her Mackenzie friend Monica McGregor, she is a forensic expert, I asked her to ask any question she wanted, I was despairing she didn't respond.
BM	I am going to be explaining to his lordship it is a case in which every action has an equal and opposite reaction. You reference your belief that Nadia suffers from PTSD, if you look at 2164, there is a letter from Professor Libby that you exhibit to one of your statements. This is a letter you exhibit to your statement, you were relying on it, 12 July 2022. 'I write in some urgency...I understand you are acting for her in divorce proceedings...I am treating symptoms of PTSD' keep that in mind, look at 477. Hearing in June 2023. One of the advantages of you having acted in person, your words are not said through medium of a barrister, you speak your words 'don't believe there is liquidity...she suffers from PTSD...this is reminiscent of 2014' I want to put to you that you present as if this



	PTSD is sprung on you as a device, you knew Nadia is someone who had been unwell and the proceedings would trigger her.
KZ	Fair thing to say, some context, letter is 12 July, remember when that was, day we had a mediation session. Then the next day you made an appeal on the Cigna policy, an appeal, when you had the letter, at the time this letter was available on July 13 th , you decided to use compassionate grounds to get judge cope to overturn her order, to give me access as a father to my children medical proceedings, they were rightly mine, that is what I was trying to say.
BM	Nadia you know is someone who values transparency and feels the need not to be misled or feel that things are being hidden from her, these proceedings particularly in relation to Topanga have triggered her and made it hard for her to believe anything said.
KZ	The reason I didn't want to get divorced and purchased a house on the basis we were not going to get divorced, and October 2021 she sent me a letter to postpone everything 1 year or this is a form E and you have 1 month to put it together. Of course it increases her PTSD, but I didn't do this, I was trying to stop this occurring, we renewed the vows, I stayed with her, I wanted to maintain her assets. I didn't want to get divorced; I don't deal well with ultimatums and that is how I reacted.
BM	A fair summary is that Nadia is someone who deals badly with being misled but you don't feel you are someone who misled her
KZ	Yes
J	Cannot talk to anyone about the case
KZ	Can be on my computer, looking at the statements.
J	Yes, the embargo is not to talk to anyone. Tomorrow at 10:30.
	Hearing paused at 16:14



Attendance Note – Zahmoul Final Hearing Day 4

Client: Zahmoul

Matter: ZAH01.1

Date: 23.02.2024

Time: 10:28

Initials:

J - MacDonald J

ACKC -Alexis Campbell KC – Counsel for Respondent

Sassa-Ann Amaouche – Counsel for Respondent

BMKC - Brent Molyneux KC – Counsel for Applicant

ZB – Zoe Bloom

RV – Rosie Vorri, Pupil Barrister

	11:20 into court
BM	Before we resume, I am going to ask for more time, understandably it is more important to my client that she is satisfied that I have full instructions in the technical aspects of the case, she is anxious she has communicated to me, she does not want points to be missed or inconsistent with the way she wants things to be put. I understand that is not what everybody else would want, I do ask for your indulgence so Mrs Zahmoul can give me full instructions, so she can sit comfortable in her seat knowing her case will be properly put. I anticipate no more than 15 mins.
AC	I am anxious to accommodate Mr Molyneux. I am concerned about the time slipping away, KZ is anxious to have his evidence heard and be released. It is appreciated BM wants to present his client fully, I suggest that BM continues and at a break if further instruction is needed then. I am happy to allow a short period now, and then if a further period is needed at end of cross examination, we can consider once we are through the lion's share of evidence.
J	Final Break, 15 minutes.
	11:37
BM	Very grateful for that. KZ good morning. Portuguese tax return, expand today.
KZ	Can I ask a question?
J	Listen to BM and take it from there
BM	701 please. Happy doing bundles?
KZ	Happy doing it myself
BM	Bottom of the page, extract from 2022 tax return in Portugal, can you explain the run of figures at 952?
KZ	I can try. The two figures 6.6 million euros is the distribution of the coinbase shares. In Portugal the distribution from Topanga canyon is taxable is a dividend, for non-habitable resident is exempt from taxes. While in the US would be taxable from 75, in Portugal what's relevant is what crystallised. I know it says January but its April.
BM	Why?



KZ	My accountant messed up, he said he made a mistake, but it has no impact. The 6.6 million is the value of the shares when I received them and I sold them in September 2022 for 1.74 million dollars, this generates, sold them for 1.5 bought them for 6.6. I had no idea when I arrived there. At the first hearing it was a dividend considered divided. If a [x] occurs in next 4 years, wasn't taxed in UK and US, and Portugal says it is aggressive not to be taxed on that, so we decided to leave in escrow so we can release. Bought it at 75, basically you generate 1.5 million euros, there is 28% CGT on that. It is a loss, it was discussed extensively with Nick Warr. I could tell you about the other figures, I don't know, I trusted my 20-year Deloitte tax person.
BM	You are saying you have the benefit of the tax assets, 1.4 million on future gains. It's a tax asset, the gains you make in the future you won't be paying 28% on in the next 5 years?
KZ	I don't know
Bm	That is a valuable tax asset to have, worth having
KZ	I believe in my s25 statement I said I don't know where I will be in the future. I don't know if this is going to be tax asset I am going to have, there is a risk in the next 4 years that this tax asset will evaporate.
BM	But that is a potentially valuable asset to you, to offset those gains against a crystallised asset.
KZ	It could, I suppose
BM	You could have paid tax at 28%, you could because the acquisition cost was 75000. You could have put 1.533 million euros as the sale price. You could have put the actual acquisition cost and the sale cost, and just paid the tax that arises on the capital gain rather than mixing and matching dividends.
KZ	I don't think so, I don't think I could have done that we are talking about a 20-year Deloitte partner that has been articulating that receiving shares in kind from the US is considered a dividend in Portugal.
BM	Does he say that? 3532, he seems more sceptical about it, perhaps as sceptical as I am. He says 'the allegation that Topanga canyon as a dividend...should be notified that it may be 28% tax on capital gain' all I am saying is you could have avoided all this complexity by paying the 28% tax
KZ	Not his advice
BM	Over the page, two errors I made 'the omission of details in the foreign account details...do not affect the tax return calculations'. NZ had discovered during these proceedings that when things are not produced there are malign reasons, she sees this failure to produce these tables as the same malign issues. Are you prepared over the weekend to provide these account tables? At 3529 gives an understanding what he was talking about. 'The only additional reporting obligations...cross referencing'
AC	I am not keeping up with you
BM	3529, penultimate paragraph. 3532, we were looking at, the omission of the table, will you produce that table over the weekend so we can see it?
Kz	I would be glad, can I check what table? When he forgot to produce it the account in 2020 and 2021 was the account [x] he says there is nothing from this, it was an innocent omission. NZ failed to disclose...it is criminal
BM	You are going off piste. It is not a debate; I ask the questions. You have confirmed you will produce the accounts table.
KZ	I will ask my accountant to produce, I am not sure what you are asking



J	This will take a lot longer if you try and jump in over the question, you need to wait for the question.
BM	So we are clear, your accountant says there is an obligation to produce a table of bank accounts to be cross reference with international obligations
AC	I will get the exact description and pass it on
KZ	I would like the clarify something yesterday
J	Clarification comes at re-examination, your leading counsel can ask any questions
KZ	Can I speak to her, I am not allowed to.
BM	I have some questions about distribution of Coinbase shares. 651 please. This is a point that has been troubling Nadia. This is a cut and paste from an email that you sent 9 April 2021. Shortly before distribution of Coinbase shares from Topanga, you need to set up a brokerage account to receive it, a bank of New York brokerage account. If you look at 732, you will look at what happened when you sold those shares. You'll an email to Kassis in Australia, Sydney, forwarded to Marco Bach at forte securities in London. Nadia is concerned that the shares were distributed to a New York brokerage account with forte and then sold through your friend/colleague in Australia. Why were they distributed to New York and sold in Australia? The proceeds went through London and back to the US.
KZ	Risk of tax in the UK, Andrew Gammon my accountant in the UK thought it was better to keep the shares outside the UK. Kassis has accounts all over including Australia, sold shares in Australia, held the funds for me. On September 15 I instructed him to sell, and I instructed him to wire the proceeds to bank of Jackson hole, how his firm was set up I don't know.
BM	We see the shares going through a Barclays account at 652, at the bottom. We see the wire transfer of £1.624 million to the 8909 BOJH account, about two thirds of the way down the page, the wire transfer of 1.62 million. The wire message a correspondent bank' 'this transactional flow, is not commensurable with the liquidation of US' raises question that the Respondent may not have liquidated the shares. Why were they transferred through the UK, if they were in the Australia to avoid the pull or consequence of them being in London?
KZ	I have no idea. Where you have offshore bank account for safety of assets, I don't know. I would be happy to send an email and have him provide an answer, it is more in response to Nadia thinking I still hold the shares. It was sold for the cash value of the shares on the day of the shares. We can get the series of transactions that fill the order, you cannot borrow that amount of cash. The shares were sold, you can trace the funds to BOJH, but I don't know.
BM	The tax returns for previous years in Portugal, previous years were 18 or 19 pages. The most recent return is shorter, was the most recent a complete tax return your full tax return or are there other pages?
KZ	That is my complete tax return
BM	1807 please. This is a page you produced in May 2021 with a view to sorting things with Nadia, look at 5 entries up from the bottom, coinbase estimated to market 2.327 million
J	2014
BM	Table produced by you in spring of 2021. 5 lines from bottom, coinbase. Tax rate Portugal 0%. 1.790 million after, is that a reference to crypto holdings?
KZ	Correct



BM	We'll come back to that. 752. You'll see there Topanga canyon holdings, US companies, converted to sterling 53 thousand...no explanation as to this line item in your form E or your enclosures.
KZ	There were a 100 pages of Topanga canyon documentation, lot of pages on it
BM	On the form E there was no explanation as to this or in your enclosures
KZ	I'll take your word for it. I answered on June 24 th the US securities offering
BM	We will do this methodically and look at different entries. Form E dated 15 th March, we all agree. We know you knew that coinbase announced its own direct listing on Nasdaq, you knew that when it happened.
KZ	I did not know
BM	I think you did, at 1343 this is what you said subsequently. There you do accept, that you should have stated on your form E that there were discussions/plans for a coinbase direct listing. TCH was a vehicle for coinbase shares. That fact you should have said, shows that you knew about the forthcoming listing.
KZ	Doesn't mean that
BM	Explain?
J	Answer the question
KZ	My father passed away, I got letters form Withers on January 21 2021, find the page in the bundle with Diana Parker threatened me we have to go to court. Nadia wants the UK to stay as the jurisdiction, 28 January I responded. I had other things on my mind, my father's inheritance and looking after my sisters. I had to get ready, find a lawyer. I was not allowed to spend much time in the UK, I knew this deadline was coming for my pension, that's why I rented the apartment in early February in Cascais, I left in...I was dealing with the form E with Andrew Gannon , I decided to leave Tunisia with my sister and went and isolated in Morrocco. I hired Stewarts law firm. I switched to HFC on the advice of the wife of Stebbing that Nadia had an affair with. I had lots of things on my mind.
J	I am in charge of this court room, when I speak, you listen. We'll rise for a short break. 12:09.
	12:21
BM	Mr Zahmoul, before the interruption, we were exploring that you should have disclosed your knowledge about the plans of the listings, and when you produced your form E you knew the plans.
KZ	The statement I made on May 17 2022 was late. I wrote this statement I delivered it late because I had a very serious problem with my lawyers at the time. When I found out about the listings it was on 9 April, while Coinbase had announced that they were looking to do it, it never materialised and it might not have happened. I wasn't sure – when I filed my form E, I put 75,000 for Topanga canyon, paragraph 3 of the May 17 th statement, I discussed it.
J	Paragraph 4
KZ	I had a call with Caroline Parkes and she asked about the quantum and I said it was between 75 and 100 and I disclosed in my form E, this is privileged.
BM	If it is privileged, you shouldn't say
KZ	She told me we have so much work to do on Imerman and questionnaire and it should wait, without waiving privilege that is all I could do. I am superstitious, until it happened that was not an asset I could list in my form, the assets move by huge amounts every day. I was ready to exchange on July 4 th



BM	I am going to stop you there. Methodically. Is it right that your solicitor has no recollection at all of that conversation?
KZ	That's what they said. No, they said they had no recollection of quantum, not the conversation. I sent the WhatsApp to my solicitor on 9 April of the 2021. K1 which stated it was 75, from a tax perspective.
BM	I want to ask about the solicitor, which you talk about in paragraph 4 [BM quoting paragraph] 'they have a record of the conversation', not just the quantum, they have no recollection of any of the conversation in relation to the listing
KZ	No
BM	You've just told his lordship that they did have a recollection of Topanga but not the quantum but here you say no recollection?
KZ	Yes
BM	At the time you disposed the truth of your form E, you knew every detail about the listing apart from the amount, yes?
KZ	No
BM	You knew there were listing rounds between 202 million and X
KZ	I was not focused on this with the divorce going on, I was in Morocco, switched lawyers, I was in the middle of nowhere, so I didn't infect anyone with what was going on in my life,
BM	You knew 2 days after your form E, Coinbase had made a regulatory filing according to previous filing, 268 million dollars, you knew in that filing Coinbase had said his private stock 342 per share, you knew it was a buoyant market.
KZ	You are impounding things I knew on me, not correct
BM	3 rd April, release it would go on sale 14 th April, you knew that didn't you?
KZ	You think I was focused on Coinbase, my father had passed away, family falling apart if that is what you think, then fine.
J	Being petulant in your answers is not going to help me, what is being put to you is that you knew, did you know or not?
KZ	Did I know about Coinbase, potentially. I knew that things had happened in the past, many things can happened, I am superstitious I didn't want to assume things, same thing as I know Coinbase 15 million euros. I don't have access to my shares I don't have access to Topanga canyon, my friend Mike Deeg when we invested in Coinbase we never spoke to them or had feedback, tried to get updates from Steve Jones but we weren't getting them, wasn't 100% sure.
BM	Idea that you were semi-detached at end of march and beginning of April with Coinbase is not true. Look at 650 please. Extract, copied into a D11 that Nadia issued, at C. 6 th April 2021, extract of material you were asked to produce. We see a copy of the email overleaf. At beginning of April you knew things were progressing to a floatation, didn't you?
KZ	I knew, I responded to an email on 9 th April, if was before FDA on 6 th April, an email came in an I missed it. I responded on 9 th April.
BM	881, the day after you received that email requesting [X]. This is the asset schedule prepared. Topanga canyon at the bottom box, 4 th line item, narrative sum in capital account 'company business unclear' it was wrong for you to allow that presentation to go before the judge. It was wrong of you not to instruct someone to say this in proceedings, only the day before you were told it was going to be floated. That was wrong.
KZ	6 th April I didn't know this, my first form E. I had just instructed new lawyers; I wasn't focused on this. I am sorry this happened, I wasn't hiding this from Nadia. I even said to my daughters on WhatsApp saying this will be an incredible day,



	I was trying to tell this happened. On the 9 th I knew and spoke to my solicitors, unfortunately.
BM	Do you take, I am going to be saying to the judge that this failure to disclosure has left such distrust and costs that we cannot disregard it. This was a bad error judgement in the very least.
KZ	Clearly, bad error at the very least, I have complied with every court order, meet anyone any time any place she wanted, offered anything.
BM	Did you know there had been 16 funding rounds at very significant prices.?
KZ	This is the email of November 18?
BM	Look at the nature, did you know of the previous stock raising?
KZ	I knew of the tiger round, but me going to Morocco, dad's passing, I was focused on other things, the detail for his lordship to appreciate, I wasn't focused on whether Coinbase would be tomorrow or next day, as investor in Topanga canyon I had no idea.
BM	Did you honestly think your investment on 15 March 2021 was as little as 75000?
KZ	The exchange we just went through financially, I put it on my form as 58000, they just raised money at 65000. It is not available to me the liquidity, how can I put it?
BM	Did you really think on 15 March that you thought your true value of your investment in Topanga was 75000?
KZ	I felt that the value I should report was the value on my tax return, thought that was the right way to do, I apologise.
BM	Dividend in kind, 21872 shares, 7.059 million dollars. Uncontroversial. 838 in the bundle. These are your replies from 4 th June 2021. We are over 2 months past the floatation of Coinbase. You are asked for a schedule of investments at 2.4 of form. You attach a table at 884. On that table you don't mention Topanga at all.
KZ	It was a mistake, a bad mistake addressed in communications. There were a few omissions, the response here was associated with 1500 pages of questionnaire and 3000 pages of Imerman. I am sorry, this has cost us as a family a tremendous amount of grief and money.
BM	Error in relation to that question and table, look at 843 please, question 3.5: 'Insofar as the respondent has not provided value of investments and their value can he do so...'. Your reply: 'All of these investment and value have been explained in form E' That was not an honest response.
KZ	Incorrect. I was overwhelmed with what was going on, it was not me trying to hide from Nadia. I apologise.
BM	One more question, in the 4500-page bundle this is one of the more straightforward. It couldn't be clearer what was being asked. What was going through your head - why did you not say it was worth 7.5 million? Why did you not say?
KZ	We were planning to do it in the financial disclosure, every time I brought it up with my solicitors, they said we will do it later, do this first.
BM	I am going to say there was a more malign reason. 1808. We've been looking...
KZ	This was WP by the way
BM	So many things have been said about WP things that ship has sailed. Events in March, bottom of that page. This is 6 th May, email from you. Suggesting mediation, you say please see the asset list.
KZ	This is WP



Bm	Nobody is taking that point so I am going to press on 'please advise what else you need...' you enclose the asset schedule prepared before by Mr Ray. Top of that page, split of the number titled 'in case you are serious' you continue, clearly all the numbers have changed, the bank accounts can split 50/50..pension we should split...tax consequences, let me know when...if this goes to lawyers' I am going to be saying this is one of the most important pages in the 4000, you are setting the parameters for a negotiation aren't you?
KZ	I don't agree but
BM	Tell us why you don't agree.
KZ	On June 3 rd I sent her a schedule of the assets. I begged for her engagement from the get-go and never did she engage a single time. I went to see her father in Morocco 7 or 8 times to do this with the least possible damage to the assets, she didn't mean it. She was foraging through my stuff, under my bed, she took a computer I gave to Lila Mae.
J	Question was were you by this document seeking to set the parameters?
KZ	No
J	What were you trying to do?
KZ	I was trying to get engagement from her so we could do this with least amount of damage. I have never looked to hide my coinbase assets, she had never connected Topanga to coinbase, I am sorry.
BM	1807, you reference coinbase there, but its crypto currency, coinbase and crypto were interchangeable terms, you didn't explain that it meant coinbase.
KZ	On June 3 rd I admitted on Topanga canyon, I said its not working, go to St Barts and get divorced in a civil way. On a June 3 rd 2020 I wanted it civil, she took pictures of Olivia and showed them to my daughters. She never asked questions about the spreadsheet. In November 2021 my friends sent her the spreadsheet she did not engage.
BM	We are ranging off, I am trying to draw you back to May 2021. I will put things to you, and you can say whether you agree. You thought Nadia suffered from PTSD didn't you, you told her solicitors that and other people?
KZ	I told them 17 Feb 2022. We left, I lived with her from March 13 in London to June to the US. She asked me to look for apartments in LA, then we bought the house in Wyoming and borrowed 5.98 million dollars, I asked her not to get divorced.
J	Did you say Nadia had PTSD?
KZ	You received letter on July 12, NZ said she had PTSD this is, I wanted to clarify.
BM	Your presentation was that Nadia is a vulnerable person who can be taken advantage of.
NZ	No, they were ordered to do several things she had to follow through and by November 17 2022 reinstated orders, copying in Ms knight. I did what Mr previous solicitors did because they had done nothing. I am explaining why I wrote this letter to Burgess Mee. I wrote that to him because I was despairing, we were spending so much money, and she had borrowed 280000. It was exacerbating her situation, I explained she had PTSD.
Bm	At the time you sent this email on 17 th May 2021, you knew that coinbase had floated and your holding was worth 7 and half million.
KZ	Yes, but less than
BM	Worth several millions of dollars, you knew that and didn't point it out to Nadia
KZ	Yes



BM	You didn't produce it in any schedule, you forwarded her a schedule which didn't even reference Topanga
KZ	Yes
BM	You told her she shouldn't discuss this or take this to her lawyers
KZ	Yes
BM	If she would have gone along with this you would have bought her out of the coinbase for 358000, this was exploitative and bad conduct.
KZ	No, I was trying to get engagement. I have not misled. I always told her 50/50 with her.
BM	Are you telling his lordship that getting engagement from Nadia would happen by misleading her about the figures on the spreadsheet?
KZ	I was trying to get any engagement from her, it's a precedent email. It was not feasible for her to agree with me without lawyers to get the contract. In 4 years, it was very difficult to get any resolution before FDR I was trying minimise the cost, it was hard to make the money I make. All that money had gone to lawyers.
BM	These proceedings had only been going on for a couple of months at the time of the letter.
KZ	Out of context, for 26 years this was the fear of my life
BM	You thought that engagement with Nadia would be helpful with the figures in the schedule
KZ	No, the house in Wyoming the K1's everything was shared
BM	Why was that attempt at engagement helped by grossly inaccurate figures?
KZ	Engagement can be helped by figures that are going to help you
BM	I understand. Is that an appropriate time to take a break?
J	Yes 13:02
	14:02 hearing resumed
BM	We had Monday as a free day, but I won't finish today.
J	Complete the evidence on Monday, Tuesday prepare submissions, hear them Wednesday and then I will be reserving judgement.
BM	Before the short adjournment we were looking at the timing of your disclosure about Coinbase and the discussions you were having at the beginning of May. I will be submitting to the Judge next week subject to what you say in evidence that your behaviour in April and May was not only dishonest, but was almost designed to exert maximum pressure. 1591 in the bundle. Letter on 26 April after first appointment, 10 days before you communicated with Nadia about mediation, 'I write regarding the interim financial arrangements...[brent reading the communications]' 'he is clear this sum is unaffordable, US AmEx with cap of 1,500 dollars...the burn rate has become greater' what that letter doesn't say is that you have just received shares worth 6 million/7 million dollars. Do you agree that was a significant and misleading omission given you were trying to reduce the amount Nadia was spending as capital?
KZ	It's an interpretation. I was trying to control the haemorrhaging of funds. It was segregated, just because I had an asset we cannot spend so much more, as AC articulated, I was always trying to reign in our spending. My accountant was telling me many times we couldn't afford the lifestyle we were having. It was not connected, I was not trying to be misleading, I was trying to control the shock of just having to purchase the 5 million dollar house in Wyoming, I have tried to



	appease my wife. She had cornered me, had boxed me into these proceedings which have led us here now. The guidance I received was to do this.
BM	This was a fortnight before the FDR, when you were trying to reduce the maintenance, that collection of facts is inappropriate
KZ	The collection of facts gives horrible optics.
BM	1600, Withers response, dealing with the letter which is on the opposite page at 1599. It's dealing with the loan for legal fees, you said it was unnecessary for a legal loan. [BM reading letter at 1600]. 'I note your client was critical of spending money on unspecified suspicions...depleted her own capital assets' do you agree with the implied criticisms that it was wrong, having received those monies, it was wrong to restrict the monies to NZ.
KZ	I did not restrict the monies to the children, I was trying to control the spending. We had just borrowed 5.72 million, the most we had ever borrowed. If we wanted to keep the houses then we would need to make a budget. We would have to make a plan, I don't believe that the optics you shine on the situation is accurate.
BM	Few more questions on this topic. 886, letter of 16 July 2021. [BM reading the letter]. 'this was a vehicle owning Coinbase shares...' why did you wait until 2 working days before FDR to make this disclosure?
KZ	Because Nadia was not ready to exchange on July 4 th , so we waited to exchange. Nothing was ever...
BM	You make so many criticisms of NZ of being late, do you take any responsibility for the inevitable problems that will arise from disclosing this 2 days before a court hearing designed to reach settlement?
KZ	I clearly take responsibility, I want to say the context.
BM	Tell the judge the context that doesn't make that wrong
KZ	My solicitors had been chasing withers to disclose from July 4 th , reason it was on the 16 th was because Nadia was not ready to be sooner. Between July 9 th and the 16 th we had a meeting with Nick Warr. He agreed she take all the [x] in American and I take everything else and I said no. I was not trying to misguide, I didn't understand the process like I understand it now. It has been an expensive lesson.
BM	In April HFC write the letter about maintenance being reduced, you know by this point that there is a 7 and a half million asset that has crystallised. You make that disclosure 2 days before the FDR and you say 'I was waiting to exchange', can you see the culpability for the delay lies with you here?
KZ	I don't agree with you. I was following clear guidance, they were waiting for Nadia to be ready, I am a lay person, your sophistication I do not have. I made a mistake by not disclosing earlier. I'm sorry I did that.
BM	You say that over a million pounds of extra costs, you are saying to his lordship Nadia should bare that responsibility. Do you think that is fair in the whole?
KZ	I think she bears the brunt of the responsibility for not engaging. She filed LSPO on August 14 th , she did not follow the FDR rules, to me it was never an intention to settle or progress constructively. So she just wants to not communicate, she was saying the way to respond, we have been told by J that it would be better to negotiate. I have wrote 27 times to try and reach with her and have proper engagement, she has never engaged. She tried to say I was bullying her after saying I was the nicest person in the world. She had premediated this for a year. She lived with me a ferreted through my stuff, trying to figure out everything that happened. I sent her a spreadsheet of all my AmEx cards, she has not done anything that was asked by me or anyone.



BM	888, letter from withers on 16 July. They describe first two paragraphs [reads the letter]. Fair criticisms aren't they?
KZ	I don't think so
BM	Response at 890 and 891. Your solicitors [reads the letter] point 8 at 891, Topanga canyon. Do you agree that the tone of this is improper in circumstances where you accept that you have not made the disclosure and you have apologised to the court?
KZ	I suffer from ADHD. All the letters from Withers were aggressive. There were letters from HFC to withers which did not need to be this aggressive, it is offensive but it has to work. She was looking to hurt rather than to work together to get this divorce.
BM	This is a run of correspondence following you attempting to mediate, with inaccurate figures where she has been saying all along she doesn't trust your disclosure. You have now disclosed upwards of 7 million, your solicitors response 'no basis for these allegations have been offered' Nadia sees this as gaslighting, people telling her something that she can see is obviously wrong. Do you agree?
KZ	No, I don't agree with you, you have to have the benefit of reading all the letters. Judge Cope served the costs order, again she penalised Nadia, from the get go she was looking to harm before coinbase.
BM	1343, paragraph 25 'I approached the form E literally...' [BM reading] literalist approach you are touching on there. The value of your other private equity unquoted invested is explained and qualified in your Form E. 175 please. I am going to be saying to the judge this literalist approach only seems to apply to Topanga, you'll see the Panama company 'the company owns squatting rights...' [BM reading the written qualification] 753, Hydra Ltd, you say [BM reading] 753 again, top of 754, 100 euro ordinary shares. 'this reflects what I paid for the shares in 2020 and remains my view of current value' you were with all these shares able to come up with an estimate of the current value, for all except to Topanga. It doesn't stack up.
KZ	Don't agree, didn't have much information from Topanga, it was done in 4 weeks 3 weeks. Route IA was not there, nothing there, bitwyre,
BM	Mr Zahmoul, where you looked at these and you had some view on value, you tried your best to attribute a value to the other equity interests. This only really applies to Topanga, why is that?
KZ	Not correct, I have announced I just put the initial numbers
BM	You say 'this reflects what I paid in 2020' you applied a critical eye to come up with a figure.
KZ	No, it was a recent investments
BM	1384. July 2020. Running into Steve at a party, someone who introduced you and Mike Deeg to Topanga investment. [BM reading exchange] you say 'better not be' because you knew this was a very valuable investment in underlying coinbase didn't you?
KZ	No, I didn't know that. There was a few emails over the years. We didn't get an update one time on this, not like venture capital every six months where you receive an update every 6 months. This investment I mentioned in May 7 th statement. Maybe it wasn't a serious investment
BM	Your sworn evidence is your best estimate to March 2021 was 75000.
KZ	Ok, I explained this in my May 7 th statement.



BM	Tell the judge please, whether you thought on 15 March 2021 whether this was worth 75000.
KZ	Until it is realised, it is 75000, until such time it is not worth more than 75000. That is what I have always believed in all private venture capital. Many friends in finance have this approach, be conservative until the investment is realisable.
BM	I am putting to you that is a dishonest presentation. 866 please.
J	14:35 bathroom break
	14:43 hearing recommenced
BM	There is a document, a letter from HFC to Withers from 2 July. I don't know how to deal with it, I have a copy here.
AC	Happy for it to be read
BM	Letter from HFC 2 July 2021 to withers, 'given the sheer number of our clients bank accounts, I do not propose providing updating disclosure, there has been significant...my client is happy to proceed without my client updating her updating disclosure also' You were proposing contrary to what you were saying earlier, you wanted pFDR to go ahead without updating disclosure, with no update about Topanga. How do you explain that letter of 2 July? let's do the FDR without updating disclosure.
KZ	I can't explain it I don't know, it was never the case I have recordings all kinds of things I am happy to share them it was never the case to share them.
BM	You can't explain this letter
KZ	No, I don't believe, it has to have a context.
BM	I will read it again. I'd rather have the letter produced. We will deal with that on Monday, we will have correspondence either side so he can see it in context
BM	Move on. Large part of Nadia's case is undisclosed capital, I want you to ask you about this so her case can be put to you. 3297 please. AG tax memo prepared for you in April 2021, form E tax queries. I will put the whole thing to you. 'all Karim's assets are clean remitable capital...all funded from this source..2 and a half reserve of clean capital...his UK clean capital, he received offshore earnings...some of this he remitted to the UK...after 2016/2017 and UK income was unable to keep pace with his expenditure [BM reading the memo]. The first element, Nadia says that your UK income met your UK expenditure, she says your US assets predate 2005 and then look at 3496, she says the outflows from your UBS account from Switzerland approximately 12 million pounds sterling, if you add up the outflows from 3496.
KZ	The outflows, you don't need to inflows
Bm	The outflows from UBS totalling 12 million, she says there is no evidence anywhere on the balance sheet showing what happened to these outflows. It wouldn't have come to the UK, it wasn't being used in America to purchase assets as they were in situ. Your explanation is at 3467 [BM reading response] 'there is no 12 million pounds missing, payment of premiums on Penn mutual' Nadia doesn't accept that, she says UK income met UK expenses, the US assets are already in situ and the UBS outflows are not accounted for by the minor expenses, and certainly not brought into the UK as he could have to pay 45%. What has happened?
KZ	We were running out in 2011, I left as sphere digital. Let me leave the UK from the tax perspective, something used by offshore deep sea divers, they can get paid in the UK and work outside the UK. I discussed sphere digital with Nadia in



	April and May 2018. I had spent too much money in the UK. We had exhausted the clean capital that could be moved. The Liechtenstein disclosure facility I had to provide every account that assisted in my name in the world, it could be criminal if I had done a remittance if I couldn't prove it was clean. There was no way to prove that the money coming into the UK was not clean capital, had I stayed in the UK that remittal account would have been reputed by that tax, that is the driver for why I left the UK. I have showed the full inflow and outflow from my UBS account, we can go line by line. It's not in the bundle it predates 2019. I provided my UBS account in the form E. There was no hidden balance sheet, that is my exhaustive income, there is no money being earned elsewhere. I invested in an EIA in the UK, that could come as capital offshore. I invested that it was repaid in 2017 2018, the capital invested could stay in the UK, each one of these transfers can be explained, I can send you each inflow and outflow in 2012, there is no hidden balance sheet.
BM	Nadia would be saying at the bottom of 3297, during this 13 year window of time, you earned 20, you paid tax of 8.5 you spent about 9 meaning there was about 2.5 million clean capital in the UK as of 2016/2017. That was drawn down to meet you spend of 942 per annum, by 2020 this was exhausted, she can't understand if your UK expenses were met by this source of income and clean capital, where the 12 million has gone to. She understands that some has gone to investments, that still leaves several million and she cannot explain where it has gone, can you explain?
KZ	I can show you the inflows and outflows, the balance of UBS was never 12 million, I never had 12 million in an account at any time. How could I have accumulated, what is the logic? You are saying the sum of the flows into an account is the stock in the account. You are telling me year 1 and 2 and 3, money going out coming, the sum of all this is my asset?
B	Nadia's maths is that there is 12 million of outflows, that assumes there is no reinvestment of those moneys. Your response says the money goes out and goes back in so it is double accounting to add up all the outflows. What happened to the money?
KZ	What do you think happened, we spent it
BM	Can I speak to my client, I know she would like me to
J	Yes
	[BM conferring with NZ]
BM	Is the position that none of the UK expenses were met using the UBS monies?
KZ	Of course not, many expenses were paid from UBS monies – New York apartment, the taxes from the 1031 was the UBS monies, the money in the BOJH, the UBS was the source.
BM	The Barclays shares that were another line item of non-disclosures, are the Barclays shares paid into UBS?
KZ	everything in UBS was part of the 19.8 Million. I was hired into Barclays service level agreement with Barclays Jersey. I was seconded by a jersey company. The account Nadia said she had access to was a jersey account, was not UK onshore, I could have the non-ordinary resident status, I could separate the money and send to UBS. On June 24 in the questionnaire there was a request to give provided the exhaustive list of all the share awards, all the units cash value, Barclays was doing a lot of tax with the employees. I was paid in a proportion of the 50 60% in cash. The whole exhaustive list of everything, I left Barclays 2014, last bonus was February 2014. The portion was not in cash it



	was in shares it was paid in a 3 year period, this was why I could not leave the UK to go to Portugal, as the income was earned as an employee of UK so I would be taxed on proceeds of invested shares. We lived way beyond our means, all that was provided as an exhaustive list in replies to questionnaire in June 2021. I changed careers completely, made 2 investments, Ventus 1 and Ventus 2, it was exhausted. It didn't go into UBS. I am happy to provide to help quell Nadia, the list of all the cashflows the inflows and the outflows.
	[BM conversing with NZ]
BM	Move on, Gemini. 751. To contextualise this, Nadia says that you criticised her throughout these proceedings for her suspicions and allegations of non-disclosure that there are other examples of you not telling the truth and I want to explore this with Gemini. Form E at 751. Broad descriptor at 2.4. 'hold or have an interest in' so court can police the totality of your disclosure. Your completion of the form was incomplete, you didn't reference your holding of crypto currency in Gemini
KZ	Correct, Gemini was no longer mine in March 21, I had gifted to my sister in November 2018. When I gifted it, I explained in my April 10 statement, I gifted it to her I explained on June 2014. April 10 2023, made a statement.
BM	We will go there in course
KZ	Video with Mr pinto, Nadia had forced..
BM	2135 is the paragraph you want to reference
KZ	Link there to a whole conversation, during the zoom. My initial response was June 14 th , I explained the Gemini account was no longer mine. It may be wrong legally, but it was gifted to my sister. 1 year later on a zoom call, Mr Pinto attended, I explained that Gemini was a former account of mine. The paragraphs of the relevant parts of the conversation, I was telling Mr pinto and Withers this was no longer my account. Many things that happened between 2018 and 2022 I was only able to get my sister legally on the account of [April] 2022. I gifted my daughters 1 bitcoin each in 2022. Nadia wanted some in 2017 I gave her a quarter of bitcoin. I was a believer in crypto, I was an early adopter.
BM	Because your case is that Nadia has been unreasonable and her case is that you have not disclosed, I will take you methodically through the document. 751, you are asked to provide details of investments you hold...you did hold them, so they should have been disclosed.
KZ	I genuinely believed I did not have an interest
BM	There is a difference between things that you hold, for somebody else and something you have nothing to do with, it should have been in there.
KZ	I disagree
BM	Would have been totally otiose if you only had to put things you had a beneficial interest in
KZ	No...
BM	148. Here we have a series of questions you were asked in May 2022 about deficiencies in your clients disclosure. On 25 th may 2022, question 6...details of NFT crypto currency' your reply at 152, answer 6. [BM reading] 148 question 12, details of any trading activities on behalf of third parties, your answer page 152, question 12. 'my client has not undertaken investments on behalf of third parties except chia'
KZ	I don't understand this
BM	BM rereading. Finally, 149 you are asked about question 16, any other relationships with any other banks or entities, your response at 16, 'he has



	disclosed all his crypto assets' thrust is have you made all disclosure of crypto, any holdings for third parties, no mention of Gemini for your sister
KZ	Didn't think it was my account, it was my sister's account.
BM	you had an opportunity on form E and you had an opportunity here you don't take advantage here to say I do have these 5 bitcoins but they are for my sister, why did you not do this
KZ	I don't know, I did not believe they were mine.
BM	861 please. Question 9.5, any investments 'or of a nominee' February 2022, it's a further nudge to say to you if you are holding anything put your cards on the table if you have no interest make it plain, why did you not?
KZ	I don't know, this process is overwhelming and traumatic. Like I said my first form E was done in a month, it was an honest mistake.
BM	Can you understand the adding together of these non-disclosures have added to Nadia's concerns about non-disclosures and that was reasonable to think
KZ	I could agree with that if I had not offered a hundred times to answer any questions that she had, I had emailed Ms Bloom. I had sent 15 letters, numbering the attempts to meet and explain anything she would like, with anyone, with the tax expert, I was trying to make sure she was comfortable. I don't understand, I have the benefit of 27 years of behaviour. I was trying to have communication, I tried to speak to her father, her brother to get an intermediate. You are pointing out pitfalls in my answers which are genuine pitfalls but it was not trying to hide something. After that when I was on the phone with my lawyers on June 14 th it was a genuine conversation, I am sorry.
BM	One of your criticisms is that she didn't take advantage of opportunity to discuss things direct. I am going to be submitting, but when trust has gone it is hard to get back. For NZ the scale of your non-disclosure, in relation to coinbase and Gemini and Zappo, she couldn't engage and take you at your word, that was reasonable wasn't it.
NZ	No, the attempt to engage wasn't to take me at my word it was to answer her questions, there was no discussion and there comes the final hearing. The day of the PTR there is the application with non-disclosure this has been the theme since the get go.
BM	I think your answer was that it was not reasonable for her not to engage with your requests. Look at 2235 next. This is a breakdown of the Imerman that your solicitors had analysed. They describe the 'Gemini KZ, our client no longer holds Gemini' you knew at the time this was produced that you did have a Gemini account, why did you not tell them to express it in those terms, it was misleading.
KZ	I didn't think it was misleading it was my sisters account not mine.
BM	2134 please. Paragraph 26. [BM reading] 'I stated the Gemini account had once been mine but was no longer mine', The document you were referring to was at 2135. What you say about the Gemini allegation 'I stated it had once been mine but no longer mine...the platform no longer exists' You weren't referencing a specific Gemini account, what you had originally done is denied any Gemini account, you didn't say you had one but you were about to transfer. Why not provide more clarity?
KZ	I did provide clarify, on June 14 2022 when I spoke to crypto expert and shadow expert in 2018, this was...
BM	When your solicitors produced this in June 2021, you knew you had a Gemini account didn't you?
KZ	I knew but I didn't see it as my account



BM	From a KYC perspective, as far as Gemini were concerned it was your account, is that correct? 2135. Paragraph 28 onwards [BM reading]. In 2022, you explain you were able to do this she had been added to your lease in Portugal. Look at 128 please, I am going to suggest this is a fictional explanation. Order 16 May, relates to a hearing on 4 th March in Bristol. The order wasn't finalised until May. Judge made a determination, part 25 applications, SJE Marlon Pinto, [BM reading order] 4 th March, judge made a determination that there would be an expert to look at your crypto holdings, you initially opposed that?
KZ	Not opposed that, initially what do you mean?
BM	On that day and before that, you opposed it.
KZ	At the time It was hard to understand what was going, you said she agreed to it herself. She had not made a determination, I was taken about on the march 4 th hearing, she made another day as cipherblade were considered a flimsy entity
BM	On 4 th march judge said there would be a crypto expert, that was something you didn't want
KZ	Erm yes
B	Is it true?
KZ	That I pushed back on crypto expert? I reluctantly agreed on 4 th March
BM	2724. Remember the chronology, on 4 th March the judge agrees to Nadia's request for a crypto expert to review crypto holding, 8 days later we see you contacting Gemini saying 'I have moved to Portugal and need to change the name on the account, should be Lila and Karim Zahmoul'. 8 days after, you say you have moved to Portugal but couldn't change the address on the site, you moved to Portugal in 2020.
KZ	In February 2020 I came back from the US I had lost my job with sphere digital I needed to find a place to reside, Deloitte informed me this law was changing, I found a place to rent until I could find a place more permanently. We had to go through all this process and get approval from the government to start a clock of 10 year. I was in Portugal from March to June 6, I lost my ESTA. I was staying with Nadia with her surgery, in October my dad passed away I went to Tunisia until January 21 st , the date Ms Parker sent me this email about jurisdiction, then I go see her father and establish myself in a dead zone in Morocco and in May 2021 she accused me of spending. To answer your question, there was no time to do anything with my sister.
BM	No time since 2020 to do anything?
KZ	No
BM	This was an insurance policy
KZ	What was?
BM	Listen to the rest of the question. On the 4 th of March, the judge has mandated an investigation into crypto currency, this was a holding in your name that despite repeated request you haven't told anyone about. You for the first time take steps to get the account into your sister's name too so you can maintain the fiction it was hers all along. This was to make sure if the crypto expert spotted it this would cover you.
KZ	No
BM	Its just a coincidence that 8 days later you do this?
KZ	No, it's not a coincidence, I just didn't have time. I look after my sister, you are right that it happened sequentially as if it was in my name it would have been even more dramatic.



BM	3194. Correct you did not disclose the existence of the Gemini account, even after the account was transferred into joint names with your sister, you never disclosed it.
KZ	In what sense?
BM	In every sense, it took Nadia getting a subpoena in America to reveal its existence.
KZ	I don't understand
BM	You never disclosed this, it required Nadia getting the subpoena for you to admit it
KZ	I don't get it – in June 14 2022 I disclosed it, the subpoena was in 2023.
BM	We are going to look more closely at what you were saying and accepting.
KZ	June 14 2022 I told Nadia and her legal team, she got the subpoena in February 2023.
BM	3194, 29 th June. [BM reading] Fair criticism isn't it?
KZ	Absolutely not, it is a hurtful nasty email that gets right under my skin. To be clear the email I wrote to her, I disclosed I invested, I became director in special company in US on November 6 th , Greenbase filed something before I signed, and that I was 6 days late in disclosing it and asking questions on SPAC . It was perpetrating the judgment of June 9 th when I attempted to explain what a SPAC was, all this communication was costly for what it was. I was trying to articulate that.
BM	2729 please. Continued correspondence, bottom of the page, message from Gemini, purports to come from Lila but signed Karim, why were you sending messages being her?
KZ	I don't know I don't remember
BM	2239, extracts of conversation with Marlon Pinto. Relates to June of 2022, after you had added your sisters name to the Gemini account. You'll see there its an account of conversation you have with Mr pinto, [BM reading the messages]. You don't say anything about 6 weeks ago, you say it was outside the scope, that was wrong wasn't it?
KZ	I don't think it was wrong, I said I disclosed it I didn't go into details of when
BM	1998 please.
Ac	Before this is the shadow expert, there has not been any permission for this to be adduced, it has never been an application for it to be adduced, it should not be relied upon. Because it has been taken out of the section 25.
BM	If it is controversial, I will ask a free standing question. Nadia had concerns she articulated to you that there was a Gemini account and you had not disclosed any involvement, that is why you said to Mr pinto 'yeah there was but I gave it in 2018' it wasn't voluntarily given, it was because you had been found out and you knew you would have to say something so you were getting in early. That's true isn't it
KZ	It is not true.
J	Still under oath over the weekend. Commence again 10:30 on Monday.
	15:56 hearing paused.





Attendance Note – Zahmoul Final Hearing Day 5

Client: Zahmoul

Matter: ZAH01.1

Date: 26.02.2024

Time: 10:30

Initials:

J - MacDonald J

ACKC -Alexis Campbell KC – Counsel for Respondent

Sassa-Ann Amaouche – Counsel for Respondent

BMKC - Brent Molyneux KC – Counsel for Applicant

ZB – Zoe Bloom

RV – Rosie Vorri, Pupil Barrister

	10:30 – Hearing Begins
BM	Good morning. NZ sits behind the curtain. Clip of correspondence I was referencing last week, first letter 30 th June, go to 7 or 8 pages in. Said to his Lordship, wait until updating disclosure and tell her about the Coinbase equity. You instructed your solicitors not to do any updating disclosure at all.
KZ	Not correct
BM	[Reading 2 July 2021 letter regarding not doing updating disclosure]. Could not be clearer you were proposing there would be no updating disclosure above and beyond your questionnaire
KZ	Incorrect, my solicitors, where they said crypto here they meant crypto including coinbase capital. I have evidence in the form of transcripts from august 23 rd , March 3 rd 2022, May 3 rd 2022, and July 7 th 2022. Excerpts of conversation with my solicitors.
BM	This is between you and your solicitors
J	Difficulty with this, if one goes down this line of questioning, you skirt around privilege, you say in your question 'your instructions to your solicitors'
BM	I was saying your instructions do not update – entitled to put this questions as i am, as it is entirely contradictory
KZ	My communications with my solicitors, zero doubt that the intention all along was to provide the Topanga canyon converted to coinbase. There was precedents of sharing these small segments of communications. To prove a point that is fundamental, I will be happy to share the excerpts of the conversation. The costs involved save the up to date crypto, what is meant by my solicitors is my Topanga, and coinbase and crypto, there was no doubt there was disclosure of coinbase. We are talking about we are on day 1054, this was day 50, I was in Morocco at the time. I was travelling to Lisbon, had a conversation with Nadia and nick Warr on July 9 th .
BM	The only evidence admissible is the open correspondence. I am not going to pursue any questions on that as privilege has not been waived. Your attention had been pulled so you could not concentrate fully on replies to questionnaire...you were waiting on disclosure. Not what you were saying that



	at X [bm reading letter]. You are saying you spent a lot of time in preparation, so there was no excuse in not providing the updating in relation to Topanga.
KZ	July 2 nd , you have to put it in perspective, we started FDA on April 7 th , direct listing was on 14 th , we were extremely busy coming up with response to questionnaire and the Imerman. It was 3200 for one and 1500 pages for the other. I was not in the UK I was in Morocco; it was an overwhelming task.
BM	You were kitesurfing at the PK25 resort
KZ	I was trying to save money, to try and get myself out of the stress I was in. I was not allowed to see or speak to my daughters. I was trying to deal with it as best I could with my fathers passing. When it was announced that it was proceeding in January 2021. I decided to go to Morocco to speak to her father to instill reasons in her, I thought her father had the capacity to do that. DK25, I was doing Ramadan, I was the only guest in the hotel with the staff. This was done while I was remote communicating with my lawyers, I was introduced to them by Mrs Stebbing. I did the best I could, I had never met my lawyers. There was a windfall on 7 million, we have squandered it in the last year. There was a hundred times when I said I would speak anytime anywhere.
BM	Your clear intention by this letter, was to deceive your wife, and never reveal the windfall from Topanga canyon. Move on, 842 please. Nadia says you are a meticulous record keeper, as someone who works in financial services, reasonable?
KZ	No, I'm human.
BM	Fidelity investment account, provided by you to Nadia in June 2020, you say this was a mistake. [BM reading]. Which is true, the presentation of you having a separate fidelity brokerage account in the assets or what you say in your replies to questionnaire? 148.
KZ	Fidelity...
BM	We can move on we've dealt with it. 148. Item 10, details of cold storage wallets. Answer at 152, 'my client does not have any cold storage wallets...' look at 1837 please. There's a purchase of ledger wallet, Nadia's understanding is that ledger is a cold storage wallet, she sees a purchase of cold storage wallets, is that what it is?
KZ	Three ledgers, I have them in my bag now, I am an early adopter, I bought these ledgers, they have never been used.
BM	From Nadia's perspective, she asks in May 2022, she sees you purchasing a cold storage wallet and she assumes from that that you haven't told the truth...
KZ	You are misrepresenting what is meant by a cold storage wallet, what Nadia meant was a lost wallet that hasn't been disclosed, what I have is a calculator. It gives you a code, and a whole process I don't even know. The coins stay in the public wallet but stay embedded in the USB type device which have a passcode. I am happy to share them with the court. It is not meaning that Nadia, I have cold wallet. It is not a cold wallet with any crypto currency, or that I have ever used for crypto, that's what I understood by this wallet.
BM	Do you now think it would have been more accurate to say I have these cold wallets, they have no value, that was the more comprehensive way to answer that?
KZ	No, I maintain the way I said it. I have never had a crypto used ledger, I was maybe planning one day to use them but I have never used them. You need to have crypto sitting there in a wallet on the web, because of my fear of losing them, I did not trust myself. It was important to have all my crypto in exchanges.



	Most of this stuff was in coinbase. They were <i>de minimus</i> at first, they were in MetaMask wallets at first. It was most experimental for me to understand and learn.
BM	Time and time again in this litigation you are your own author in terms of the costs, as when you are asked questions you provide things that are misleading or confusing
KZ	I have said I would clarify anything, Monica the classmate of Nadia is a forensic expert, I have sent her an email which said I happy to sit with you and answer anything that will help Nadia be relived in her beliefs. The fact I had 3 ledgers and I disclosed in financial disclosure. Cold wallet means cold wallet with crypto in them, the question was phrased as if I was hiding more assets, but I was not.
	[BM conversing with NZ]
BM	Matters in relation to your coinbase account I am going to return to. 3648 and 3649. These are important to NZ so I shall return to them. These are emails passing between you and the coinbase team. Thursday 11 th January, email from you 'Dear Ms Marsh...' [BM reading email]. 'I would be grateful if you could reiterate to withers any and all accounts'. You then produced statements in relation to coinbase, I would like you to explain a couple of things. Firstly, can you tell his lordship when Zahmoulka@gmail was closed?
KZ	It was not accessible to me, but it was closed in 2024 when I reached out to them, only 1 was accessible, the last transaction in 2017 I could not access it after that, I am talking about zahmoulk@ka.com . I started dabbling in crypto in 2014, summer 2014 first opened the account then it became my crypto email zahmoul@ka.com , I was logging on from UK and they decided it was not acceptable to have an account in US and UK so they moved it to karim@gmail and closed my account down. If you look at my Form E, I haven't been able to reach high enough from the levels with Miss Marsh, some of the money coming in and out that wasn't disclosed.
BM	Coinbase pro not included, it is not the same
KZ	Coinbase sent me the statements that included the balances, there were no beginning balances. September 9 2023, they were able to provide me a completely different statement I hadn't seen before. It had balances, the coinbase pro. Gtax was the original coinbase pro, it was a trading platform, it holds all your assets, the trading platform where you can trade, you can put an offer or a bid, and if you take a hit you get less fees.
BM	My question was a pretty narrow one, when did the gmail account close?
KZ	2024, when I went back to the support, I had two accounts, one was dormant but still there, similar to bank of Jackson Hole.
BM	The two accounts have concerned Nadia, look at page 3651. This is the second account, the gmail account. One opened first. You received bitcoin from account on July 29, 2705\$. When Nadia looks at the statements for your other account at 2340 and 2838.
	[BM conversing with NZ]
BM	2340 – There is no corresponding entry for that date for the transfer of 1 bitcoin
KZ	It says external account, its not an external account
BM	I want you to explain to his lordship,
KZ	This is the other coinbase account, this is a less comprehensive statement.
BM	2838. [BM liaising with NZ – if you come out maybe you can spoonfeed me these questions]. My lord, Nadia is going to feed me these questions, and sit next to me as they are very important questions.



NZ	Take them back to the email of Jan 2020
BM	Going to ask you to look at the email at 3648. Nadia points out there should be an attachment to this that she hasn't seen.
KZ	It is the next email up
NZ	Where is the transcript?
BM	You told NZ the account had been closed and transferred, she can't see anything being closed or transferred. Can you explain where the transfer is to?
KZ	All I can say is that my understanding is that my account with karim@zahmoul.net was the successor of , it must have a starting balance that comes from that account. I haven't looked into it, I have tried my best to provide an explanation
BM	3648, says for the 'sake of clarity, I opened...all funds were transferred to' there was no evidence of anything being transferred, any explanation?
KZ	Provided explanation, provided all the statements pre and post transfer. Not sure how to respond to this. After zahmou@karim.net it was not possible to get into the account.
BM	Can you tell his lordship when the second account was opened?
KZ	Says here December 30 th 2014
Bm	Thought that was a European account?
KZ	When the address on the account was the London account, coinbase switched to the Irish entity to cover my account. When they see my French passport, they claim I am French and it was a French account. I have written to Ms March, the general counsel to coinbase, there is nothing hidden here.
NZ	When did the .net account open?
BM	Please can you tell me when the .net account opened.
KZ	30 December 2014. The exhaustive statement, I can only assume
BM	The Gmail account opened?
KZ	October 18 th 2024, I was in America when that happened. I went back to the UK, when I was logging on through the IP address in the UK I opened the karim@zahmoul.net , it was confusing so I was migrated to the UK address. Nadia can draft any letter she wants
BM	Short adjournment
J	5 minutes
	11:14
	11:52
AC	I would like to make a note on the record, I am concerned about the amount of time to consider the cross examination of my client. We have now spent 5 hours and 35 minutes allowing NZ to give instruction, over a full day of court time. Fairness is fair to both parties, he has been in the box since Thursday. While we are all doing our best to accommodate Mrs Zahmoul, I want to put a marker down.
BM	What am I meant to say to that, I am doing my best to represent my client in the most cost effective and best way. We are going to do this unusually, there are points Ms Zahmoul is very keen to be put.
J	Intention to finish cross today, I need to rise at 3pm
BM	[To NZ] Tell me your points and I will say them
BM	KZ, in relation To the coinbase account, there is a concern that until January 15 th there was one coinbase account, her focus was with getting statements for that account, Then there was the Gmail account, she can't reconcile the



	production of the statements, this has continued to cause concern, 3651, what account is this?
KZ	Original account I opened in America. As you can see from the balance, it was received only in January 1 2024, to alleviate some of NZs concerns, the balance has been 0 since July 2017 when 1 bitcoin was sent. On April 2023 statement..
BM	3651 statement, you say is the statement for the second coinbase account, the Gmail.
KZ	First one
BM	Yes, second in it has recently been disclosed
KZ	Yes original, predates 2019, transactions span October 2014 to 2017, coinbase could not accept to have one individual with KYC, I couldn't have two accounts. You can craft an email to Ms marsh the general counsel for coinbase. I was myself surprised at these accounts, I only obtained them after the allegations from Mr Southgate on September 7 th , I only found out about Miss Marsh because of previous solicitor.
BM	3648, Nadia sees at 3 paragraphs up, you say 'furthermore, while your email said Irish entity...that account has since been closed' Nadia looks at this statement at 3651, and sees it as not closed when you were representing it as being closed, we have an account statement to 15 January 2024.
KZ	No, I cannot reach it, I cannot log onto it. It is best clarified by coinbase not me. It is a bit like NZ saying the bank of Jackson hole LLC was open when it wasn't open. It was open but not accessible, that is the best answer I can give. We should ask coinbase.
BM	3651 it says deleted. You say this is a full list of transactions from that Gmail account as provided by coinbase, that's your evidence?
KZ	yes
Bm	See here that it says deleted, do we know what deleted means? 23 December 2023. NZ is confused and she doesn't know the meaning.
KZ	Probably best for coinbase to answer that
BM	Another concern she has with presentation, 3651. Series of wallets with series of cryptocurrency. 3651. Bitcoin statements in relation to this, 2816, zahmoul.net account, here we have over 40 different types of crypto, there is a difference in presentation of the accounts, are you able to explain it?
KZ	A lot of these currencies didn't exist when this account was live and used, it was not active and used by me. That's why you have so many less cryptocurrency there.
BM	Pause there [BM checking if the points were covered with NZ].
NZ	Where is GDAX?
BM	NZ does not accept that this is a complete run, there would be transaction to GDAX if it was
KZ	no
BM	why not?
KZ	I don't know, you have read the email I sent to miss marsh and the answer back, I have had them provide me as much evidence as a possible to every question and query,
BM	And if she had another query to put, you would be content for us to jointly write? Need to check with NZ that I have put the case properly [BM checks with NZ that no further questions are outstanding]



Bm	are you able to explain why if this was an account you had in the US, why it says GB?
KZ	I will explain FR, when I opened the account I probably used my US account, and then I switched it to my UK address, so they changed it to GB. These statements are relatively new statements which have come, it is cryptic to get the information from coinbase or binance. There is a limited amounts of requests for the statements, I had to get the VIP treatment to get the statements.
J	BM I am satisfied that you have sufficiently explored this. I know you are aware, I have case management powers to limit cross examination. I am satisfied you have illuminated this area.
BM	There was a letter attached, you would be happy to provide it?
KZ	Yes, I think it from Miss Landells
NZ	no
BM	We have two hours, I will return to my issues, I will need to do this at quite a pace. I want to ask questions on multibit, 2240. This is a transcript, there are some questions you are asked from Mr Pinto 'multibit this is an old wallet, that is what I have explained' 1LSGYV wallet, the wallet you used to send bitcoin to the Gemini account, you say this is your sisters
KZ	If you go to my statement, the Gemini wallet was handed, the bitcoin that filled the Gemini wallet was coinbase
BM	In relation to the multibit wallet, and the transactions that flowed from it that you couldn't remember, that was you not wanting to disclose bitcoin that were still in your control
KZ	Not at all, you are asking me to tell you things from 2017 and the order was 2019, I didn't think about disclosing anything from this in 2021. I don't understand the question.
BM	3863 please. This is one of the earlier iterations of the report by Mr Pinto. He raises the issues of transfers to Zappo, the 1LVSGYV, the wallets it has directly interacted with. 7.9 Bitcoins to Zappo 'he may have an account with Zappo' The combination of this in September 2022, Mr pinto raising the possibility of your bitcoin transferring coins to zappo, this should have put you on notice that you transferred to Zappo.
KZ	I never denied it
BM	Never admitted it until May 2023
KZ	This report had 8 accounts that I had never had association with. It was hard to understand the validity of this account, into the interdax . They had all these accounts that had never been attributed to me.
BM	You were made aware in september 2022, you had an active account with Zappo, weren't you?
KZ	No what he says is that he had info that money went from my LV account to a zappo account, I don't deny that but I believed I had no money in my zappo account, I had no money in my Uphold account.
BM	2098 Questions raised by my pinto with assistance of cipherblade [BM reading] 'additional zappo address..what became of the 10.98 bitcoin' Nadia through cipherblade in September 2022, were all raising the possibility you had an active account with bitcoins in with zappo in. You turned a blind eye.
KZ	I didn't
BM	What did you do when this was raised?
KZ	I thought it had zero in the account, my old boss had lots of accounts, I educated him and helped him move moneys and she attributed these to me and I thought



	this was the same. I decided between October and April 2023 I decided to go through the painstaking work of going through every transaction, when I decided to do that.
BM	You forgot you had 16 bitcoin with 500\$
KZ	Yes I forgot
BM	You just forgot, well there could be any number of other accounts that you have forgotten with bitcoin in that you can't remember. 2283.
KZ	This was a sequestered account by zappo, they had changed jurisdiction
BM	2136 you admit to that, Zappo confirms I had an account...I discovered I had a bitcoin account 27000 bitcoin 640000 if you haven't disposed of it. You spent those bitcoins before you told Nadia of their existence
KZ	I paid the joint mortgage and I paid my daughters school and 20000 was paying miss Molina for defending me in Wyoming
BM	Small percentage went to pay the mortgage that you knew would not be accessible, correct?
KZ	no
BM	You knew that once you used those funds to pay the mortgage you would not be able to access the liquidity
KZ	I wanted to pay off the mortgage, I didn't know I would be able to repay 5.6 million, most I have ever borrowed
BM	When you paid the 400,000 dollars, you knew that you would not be able to draw that money again, you had been in litigation with them about it.
KZ	Nadia knew...
Bm	You won't answer the question. 1339. Paragraph 7. You are referring to the Imerman exercise in the correspondence, on 1 April 2021..'the outcome of this intrusive exercise' can we agree that you had disclosed the coinbase equity, the account you had with Gemini and the existence of 16 bitcoin today worth 850000 dollars, you hadn't disclosed any of that.
KZ	I didn't know I had the zappo, I couldn't disclose something I didn't have. I have given my sister the Gemini, my word is my bond. The coinbase, I apologise I didn't do it before, but it was preventing me from showing evidence, you don't believe that my solicitors thought it was a quantum issue
BM	1895. Costs.
KZ	Produced by Nadia
BM	It is a breakdown of how costs have developed over litigation. Costs up until FDR in July 2021. NZ were 126000..scroll across to PTR March 2022, her costs had gone 393450. Uplift in costs after the FDR. This was due to your failure to make proper disclosure in relation to Topanga and coinbase. You were the author of this misfortune
KZ	I don't think so, you are missing nick Warr and third parties
BM	Tainted money will come back to bite the two of you in the future. NZ believes that Olivia Molina was a prostitute, was she?
KZ	no
BM	She ran prostitutes, escorts?
	No
Bm	What did she do
KZ	She is an influencer, she organises people for events and promotions
Bm	She arranged prostitutes for Phil Jenkins
KZ	No



AC	Not been in the conduct pleadings
BM	This goes to my clients worry that tainted money going through miss Molina's hands
J	I am not going to make the finding that someone is a prostitute
BM	1855, paragraph 162. 1440, financial assistance with Miss Molina
KZ	I have never provided financial assistance to Miss Molina
BM	This is a breakdown of some of the Imerman material, item 25, transfer to Olivia Molina's sole name. Includes repayment, Molinas Dubai company, Notification from US transfer, transfer blue oceans [BM reading transactions relating to Miss Molina/or businesses] you have provided her with a lot of assistance
KZ	I was in love with her, I helped her get on her feet, she was from Argentina, she had no money to her name. Nadia helped me get over her, I got anti-psychotic. You are trying to character assassinate.
BM	Page 16 of pinto final report, transactions with Miss Molina [BM reading page, 57 transfer] your case is that this lady, who is not familiar with excel and is an influencer has 768000 of her own money passing through her bitcoin account, is that your case? Or is that your money?
KZ	Not my money, she can come and testify
BM	Page 25 of the report, this is a typo, that should be 3dagtd. 'upon further analysis...' BM reading '20 transfers...to786901 dollars' keep in mind that address. Page 73 please. Reading email from Miss Molina, 'I also want to confirm the following wallets...are my wallets and mine alone' is subsequently transpired you disagreed with her as you obtained a letter from Kassis confirming DAG was his, that might strike his lordship as odd that in support of your case that she claimed ownership of ta crypto wallet that had nothing to do with her, explain the circumstances of that claim?
KZ	I was in New York with Olivia at the time of \$100 payment in October 2019. If I asked you who you gave \$100 to in October 2019, I could not find it. I put my wallet address in my phone and WhatsApp and looked for this sequence of characters I couldn't find who I gave it to, I was despairing Because I was with Olivia in New York because I was with her, consequently there is a WhatsApp on both sides, because I was with her in new York, I keep a spreadsheet of where I have been every day since 2019. That's why I thought it was her. Mr Pintos latest analysis he came up with what you articulated just now, he came up with a history that looked unusual with what Olivia would do. I was racking my brain as to what it was. I believed it was my emviry account, there was an email from Kassis, this was an attempt, I was looking for alternative sources of liquidity. When I set up emviry I was not FCA regulated in the UK, Kassis providing an umbrella service under the UK. Because he was doing crypto in Australia he asked me to send some. The letter was written, I had her write it, she doesn't know what is her account, I genuinely believed it was her.
BM	That is a preposterous account, the easiest way to find out, you should have just asked her is this her wallet and she would say yes. If you had transferred money to me you would say If this your account, I wouldn't say yes if it wasn't, why would she do that?
KZ	Nadia and Mr pinto has alleged, unlike a bank account
J	Why did she say it was her account if it wasn't?
KZ	You can create a new account. Mr Pinto was trying to say with the cluster. I have maybe 200 bitcoin accounts, you can create a new account with you. She kept saying this is a colonius address and it was never colonius address, when you



	run it through a reactor they make mistakes. I asked her to write it was hers, she didn't go and check.
BM	You asked her to say that it was her account and she, having no idea at all, was happy to make a letter and say this and give it as evidence in these proceedings, that was dishonest.
KZ	It wasn't dishonest when I did it. It had 768000 going through it, over how long?
BM	You say it belonged to Kassis, has he just signed this email at your request or is this actually his?
KZ	It is actually his
BM	We'll look at what he says
KZ	The proof it is his assess is from 2019, in 2019 when we were about to do the transaction, he says I have the money.
BM	That is not proof who is the beneficial owner is, all it illustrates is that you transacted with him and he is now saying he is the beneficial owner. In the same way [Miss Molina] was saying she was the beneficial owner. Page 29, they are regulated?
KZ	By the FCA
BM	Are you telling his lordship that account through which you transacted, that was an official forte securities crypto account?
KZ	I don't know.
BM	'Following wallet belongs to us' on forte securities headed notepaper.
KZ	I wasn't sure if it was forte securities. I was transferring to Kassis to change to [chia] I would invite the court to ask Kassis or the FCA, I can't speak if he owns this wallet in Binance.
BM	This is where words mean what we want them to mean, within the pool of perpetrators saying it belongs to forte you aren't sure, we have an email from October with Kassis transacting with you personally, your evidence. Who is the owner?
KZ	Wallet is owned and controlled by forte securities, I wanted to transact with institutions with [hard securities] would have been forte, that is who I was entering into an agreement with.
BM	On that same page, the subject for each of the emails, listing process Australia, 11 October. 'I am not sure I am ready to sell yet' he gives you the wallet address, when you want to sell, 'nice one'. Subject was listing process Australia, what was the listing process in Australia, and what was the thing you weren't ready to sell?
KZ	I don't remember what happened in a conversation in 2019
BM	You have no idea what this email with reference 'listings process Australia' was talking about?
KZ	No but I can find out, I don't recall
BM	What is it in the first email you aren't ready to sell.
KZ	Bitcoin
BM	Absurd, you are the one with the bitcoin, you can sell it yourself, you don't need to transfer a bitcoin to him you could sell it yourself.
KZ	My, I had coinbase exchange where I could sell crypto, binance I could sell crypto, other companies I was trying to find the liquidity, significant charges, depending on the business of the network it would cost more or less to sell bitcoin. I was talking to him to provide liquidity of bitcoin. It was about properly listings a company on the South African stock exchange, trying to recall on the



	spot. You are asking me 3 questions. This is a free-flowing conversation, we are discussing many things, one of the things we discussed was him providing me liquidity on my bitcoin. On October 11 he sent me the email, I will give you a good price, I was not ready to sell in early 2019, nothing happened, on 25 th October when I look at his email. I say I sent you \$100 let me know when you receive it. He says he received...nice one.
BM	Why didn't you send him any more?
KZ	Put it in the context of the timeline, this was October 25 th . I left New York on October 27 th went to Morocco and met Nadia there. Olivia and I had a massive breakup, and I went into significant depression. I travelled a bit and went to Portugal, then I went to in February 2020 I was in Morocco with Nadia when she says she discovered the affair then March 2020 lockdown stuck in Cheltenham for 90 days, I didn't think of selling.
BM	I will be suggesting this is an absurd explanation, look at the coinbase transactions on page 7 of report. You transfer to him 100\$, transaction 10, 0.01310, you never transact with that wallet again, you carry on transacting 2 days later.
KZ	Olivia...
BM	You carry on receiving and sending in 2020. This idea that you have done this small transaction to explore the possibility of liquidity, you had the liquidity of trading through coinbase. Having successfully achieved it, it is the only transaction.
KZ	Only explanation
BM	Was it to test out, [so that he could sell assets for you, so you could avoid the glare of publicity.]
KZ	I would welcome you asking him what exactly he has done with me, he has decided to produce a niche in crypto, he does a lot of transactions. One he did to show he could provide liquidity, none of the transactions, they are in all kinds of places. He goes into peel chain that I have never ever done. This was how I was able to obtain that it wasn't Olivia. Follow on transactions from that account is unusual for Olivia to do. I have explained the transaction. I thought it was Olivia because it was 25 th October
BM	I am careful not to suggest that he has done anything fraudulent. Is this your only transaction with him?
KZ	He has sold my coinbase shares, we have tried looking at opening a bank in Portugal or Switzerland
Bm	At the bottom...'I am not sure I am ready to sell yet'. What was he contacting you about?
KZ	About selling bitcoins, about obtaining liquidity, I could have gone to coinbase, I have developed a relationship over the OTC transactions, I thought it would be a cheaper fee costs, we did the small trade to see if he received the fund. The covid came
BM	These were official transactions with forte securities
KZ	I believe so. The proceeds of the funds, I expect they would have come from a regulated authority
BM	I don't think you know the answer to my question do you
KZ	I don't think so
	13:02 – back at 2pm
	14:02



BM	Happy for us to make a joint approach to Forte securities about that transaction?
AC	Need 30 minutes
J	Hard cut off is 3:30
BM	Stop at 3pm
	[FS reviewing notes for information needed to follow up]
BM	1595, partially released from her undertaking [BM reading] 1599. KZ's response, unnecessary to take out a litigation loan, funds should be utilised to her legal fees, draw funds from BOJH, 'on a pound for pound basis' preventing her from making the enquiries she wanted to make in relation to your finances. 1676. Before we look at that look at 1607. This is the response from Withers in relation to the letter, 'letter of 29 th September is too little too late...your client is to starve my client of funds', going to look at the whole run in the interests of speed and I am going to ask you to comment. 1633. 'it is not reasonable...[BM reading]'
KZ	She finally disclosed that, she never disclosed from September 2021, from March 2022, she had gone through the 282,000 we had hearings on March 3 rd , March 16 th , during all this time there were requests for her to provide where she was borrowing or her legal, at the same time she sent the 12% accrued interests, this is why everything was concluded this day, I had no capacity to maintain the 5.6 million mortgage
BM	That was the catalyst for that, was discovering that the borrowing had gone up
KZ	Borrowing, undisclosed loans, borrowing from her father, she was continuing to spend money, her assets were going from 10 million, I didn't have liquidity and repaying the mortgage.
BM	757 please. Same time you engage in another transaction. There we see details of personal moneys 'I am hopeful..' you had been owed £60000 by Mr Kobayashi for 16 years.
KZ	Correct
BM	In August 2022, 1544, you loaned him 500,000 dollars
KZ	Correct
BM	Bottom of that page, 'Karim informed me that he had made a loan...his friend needed a liquidity...he still owed him 60000' at 1819 you are asked questions about this loan, look at what you say. Copies of correspondence with Mr Kobayashi, you say you both live in Lisbon, therefore there is no correspondence. Again, you were reducing the amount of liquidity available.
KZ	No I don't believe this correct, his mother passed away just before this loan was made. She was a close friend of mine, he had an apartment in Paris and Lisbon and Battersea, he had no liquidity, at the time this was before I knew about Nadia's detach loan. I had crypto I have coinbase, I thought I had the liquidity to loan him the euros. This was discussed at the time and my answer stays the same, I was not trying to deprive her of liquidity.
BM	Just a coincidence that you decided to loan him 500000 and reduce the liquidity
KZ	I am sorry, I still had more than a million in UBS. I thought it was reasonable to lend him money on a short term basis.
BM	1542. December 8 th , list of the moneys which you paid down in dollar terms from the bank of Jackson Hole, you said basically you did this at whatever price it was – it was the sale of the liquid assets in order to pay down the mortgage.
KZ	This was part of the questionnaire put to me my J, it was the proceeds of coinbase, money from Bank of Jackson whole to repay the mortgage



BM	1621. This is April 2022, withers wrote to you [BM reading]. Hold that thought, look at 1633. This a letter from Withers on 13 September to your solicitors, in relation to the funding of legal proceedings. 'it is not reasonable for my clients ability to pursue her case' your response on 1638, is to speak to the bank of Jackson Hole, 'based on recent conversations..' bringing those threads together, you knew that Nadia did not have liquidity to fund legal proceedings and her living expenses, your response to that was to alienate the liquidity by paying down the mortgage, that was wrong wasn't it?
KZ	I was trying to protect our assets, this bank has leant me the most money in my life, now they won't talk to me.
BM	1650. Email from you to Nadia, saying how much you have spent 'to save on legal fees..I have decided to self-represent myself' one of the things you say you should be given credit for is that you saved money by being self-represented but you were receiving advice from Camilla Baldwin. From the moment Nadia took out the litigation loan a consequence of that was that she had to be represented. At 1650 you misrepresent your reason for paying the mortgage, you say here in contrast to what you have said today 'given the massive increase in interest rates and collapse of British pound...as a result I have taken steps to pay as much of the properties as possible' You then explain how has that was achieved. Reason you were doing this was to put maximum pressure on Nadia and you didn't want her to be represented.
KZ	May I answer
J	I understand your case about how hard you have tried to engage
BM	3017 please. One final thing on 1651, three paragraphs up from the bottom [BM reading]...'steady stream of cashflows, I will soon no longer be able to pay you 2000 per week' you were saying there was a risk you would reduce the amount you were paying, wasn't this you trying to put Nadia under intolerable pressure in these proceedings?
KZ	Don't understand what you are saying. I was suggesting that we had no more capital and we had the income from the property to meet our needs, the debt was repaid, we would get the same amount of money we were going to get at the time.
BM	That was the autumn of 2022. 3107 please.
KZ	I am not as witty as BM, I am happy to come back tomorrow I don't want to rush and make mistakes.
J	I understand, however the court has other cases
BM	3017. We have seen what's happened, your discussions with BOJH, paying down the mortgage for the reasons you say 'zappo funds..used most of them to reduce the mortgage' you were doing this weren't you to make it as hard as possible for Nadia to make LSPO and MPS application, that was your motivation when you found this money you didn't even know existed.
KZ	It is difficult to sustain a mortgage in US, she decided to litigate with the bank, the bank asked us to pay 100 [x] dollars a month, I don't want to be left with the bank forclosing and forced to sell our assets.
BM	Where you had indicated that it would be hard for you to continue paying maintenance, and there were live issues as to how Nadia would fund her legal fees, when you found this 'forgotten' money you decided to pay down the mortgage and reduce the liquidity
BM	2865 [BM reading] 'the assets currently frozen, insufficient assets' isn't that your solicitors acknowledging a problem that was entirely your making?



KZ	Not at all, this came after the ex parte application, this was the meeting of the 29 th of Mr Macdonald, the judgment of 6 th July, Mr sent a document to the court that had 17 errors, the third item was the Penn mutual policy. In the judgment it was stated I had ample liquidity, I should have appealed the judgement and this letter was to address exactly that point.
BM	We looked a moment ago at your letter of Autumn 2022 when you say you were self-representing, look at 3161 please. At the same time NZ was telling you she was concerned how she would meet litigation costs, you were selling marital resources to fund your own legal costs
KZ	October 2022 I was in Wyoming, I was tempering with the idea of self-representing, I was put onto Camilla Baldwin.
BM	Can I recast, 3161, 'Karim has made false representations about being self-represented...since x 2022 I have had no shadow representation' You were represented by Camilla Baldwin during that time' focus on the first bit, what is incorrect about what Nadia says there?
KZ	She says I am represented on 17 November, I have not paid Camilla Baldwin between that and the LSPO, a negative sum, its Camilla paying me back what she owes me, I was getting money back, I had overpaid her and I was not using her. There was a judgment...
BM	I can see the judge nodding, will move on
BM	Have you rectified the tax returns, there was a number of errors
KZ	2022 were done, they were fixed. 2022 was done the way Nadia wants it done. 2020/2021 was sent by Zack in august, Zack said would you like us to refile and there has been no engagement
Bm	Meant to be uncontroversial
KZ	2022 has been filed correctly
BM	Its with the IRS now
KZ	Yes, done the work, sent it to her and get nothing back. 2022 have been filed, 2020 and 2021 are in the way she says are false, the entities which fed into the personal tax return, mine is a non-personal tax return, it is not relevant from a tax perspective. 2022 has been filed the way she wants.
Bm	2022 has been filed, 2020 and 2021 haven't been filed?
KZ	Rectifying them exposed things to reinvestigation. We sent them to Jeff for approval, we have had nothing back
BM	The position is that nothing in any of these returns would be relied upon by you to thwart any order made
KZ	No, they are returns
BM	Those returns misrepresent the partnership returns
KZ	No not correct, the only legal document is between us and the back. If the tax returns we can fix them
BM	I want you to be able to reassure the wife, you will not rely on anything in those tax returns to thwart the interpretation of an order by his lordship
KZ	Yes that is not possible.
BM	875. Paragraph 65. 'emailed Karim with my view...' BM reading. She is right about that, she is right about the entirety of the paragraph
KZ	Not write, ambulanz I couldn't invest in because I was in the UK, my wife is American I offered her instead of me. I sent her the spreadsheet on May 17 th . I had invested in Blackstone



BM	Easier to look at, 1079. 15 th November. Ambulanz, you say let me know what you think, her response at 1193, she says it looks very interesting. 1472 there are emails between you and Doug, 11 th November 2016, 'Terribly sorry to report...cannot accept the documents you are based in the UK' 1387, May 2017, you say 6 months later, you include it on a spreadsheet you say this is being done by a total return swap, you did have an interest didn't you?
KZ	No it was linked to a spreadsheet on my google drive, we went through this in detail at the first appointment. Just about that investment is the 25000. I sent a link to Nadia in 2017, she said in 2022 I hadn't disclose. Mike was going to take 25000 in ambulanz, against blackstone special opportunity fund, it hasn't been disclosed, this is the difficulty in inputting between two individuals, seemed to be complex, after 6 months consideration we decided not to do it. Mike Deeg wrote to the Judge on March 13 th explaining exactly what happened, July 13 th 2020 and email I'm sure we can find later, he states the investments, it is public, he doubled his money, I did not participate I couldn't.
BM	Lifestyle, during your marriage you had a high lifestyle.
KZ	Yes it was obscene
BM	You have an ability to generate money in a way Nadia doesn't
KZ	No I am a white 50 year old male, I am not employable. Nadia is seeked after
BM	Is it really your evidence, that Nadia can get a full-time job and be entirely self-sufficient through employment
KZ	Women peers of mine in an industry have reinvented themselves, Miss Marsh...
BM	She is not Nadia, do you think she can get a full time job be self-sufficient through income. I am going to say she needs more than 50% of assets to meet her income needs, is that a fair submission?
KZ	No
BM	Why not
KZ	Nadia is...
BM	One of the things you seek an adjustment in relation to, your loss on crypto by not selling when it was higher, what is the adjustment?
KZ	It is what his lordship things
BM	What do you think this should be, Nadia had no input on the sale of this, you sold it. She didn't want you to sell it.
KZ	She didn't say anything, it tried to get engagement.
	[BM conversing with NZ]
BM	The circumstances with in which you sold them, that was without any notice to Nadia
KZ	It was without any notice
BM	You seek adjustment for wear and tear on the property, Children have been in that property for 9 years, its reasonable wear and tear
KZ	I realised the landlord was being very hard he was asking for money on an iPad which I never used, I am going to push back with him on that
BM	Can I push back on that, that's in your conduct statement is that something you will be pursuing.
KZ	Nadia was continuing to borrow money from her father, it is a gift probably, she is now saying it was a loan, it is illegal on US tax returns
BM	19950, you say she did not look after the property, you are now telling his lordship that the landlords seeking of some of these monies has been unfair, are you still seeking £19950?



KZ	12 of the 19 I am seeking, 7 were unfair
BM	The bulk of the costs in this litigation are costs for which you are responsible, you did not make ongoing updating disclosure
KZ	I do not believe so
BM	You say that Imerman was unnecessary, 25000 should be paid by Nadia, look at page 87 please. Transcript from August 2021 hearing. Halfway down talking about Imerman. 'we conduct our own assessment' the treatment of the Imerman documents was the treatment that your barrister were contending for from August 2021. To ask Nadia to pay for this is unfair, no?
KZ	I don't understand
AC	This is a legal argument, KZ shouldn't be expected to understand
BM	You were saying through your barrister that the Imerman documents should be reviewed by HFC, I am going to say that it is unfair for you to say Nadia is responsible for that, is that fair?
KZ	I don't understand
	[BM checking with NZ any other questions]
BM	You said that you would sell at the high point, she didn't engage, her response that other correspondence was talking about splitting everything in specie, she was adopting your alternative approach, that is fair, no?
KZ	No, we are talking about crypto and coinbase, I have messages from 2016 when she was saying she wanted to sell. This was the all time high, optimal time, I reached out to sell these two assets
BM	You only know it's the all time high 3 years later
KZ	There was also a big divorce going on, seemed I was the only one responsible.
BM	Imerman documents, extent of the inquiry by HFC was greater than she suggesting was carried out, she was suggesting only 1 of the 4 folders should be examined as she knew the contents and they insisted on doing all four.
KZ	HFC did what they felt they had to, she said the other day they should never look at the Ubuntu computer.
BM	I haven't been able to cover everything I wanted to cover, AC referenced that in regards to raising things in submissions.
	15:05
	Re-examination
AC	1599 – You explained just now that you had split, you made this proposal in 2021 when the discussions of the loan were being aired, thereafter that once the loans had been produced 'your client can withdraw funds of up to...on a pound for pound basis' what was her response to that offer?
KZ	Too little too late
AC	Would you have a look at 2283 please
	[FS looking through the documentation, paused taking note]
AC	Zahmoul.ka look at 3651, on this page we have identified, it says deleted, do you know what that might be?
KZ	It means that it is account that will be closed down on 24 th
AC	18 October 2014-15 January 2014, on 3652, the wallet first activated, we see the 19 th October, we can see some activity, little activity in 15, 17 and the last activity on this account is 31 st July 2017, that is the entirety of that account is it?
KZ	correct
AC	2816. 1338, Paragraph 5 you have already explained to the judge you spoke to your solicitors in April, you mentioned that your solicitors have not always



	understood the difference between coinbase and crypto, explain how that has been an issue?
KZ	Letter of July 5 th , willing to exchange information only for the crypto assets, Nadia got confused with coinbase and crypto. My solicitor may have in writing that letter, we were going to explain the information on Topanga
BM	You can say anything if you say I told my solicitor XY and Z and they just got confused
AC	I accept that. 1380. We have looked at this before, want to get the chronology in order, you are talking about the coinbase. Who is in green.
KZ	Me. I don't know what is behind it is not me
AC	Underneath, it is not right that we are not getting any information
KZ	I describe this as not being a traditional investment.
AC	1377, July 2020, writing to Rachel at Buena Vista. It is Steve Yang.
KZ	Half a million dollars of coinbase
AC	Did you get any material response?
KZ	No, it was very hush hush it was the shares of the CEO of coinbase
AC	1384 please. Again, we are on 13 July 2020, again you are in conversation with Mike Deeg, 'where she asked him if the investment was fake' what does this relate to?
KZ	coinbase
AC	That was July 2020, now look at 898 please. Mrs Zahmoul is trying to allege you were trying to hide that information, you did a search of your computers
KZ	She wanted to know every single conversation I had had, all the emails I received from Topanga canyon and myself since February 2020 to April 14 th 2020.
AC	How did we find these documents, the conversations with Mike Deeg?
KZ	I provided them to show...i wanted to show communications between me and Topanga, there was some that I missed I was in Morrocco
AC	And everything you had was that sent to Mrs Zahmoul's lawyers?
Kz	I believe so.
AC	A document given to your wife in May 2017, sometime later it came back to you.
KZ	In March 7 th 2022 said there was another asset that you haven't disclosed. Was put together in 2017, Nadia wanted to know all the investments, span of that company
AC	When the document was sent to her in 2017 was there any discussion about it?
KZ	Don't think so
AC	1389. I put these documents to Mrs Zahmoul suggesting she knew about coinbase, listing the assets, we can see investments, and coinbase is listed, what did you understand Mrs Zahmoul would do with this document?
KZ	From time to time she wanted to know what I had, this was produced to show her. I had onshore and offshore, there was another potentially big exchange, this is a similar exchange to coinbase, there was no way this could be misunderstood to be venture capital.
AC	Look at 1392, we have looked a few times over the last few days, her emoji to you was good luck to the world, what did you think it was?
KZ	She was congratulating me
AC	It has been suggested to you generally that your intention was to hide or deceive Mrs Zahmoul about the 5 million windfall in coinbase, we have seen your letter detailing the change in investment, why was that sent?



KZ	To inform her about the change, should have been sent earlier.
AC	Supplemental bundle at page 13. This is an email from you to Mr Burgess in November 2022, what was the purpose of you proposing to meet?
KZ	I wanted to meet to suggest that I was willing to answer any question
AC	Page 26, email in French to Nadia and her father. Page 29 for the English translation, third paragraph on page 29, did you get a response?
KZ	no
AC	2929 in the main bundle
KZ	CV of Monica McGregor, remind his lordship of who she is
AC	I still have 20 minutes
BM	Some of these documents I haven't even taken him to, it needs to be re-examination
J	I would like to finish today, but it does need to be by 10 to
AC	Been put to you that you wanted to put pressure on to get a deal done while Mrs Zahmoul was without representation. 2858. Can you explain where the information came from to complete the schedule?
KZ	This was a painstaking exercise, take each one of the entries on the spreadsheet.
AC	Has NZ had all the core documents?
KZ	Yes
AC	In relation to spending on your daughters
KZ	Beginning of proceedings
AC	In relation to Gemini we have an affidavit from your sister in the bundle. BMs case is that you were either parking assets with your sister or trying to hide the assets, that remains the suggestions, can you explain to his lordship the position?
KZ	My sister got married in..
J	A lot of this I am aware of and I can look at the documents myself
AC	These documents, a number of tables accompanying the letter from Portuguese advisors, 21 documents, BM asked for tables of income that were referred to in the letter
Bm	Bank accounts
KZ	Some of them are here, 2020 and 2021 bank accounts, it was always there in my form E, same account number as Mr Luis had put into tax authorities
AC	3593 please. NZ has raised a number of questions about Portuguese tax returns, this is a document provided by the Portuguese advisors
KZ	This is a document Valeria helped me to put together, response to Nadia's accusation of figure 2 of the conduct pleadings
AC	This is a line by line response, prepared by you
KZ	By me yes
AC	Detailed response to the lines in Mrs Zahmoul's table
AC	Are you hiding money?
KZ	No
Ac	Are you hiding any money or crypto?
KZ	No
J	I don't have any further questions. I propose AC to allow leading and junior counsel to put together submissions are hear them on Wednesday
	15:40





Attendance Note – Zahmoul Final Hearing Day 6 (Submissions)

Client: Zahmoul

Matter: ZAH01.1

Date: 26.02.2024

Time: 10:30

Initials:

J - MacDonald J

ACKC -Alexis Campbell KC – Counsel for Respondent

Sassa-Ann Amaouche – Counsel for Respondent

BMKC - Brent Molyneux KC – Counsel for Applicant

ZB – Zoe Bloom

	11:27
AC	It falls to me to make submissions
BM	I need some more time to clarify how things are going to progress on this side. I am doing my best to clarify how I can best represent the submissions my client would like to put before you. Can I ask one question on behalf of my client – are there any circumstances where you would all that part of the advocacy is done by me and then she continues to deal with matters that she feels she has a better grasp on?
J	No
BM	So either I do it or she does it?
J	Yes
	11:29 Break
	11:54
J	Yes
AC	If there are no applications, I will proceed. Documents I have sent to Ms Knight, I will send them to Mr Molyneux.
BM	Apologise not for the first time, my client would like to reopen the evidence in relation to the UBS. His account was that the 12 million sterling was entirely visible, used for investments, used for living expenses, and there was doubling account. Adding those figures and coming to an aggregate of withdrawals, was not correct. If you added up fees leaving and returning, it would look more than it was. NZ does not accept that. She has overnight spoken to UBS and wishes to share with you what she has been told, she says it shows that what Mr Zahmoul says is wrong. She feels so strongly that you must understand the reality of this so as to not lose 15 million pounds, she would wish to tell you about this in person and be tested on it. I make the application for the evidence to be reopened.
AC	I object in the strongest terms. Mr Zahmoul said he would provide and anything and everything, this has been made available, made in a clear and digestible format, to hear that after the close of evidence, to hear that she has been in touch with UBS, we don't know what has been said, we haven't been copied in. When evidence is given, it always leads to another round of questions.
BM	It's not the question of the underlying data, it is the methodology, the material she is receipt of explains that the methodology. All of the money added up aggregate tells the



	total outflows of the 15 million, the methodology she says is so clear and could be made transparent.
J	For reasons I will make clear in the judgement, I am not prepared to reopen the evidence.
AC	SA will make available the documents. One is an updated document, schedule of Ms Zahmoul's breaches. Been some amendments recently. I have updated the ES2, there are concessions made in this I will elaborate on. These are very full and I am hoping it will make my submissions must shorter. Will give you a record of my client's full case. SA will explain the schedule of breaches.
SA	Where there have been amendments, we have highlighted those amendments. They are grey on this document. I am not going to speak to the detail of this document. You made the first substantive directions, the order at 3397, further directions on 1 March 2023, 386, further directions on 7 th September 2023. One order I ask you to turn to, the first of November 2023. In the note we have prepared at para 55k, you will find with emphasis added excerpts from your reported judgement. In July 2023 you were warning the wife she had failed to provide the schedule of alleged non-disclosed assets. Over the page, November 2023 you warn both parties that fundamental tasks to achieve final hearing, her allegations failed to be particularised. The wife was given fair warning. What happens at the PTR? At 7am the conduct statement was provided by NZ. If I can ask you to go to PTR order at 636 please. I ask you to note 3 paragraphs, disclose at paragraph 6, paragraph 7 provision of whereabouts of watches and paragraph 14 direction for 25 statements by 30 January. Point that we make, having served the conduct statement late, we have a repeat, we have the s25 given on day 2 of the final hearing. You were required to make rulings on the content of that statement. There is a morphing of that conduct statement. Finally, having reference paragraphs 6 and 7 of the PTR order. 2 pages in the supplementary bundle, 322 and 323. This was provided on day 3 of the final hearing, this is Mr Zahmoul's solicitors copy of her updating disclosure, all of the directed documents are to follow, except for liabilities, all of those documents remain to follow. You will recall that when cross examined, her response was 'in due course'. To quote BM, this is not a dress rehearsal. Finally, in this case, it was only during cross examination that KZ learnt that the watches had been pawned, no documents evidencing that NZ did receive 50000. Finally, you have no ES2. The ES2 you have is that was created by KZ's team, that is a woeful failure on the practise direction. BM says what is the point of adding to the ES2 because of the totality of the non-disclosure. If the wife won't engage in the computation, it is a clear disregard, litigation conduct, this wife has failed to articulate her case and the findings she asks you to make.
AC	I am going to touch on a few final overarching points. I am anticipating the case BM is going to put. The wife's case of 140m pounds has not been made in any shape or form. There isn't a clear argument. The calculations don't add up, the documents don't make sense and it is very difficult to even follow. The basic premise of what the arguments are haven't been met. There isn't any way he can invent the argument; it simply hasn't got off the ground. There is 12 million, NZ's case [is as close to the 12 million he can]. BM can only do that by saying we are here through non-disclosure through 3 arguments, Topanga canyon coming late, Gemini, and the Zappo wallet. These are the only substantive claims BM can rely on. He is going to say if KZ hadn't erred in his disclosure we would not have got in this mess. Superficially that is an attractive argument. This isn't that case, no matter how persuasive the arguments may be that NZ has concerns and suspicions, that doesn't come from those 3 actions. That is NZ's character. I ask to always bear in mind that those 3 actions, these things happen in cases, they don't end



up in this mess. This case has ended up in this mess because of NZ's conduct and her behaviour which has been monstrous. Those are the overarching comments. I am not going to go through them point by point. It is NZ's comment firstly, the petition in January 2020, served in piecemeal in June 2020, that while she was encouraging KZ to buy a property jointly, she was looking on screens. She trapped KZ it was deliberate, this was an opportunity to examine his financial data. Secondly, she didn't disclose those documents until April 2021, in the spirit of the rules, you should hand them back straight away. NZ held them back to catch KZ in a lie. It didn't, there was a complicated asset schedule. BM criticised KZ for giving explanation for some assets but not Topanga, there are explanations for 3 or 4. KZ wasn't hiding the Topanga investment. NZ's overarching obsession with disclosure. The more that is given, the more NZ entrenches herself. We were at the beginning we were on Barclays, coinbase and now UBS. I understand NZ has written to UBS directly over the weekend, this kind of spurious unnecessary damaging material is being spewed out. She has a legal team, she knows she shouldn't do it. Volume doesn't mean disclosure but at some point. If your questions are very broad and overarching you cannot argue the disclosure is too much. KZ has been pushed to disclose and disclose and disclose and it will never satisfy NZ. No engagement is enough, KZ has asked numerous advisors to engage and provide assets. KZ is genuinely happy to offer any disclosure. I can say on his behalf it is sometimes unnecessary to provide the disclosure. He is an open book, one of the reasons he was drawn to crypto is because it is public. She has had full access to his tax returns, we have written to her, do you know where this document. The pursuit of litigation in the US is vexatious, it is useless to her. She applied to this jurisdiction for the divorce, we have spent thousands to try and find out the tax results of moving the assets. The natural place was the US but she chose here and then chose to continue in the US with BOJH. I genuinely hoped NZ would take notice and take a reasonable approach. The judge does have the power to move houses and debt, you heard her evidence that she will never be satisfied until the I's are dotted, it doesn't matter there is no impact to her. She is determined to pursue the vexatious litigation and hounding KZ. The breaches are unusual in number and severity. If you take yourself back to the statute, we have to ignore the noise and look at the statutes. S25(1), children, s25(2) the checklist, and s25(a) the need to consider a clean break. Principally the matters must take into account. Jade Mia is an adult at a prestigious university, this isn't a college where she is left to fend for herself. We know this, NZ hasn't moved to Massachusetts she has stayed in Wyoming. Lila Mae is full time boarding, similarly NZ must have confidence as she has set herself up in Wyoming across the Atlantic. A lump sum of 700000 from his pension, set aside for the children's tertiary education, Cheltenham is already paid for. In terms of maintenance for the children, you haven't heard anything about children. They are entitled to have a relationship with both parents. I'm sure it has been incredibly difficult for them, may not be easy for them to share the time. You should proceed on basis they will spend school and university holidays with both parents equally, each party will make their own expenditure when with the children. No question of child maintenance. Capital resources, NZ has not allowed her legal team to even comment on this. Remains the figures that KZs team have put together. Points in green are the changes, 346000 tax has been taken off as it appears in the net effect, didn't want to double count it. Other points are de minimus in relation to chattels. Although she spent 50,000 of money I will add that to add back argument. I've amended the car 10000 held by a friend. Over the page, we have given evidence, increase in legal fees to both parties. Burgess Mee are owed 265000, Taylor Wessing owed 168000, Saffrey LLP are owed 11000 and MRW consulting, tax experts



	weren't advising on the incidence of tax which will be paid, FTI consulting, either some cyber or crypto. These are new I've added them in. I have ignored the loan from Mrs Zahmoul father, as this is yet to be evidenced. It appears on bank statements as family help. Lifetime allowance on the pensions has not gone, as long as we are able to put his lordship's order in effect. Final page, so you can navigate through this document, first column identifies the assets, second column is the exact lift from the ES2, same as net effect on the ES2. What I will be saying there needs to be some adjustments before you can come to quantifications. Not significant, Mr Zahmoul's father should not be included, Oxus KS was assisting on an advisory basis, he has some shares they are of no value. Most significant feature, under liabilities, Mrs Zahmoul says she owes her advisor 1.83 million, I say we should not count that she should not have spent that, and should not have spent more than 1 million, if we add back that 913000, the difference, you should add that back before considering, it is not a reasonable figure. If you don't add it back, KZ is picking up 50% of the bill being incurred. NZ should pay for the hill villa debt and Wyoming, she had significant maintenance and those debts shouldn't have been incurred. Malta, his non habitable status means he can draw down and by paying 10% on the drawdown of the whole it become liquid. If he can draw down over 3 years he may not have to pay any tax, I am working on the basis there is none. I deduct [x] for the coinbase tax. That can be shared between the parties, any balance will be shared equally. 70,0000 will be held in a joint account, shouldn't be any draw on the joint account without signatures. And the tax 233000. If those are drawn from the pension they will get a minimum of 553000. US pensions can be shared in America, they will get [x]. That is what I say the court should take into account. The total resources, deductions of 713000, the add back on spending. Net fund of 12,550,000. The way the figures are apportioned, KZs arguments makes, 3100 should come to him. He has taken a view, NZ is already in the property that she wants, she doesn't have to move she can stay there. He will take 31000 and 100% of the mortgage and the property with the higher CGT and mortgage. NZ will say it is preposterous that the two of them each retain a property. It is a holiday town, there are lots of elegant chalets, it is realistic for them each to have one. It is a convenient place for him to spend time with his daughters, he can ski and his daughters have skied. These are both expensive properties and it may be they can't keep them. If he is not able to have the mortgage removed from NZ's name, the property will have to be sold so NZ can be released from the property. Because she is getting the more expensive properties, he will keep all the frost street properties. That will give NZ the property where she lives, she can sell it if she wants to pay her legal fees. She can keep it and rent it, that is a good income if the expenses can be accommodate. If she wishes to sell it, 5 million of liquid cash in her hands. Joint accounts divided equally, parties retain own savings. [Private equity] divided equally, NZ keep her [x]. The money is not really there in emvrya. Chia investment in trading g company, KZ keeps that. Excluded the non-matrimonial. Range rover in the 10000 equity owned by a friend. Mr Zahmoul will keep the money owed by the friends. He has a rental refund to him, NZ has a tax refund to her. NZ has outstanding legal bills of 570,000. Property expenses in Cheltenham and property expenses in. NZ will retain 5.9 million. 54/46% SPLIT. You will want to know what that is in cash. NZ owes her advisors 1.428 million, she has 570000 above the line, taken into account. My offer does not take into account she will be left owing her lawyer 850000. She shouldn't be given credit for that on the balance sheet, you should add it back. You should add back the money she wasted on the BOJH. I have added back the 50k she spent on KZ's jewellery, she could have pawned her own jewellery, it isn't fair. I have added back the EDF liabilities, she has had the MPS, money from her own
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account, and moneys from joint account. Haven't quantified the adjustment in relation to her conduct generally. If we add back the hard figures, she would have had 6.8 million if she acted reasonably, she would have had more than half. 5.589 – 858k is fair in the circumstances, is the question for you. Can I turn to my note at page 15, I want to put to bed the arguments about undisclosed assets. We've had disclosure going back 9 years, that is unheard of in these proceedings. We only had an order to 2019, but KZ went back further, it was good, having examined everything KZ was able to prove the negative, NZ doesn't like the answers, but it is all explained by Mr Pinto and covered in his report. The Gemini account, KZ's oral account is very plausible. At his sister's wedding, at the time it was worth 220k\$. These proceedings have shown that to be the case. We can see from the Gemini statements, there was no trading, there was nothing happening to that account from 2017. KZ said this was an old wallet, I gave it to her I never touched it again. NZ knew there was an account, it was in the Imerman, it is listed in the HFC letter to Withers, it says my client does not hold a Gemini account. It should have been in the form E, but often if you consider something that was given in 2018. NZ made a big deal about the subpoenas in 2023, but in 2022 he explained to the crypto expert saying I have given it to my sister. BM will take you to when he transferred it, it is no secret he knew there would be trouble. It is not the best thing to do, but it is not uncommon and it wasn't hidden. The info was given before the subpoena was applied. The rise gave, the zappo, the account was closed in 2024 in activity, there was an internal exchange, it became a bank, you can see the internal transactions, all of the correspondence make it clear they had no contact with him, that the bitcoin were processed and paid back from him. I believe you should make a finding that the total assets are 12.69 million, take off the inherited money, the coinbase tax, I identify the 913000 to be added back. In my opening note, I refer to T v T and YZ v ZC, the court of appeal, general approach that litigation conduct would be reflective in a costs order, there are cases that one parties litigation conduct has been such that it should be considered when the court is giving its award. It can be taken into account at this stage and make a costs order. The depletion of matrimonial assets will not simply be covered by costs. What is important, and/or by making an order for costs, the outcome is a fair outcome and gives consideration to any minor children. Judge Hess did that in a case where one parties costs were disproportionate. That is here, it is nearly a million pounds, it is a phenomenal sum, it changes people's lives, it means you can't live at the standard you want. If it was a couple of thousand pounds we might not look in this way. We have 913000 over a million. Nearly two million. Paragraph 23, these are the specific reasons I say you should add it back. Ordinarily the respondent bears the financial burden, it takes time to read the answers but finding the information is a more burdensome task. We are used to seeing the earner, the asset holder bearing the financial burden. We don't have any updating disclosure from NZ, we don't have bank statements, credit cards, she still hasn't provided the F file documents in the tax returns, this morning there was a discussion, my client has been chasing the coinbase disclosure and the tax disclosure. My client has spent the best part of a day and a half putting further information together for W, we then ask for the F bar form, she simply said no. Why are her costs even as much as Mr Zahmoul? We know she has spent 230000 on third party costs, 158k due to Nick Warr, had that resulted in a consensus on the tax it may be worth it. She has spent more money than even resolved this issue. The court wants to know the bottom line. We have taken costs on the worst-case scenario as we can't get consent from NZ on how to treat it. If NZ choses to cooperate they can both save tax. Nick Warr was instructed in relation to tax, Mrs Zahmoul told her advisors 'I don't want you to talk to KZ or his team', that is destructive, not just wasteful. There were real



	concerns about cipherable that Mr pinto was concerned about. NZ has paid, he has produced two reports, I dread to think what he has been paid. No application for his report to be relied on, it was slid in. 50 important breaches, so you didn't have an ES2, KZ didn't have the S25 statement. Burgess Mee has a bill of unpaid costs of 265000. We know they have had 40000 as they got that from detach. The LSPO was paid to burgess mee, they kept 20000 of it. That is a total bill of 325000. NZ said in her evidence she had no legal help, she said they came on the record for a brief period, turns out that period was October 2022 to March 2023, somehow burgess mee have racked up a bill of 325000. How, we will never know. Very good evidence of money being burned. One can understand when you see the money disappearing like that, why KZ did what he did with the mortgage. Irony he was chastised for doing that, he didn't breach orders. Standing back had he not, imagine what would have been spent. Actually, the money has been saved. NZ came to court time and time again she was burning through assets. Complete lack of focus, she was saying KZ was dissipating the assets. He offered her half, half wasn't enough, she wanted it all. That why I say the 913 should be added back. Paragraph 25 I deal with income resources. KZ has not been a high earner since 2014, worth looking at 2228 and 2229 of the bundle. Caused some consternation for NZ but she is simply not reading the document. This was created to persuade the authorities of what was clean capital. All the money he has spent offshore would have been taxed. He stayed offshore for tax purposes saving millions. The very first column on 2228, this is all income, everything from Barclays, the shares from Barclays, the overseas relief, profit from partnership, foreign. This is everything, not just offshore and onshore, this is everything that has been earned up until 2018. NZ completely missed that. You can see all of the tax, the Barclays income. You can see this at 2010 getting really high. You can see it when it diminishes, then it goes to nothing in 2018, all we have left after that is foreign income. Those last figures are modest, look at the last 3 lines. We are talking about 22/23k, 77, this is modest. BM will tell you that KZ has a high-income capacity, this is nonsense. When he left Barclays, he earned modestly. He has capacity to work, he can earn. That will supplement his basic needs, he is 58, one might think at this age and after this kind of event, he may not work or reduce and live more modestly. I accept NZ does not have capacity to work, but she can earn to supplement her income needs. She can choose to stay in bed, go skiing, if she wants to earn more she can. She is a tenacious individual, she is focused, she is attractive, she will be attractive to many industries. She may choose not to work, they both have the ability to supplement their income. The resources: their income capacities are similar. Accommodation needs, another aspect of s25. Accommodation first, both parties entitled to a roof over their heads. They have rented since 2011, they don't need to buy unencumbered properties. What is the right figure you should alight upon? 2 million I say. You have scant evidence. NZ says she wants a home in London, Boston, Wyoming and NY on the upper east side. The 3 million she referred to in her statement is modest. She has elected to stay in Wyoming. Looking at the property she is in, it is 6 million, a decent smaller home could be acquired for 2 million. The court can take judicial knowledge of what you can buy in this country. You can buy a palace in Cheltenham for 2 million, or a decent house in most boroughs of London. Income needs, 150k per annum for life on a Duxbury calculation. Often in these courts the judge will alight on a need now and reduce by a third in retirement, I have proposed 150000 as a flat figure, might not be enough now, will be more than enough later. Question is it enough for this family, BM will say this is a family that lived on 1 million pounds per annum, if he is sensible, he might say 250k. That is not needs, needs are clothes, a home, holiday. The 1 million spent by the family is not needs, it was never a sensible
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	way of spending. At paragraph 36 are contemporaneous records, 2014,2015, to 2019 of him saying we can't afford and can you cut back. This spending is not needs, shouldn't be used to reflect the standard of living it was never affordable. From 2018 onwards it came from capital. If they stayed together they might have spent it all. You need to be sure NZ's needs are met. Don't be tempted if BM says give 5 to him because he can go out and work and give 7 to her as she has high expenses. KZ is not avoiding work; he hasn't really worked since 2020. Is there enough capital to meet her needs. Stepping back, 5 or 6 million of course there is. Is there enough to meet what she wants to spend, no. The authorities, SS v NS asks some useful questions, highlighted in bold 'the next question is how much and for how long' he then went on to quote the law commission. Mr Mostyn quotes, exactly what needs will be met will depend on what there is and usually the marital standard of living. The replication of the marital standard of living will be rare post separation. Most families will not be able to live at the standard they did during the marriage. Don't be lured by BM into giving NZ much more capital because KZ could work, that would be disproportionately unfair, he would have to catch up. The inclination to give more is attractive, but what is fair for one is fair for the other. He says in paragraph 35, final sentence. That is exactly where we are. My Lord, going back to paragraph 43.
J	I am aware of the time...
AC	I have 5 more minutes. You will want to fix a figure for NZs reasonable needs, KZ has said about 1200 a month. Resonance, she has had an MPS order. 150000 will cover all of that. It isn't necessary to cover a house in Wyoming, NY, London, Boston. This is a long marriage, parties are later middle age, they have had an unusual marriage I accept going on until 2020. NZ conduct in stealing his confidential information. She knew it wasn't right she did it secretly and she tricked him. Disabilities, there is the letter from Mr Libby, treat it with caution, no supporting evidence, letter referring to coercive and controlling behaviour which has crippled NZ. Not correct, not right to consider NZ with a [x] of any sort. An observer in these proceedings. NZ has shown to be very strong and determined. This is a woman who is strong and in control. It is certainly a woman who is not being bullied by anyone. Paragraph 55, NZ had no hesitation in bringing proceedings against Mike Deeg, BOJH. She is a strong and tenacious woman, I do not think her behaviour should mean you should give her an extra consideration. Both parties have found this difficult. She is adept at playing the audience when she wants to. She has been able to give very strong [x]. Paragraph 63, sets out the costs the court was dealing with. Here are the figures, the yellow line, costs were similar, wife was proposing to spend another 318,000, by the hearing in May costs had gone up to 393 and June to 586. By July, look at the figures. These are huge increases. In September when she revealed her third-party costs, it is not surprising that KZ went and paid off the mortgage. Paragraph N, 150000 to be retained from the pension to be a war chest to defend any proceedings NZ will bring against KZ. If there is an amount set aside, I say the litigation is vexatious, and some money should be set aside. Mr Zahmoul has given an undertaking to protect her. If she gives an undertaking then we don't need that money, the war chest.
J	Hear your submissions BM at 2:15, you have until 4:30
	13:24 hearing paused
	14:18
AC	Over lunch I had instructions that the litigation in the US is continuing, there is a hearing on 4 th March. I would like to add an amendment to my position, transfer of property at



	3100 doesn't take place until litigation has ended, will be more effective in trying to bring a resolution to that litigation
J	Yes
BM	This is it, the end of the litigation,. There is a bundle of 4300 and many pages that didn't make the cut. What is this case about, Jakob Elleson, he says 'I know it when I see it'. Hound of the Baskervilles, he knows good art when he sees it. You should know non-disclosure when you see it. It's about whether Mr Zahmoul has dishonestly failed to make proper disclosure of his resources. Looked at in its entirety, he obviously hasn't made disclosure, the real issue is has he succeeded in other things that we do not yet know about. Happened to stumble upon 800,000\$, otherwise we would be sitting here today with no visibility in relation to that asset. I do not want you to think, easy to characterise this as NZ feels passionately but rationally about this. I don't want you to characterise this as someone who is gripped by the non-disclosure to punish KZ with no regard for costs. Cassandra was condemned with nobody to believe her, she was saying he was not telling the truth and we don't have disclosure, she was making those submissions which were rejected by KZ and his team, there was a million dollars of crypto, when at the beginning of 2022 she was saying he has not made disclosure, there were assets that he has not told the court about. She was right. Everyone was saying she was wrong. Today's value 1.1 million dollars of crypto. In his name, none of which he was owning up to, he is saying they weren't in my name or I have forgotten about them. He had those crypto assets and the court didn't know about it and NZ was saying they existed and she was right. KZ's form E was grossly deficient. There was 1.1 million of crypto missing. With good reason does NZ look back and describe it as gaslighting, that he hadn't made a full frank disclosure of his obligations. Hard when someone has form for not telling the truth, as this whole exercise is based on the honesty and integrity of the parties, she seeks the entire pot on the basis that it is only the visible assets. She thinks she should not be penalised for KZ's non-disclosure. Paragraph 5 of my submissions, I set out the order that NZ seeks. I don't shy away from saying it would normally be a bold submission. She alights upon the most visible resource. I am going to canter through the law, we should look briefly at <i>Moher v Moher</i>, paragraph 83 'unless assets can be shown positively to exist an order cannot be made...inconsistence with the overriding objective, to allocate the appropriate resources [BM reading the judgment]. The court should be astute that the non-discloser should not get an outcome that is better than if they would have disclosed. My client was being encouraged to reach a deal with undisclosed crypto, and an asset that was shortly to become 7 million, if NZ had done a deal on that, on disclosed assets of 10,11,12 million sterling, instead of the much higher figure without the spending as a consequence. The spending is a result of the non-disclosure, we see NZ being criticised for the money she has had to spend on the non-disclosure, that is why she has fought so hard for fairness. <i>NG v SG</i>, my submission was unless the court was able to identify the undisclosed resources [they should be treated as not existing]...the court said that is just not possible. It would be unfair to the applicant not to try and identify, shouldn't be any injustice where the non-discloser gets more. Adverse inferences when figures had been hidden, that gets a tick here. The standard of living they have enjoyed, the standard of living that NZ says he has continued to enjoy, 'look firstly to direct debit, then business activities and lifestyle' final reference to <i>GW v RW</i>, Mr Justice Mostyn draws the courts attention to the fact that there is an obligation on someone filling in a form E to make it comprehensive and comprehensible, to put an obligation on other side to ferret through. This is a role she has had thrust upon her. Everything that has come from that, the costs incurred are down to him. If he had adopted a more honest



approach, we would not be looking at the final bill we are now. Not my client's fault. What is his disclosure? You start off with one thing and everything snowballs, if you are caught out not telling the truth, you have to put your hands up straight away and you have to make sure your disclosure is completely up to scratch from then on. We try to get to the bottom of coinbase, then zappo...who's fault is that? Mr Zahmoul. The way NZ has been treated is completely unfair. The tone of the letters from HFC, them referencing that she is pursuing some grand conspiracy, and is perhaps being ridiculed. At that time, he knew they were understated by 7 million. It is interesting to look at the costs of the private FDR, 1895. You'll find I referenced it in evidence. On 19 July, his were 163,000..when we get to the PTR, hers are 393 and his are 247k. Why have the costs grown in that way? Had she been the unreasonable character, it would have sounded in the initial costs, we would have seen that up to the FDR, there is money to be spent up to FDR, her costs were less than his. She was validated that she was being taken for a fool and the court was being taken for a fool. Important to look at Topanga and coinbase. Mr Zahmoul is not a private equity hobbyist, he was a keen and enthusiastic investor of crypto, who happened to be an early investor. He couldn't believe his good fortune. It was in the forefront of his mind. 752, his investment, type of investment, no narrative with this entry, there matters were left. Until the first appointment on 7th April 2021, counsel for wife produced an asset schedule we find it at 881, we see in small print, Topanga canyon, H 85000 shares, company business unclear, it was produced on behalf of the wife but went between the parties and in front of the judge. How easy would it have been on 7th April for KZ to say, or shortly thereafter, to say this holds equity in coinbase and it is worth an awful lot of money, not sure how much because it hasn't floated, but it will shortly. The figure should be closer to 7 million and I should tell you now. If it was beyond reasonable doubt he would be banged to rights but it is just balance of probabilities. Whether the respondent has given a full and frank, her costs were pretty proportionate, she was seeking explanations and answers, and hoping KZ would tell the truth when prodded. Mr Zahmoul tells us now that he knew of the plans for listing, he must have known that the value of Topanga was many multiples of 75000. No good saying he was taking a literalist approach, we know that he knew he was sitting on something valuable. 1343, he says in his statement, only Topanga he adopts a literalist approach. Even if that were true doesn't absolve him of the need to tell the truth and so people can decide if he is being reasonably conservative. He says in terms that he knew that there was going to be a listing of these shares and he chose not to say it. Out of his own mouth that is what he is telling the court. He might say this all sounds very damning, he might say my wife knew all along, there was no real need to iterate in my form E because she just knew and she is playing dumb now. There are a number of pointers whether that has any plausibility, she did not raise it in correspondence, what we have learnt is that had NZ had a suspicion, she would have raised it, is it really conceivable she would not have raised it in questionnaire? Is it conceivable that she would have signed off the asset schedule? She doesn't even raise it in advance of the FDR. The notion she would have kept stum, and not raised it is an absurdity. The husband might have referenced the floatation of coinbase to her, we saw that WhatsApp message she replies, emoji, I understand what it means, it conveys an excited cheeky surprise. KZ might convey that it is a rise and rise of crypto which he is engaged. It is a world away from proving that she knew he had 75000 in Topanga which would likely have lots of value. It is doing a lot of heavy lifting. It is apparent from all of their dealings that coinbase and crypto was an interchangeable term. She knew he had crypto, she didn't know he had coinbase. 1386, 1387 and 1807. 1807 document provided in advance of a mediation. There at 1807, we



see coinbase as the investment, 2.327 million dollars, that was crypto. It wasn't a reference to coinbase, coinbase hadn't floated. He was using and confusing those two terms, it is not surprise, she cannot be blamed if she didn't know that coinbase was not coinbase equity, it was crypto. The idea that these documents are being handed over should be taken by you as disclosure, has no weight at all. No reference at all to coinbase equity. I have said what I want to say about the literal approach to his form E, 754 in the bundle, aertex he says 'remained my view of current value' He was applying his mind to the current value, he did not do this Topanga canyon. Again on 24th, no specific reference to Topanga, is it reasonable if she had known that she would not have asked those questions? Almost as if he is feeling her out as to what she did and didn't know before embarking on mediation. On 24th June, no reference made to Topanga canyon, excluded entirely, confirmed, time and time again an opportunity for him to come clean. Whether she wants any more information, no explanation at all. By the time we get to 24th June, it had been floated two months earlier. He even says on 14th April to his daughters, there is no doubt at all he knew, at first appointment he was about to be in receipt of windfall. He understood his equity was increasing in value, his evidence is that he didn't follow it. We can tell that isn't right by looking at 1382 in the bundle. Exchange with Mr Deeg. Go back to 1380, Mr Zahmoul is green, 'I just met a guy who is invested in round D funding, showed me the numbers they are making' he knew this was a metaphorical goldmine, he says 'we need to get those numbers' Obviously what is really going on... 'not funny' is the response on 1381 not funny is the 100,000\$ offer, he knows this is a bit of banter between financial lads, laughing on their good fortune as to getting in early, suggestion it was worth 75000 it even gets a lol. He even joked about Deeg buying him out. They got in at FF, anyone engaged in this, the value of that changed over time. He would have seen that. It is preposterous that he didn't keep an eye on this. Absurd that he did not know about it. Also absurd that if NZ knew about it she would have asked him about it. What did he say in response, solicitors say in his statement we have no record of this conversation, he says it was my intention to tell NZ ahead of the pFDR, I wasn't going to duplicate disclosure, before the private FDR I was going to tell her. We know that is untrue, they wrote on 2nd July 'I do not propose providing updating disclosure...apart from cryptocurrency account' [BM reading the letter.] The only reasonable conclusion was KZ wanted to deceive the wife by not providing updating disclosure. If she had cottoned on, he had got through the form E, questionnaire, replies to questionnaire, almost home. He says there 'shall we just not have updating disclosure?'. Other evidence points to him taking advantage of wife's ignorance. He told the court that he unilaterally reduced the financial that he had previously been making, he had said we are burning through capital, he didn't say he was sitting on this 7 million windfall. He did something else, he encouraged NZ to attend mediation and negotiate on an entirely false premise. He sent her an asset schedule with some figures updated. He tells her that he wants to mediate, if she is taking this seriously, then don't involve her solicitors. There is really no defence to this, he is trying to procure a deal with her without her solicitors, without disclosure of a 7 million assets. He says I will buy out your investment [X] tells you all you need to know about his character, he is not someone who has behaved honestly, he is not to be trusted, he has taken the court and his wife for fools. He is a non-discloser. Not just that, of course, everyone loves a repentant sinner. Had he at that point come clean, not instructed his solicitors to write moderately harsh letters 'gone up in value 5 million' he didn't just participate in that play acting, he sat on other assets, at least 1. Paragraph 19 [BM reading] he tentatively discussed it with Pinto, but that is not the same as correspondence between solicitors. The Zappo account containing 16 bitcoin, the



zappo he said he forgot the Gemini he denied was his. The reference, footnote 5 is where they try to finesse away the Topanga canyon. What of Gemini, the timing does not look good for him. Looked at in conjunction with his other non-disclosure, March 2023, he knew he had a Gemini account, 25th May, details of any investment account, he says nothing. 'Details of which have not been disclosed' if you were looking for loopholes you might say you were not trading, is this the right approach if you are a serial non-discloser? No. What would have been easier than for him to say, 'I have 5 bitcoin in my name, they are my sisters, given what had happened, let me just be clear' but he didn't do that. 25th February 2022, original questionnaire, asked to disclose further investments which have not been disclosed. Analysis of Imerman disclosure, degree of Imerman, she only wanted 1 folder to be looked at. They made the decision, HFC to do that, the costs incurred are on him not my client. Our clients' accounts are in form E, 'client no longer holds Gemini accounts' this was a lie, he had an account in his name and it had 5 bitcoin in it, value even then of over 100,000. On 4th March, Judge cope ordered a crypto expert, he objected but seeing the writing on the wall he relented. He contacted Gemini on 12 March. He said it was prompted by move to Portugal, but he moved in 2020. He says in his statement, he says his honesty and integrity juxtaposed with NZ's, the first question I asked, he paid someone some money to pretend he lived in Cascais to avoid taxes, what a terrible way to behave. 12th March he contacts Gemini, he says he had just moved to Portugal. He could see the crypto expert was being appointed and this may lead to the uncovering of his holding at Gemini. He gave his own phone number not his sisters and there is a message from his sister but signed off from him. Who is actually involved in these holdings has never been explained. At the same time, he is trying to undermine the efforts of NZ to obtain disclosure, at 3194. Letter from withers [BM reading]. Again, this is a theme that has had real world costs consequences, subtly undermining the relationship between NZ and her lawyers, he wrote to burgess mee asking them to read a number of books, PTSD which he acknowledged that NZ has, AC asks you to give no weight to the letter of Dr Libby, but he attached it to his own statement. It has impacted my client's ability to trust what he says. When the trust is gone, it is hard to get back, in a marriage and in litigation. When you are proven right in relation to Gemini, in relation to Zappo, in relation to Topanga, someone is saying just talk to me, that you will want to understand Portuguese tax return, Illya to correct its own mistakes in a letter, all for figures that barely make sense and don't have any underlying documents in any event and she is told to believe it or she is someone who is [X]. The IRS tax return, my client states to be a fraudulent tax return, where she is being put as a UK citizen, none of this makes sense to my client, she is told she is being unreasonable. No reasonable person could accept what he is saying, because so much of it has made no sense for so long. Zappo, NZ has long contended he had bitcoin with Zappo, at 1992. Imbalance of knowledge in this sector, she is going to incur money trying to understand it. It's not like a bank account that we don't understand. She didn't know all of these things, he did. She needed Mr Siberik, it was inevitable she was going to spend money with Mr Sibernik or with someone else. Even now my client is very sceptical about the second coinbase account. She can't add up why the French account is from 2014 when they only had a license in 2023. Can she fairly be criticised given how things have played out? The 1LVGS, the multibit wallet, she posed the question is it the multibit wallet? You'll recall this being the multibit wallet that he distanced himself from, my client is on the scent, she understand that the account had transferred...he is saying he hasn't had a multibit wallet for a long time. September 2022, 3863 in the bundle. Further questions were raised on behalf of the wife, what became of the funds in the multibit wallet, can I please have the



	Zappo records. She could not have done more to put him on notice that she did not believe his disclosure, what did he do? Nothing at all, until 10th March 2023. The only rational explanation for this is that he was hoping he wouldn't have to disclose it. His aspiration was that this would somehow all get lost in the wash. That was his philosophy. On 15th March, he says he would like to sell the balance, the faster the better, on 10th April he admitted it existed and he had spent it before he had told her. There are so many examples of him doing what he can to reduce liquidity in the case. It is presented as prudent finances, with one eye on NZ's expenditure. We say that it was to make it so difficult for her to litigate, his nondisclosure, the last thing he wanted was for her to have funds, he wanted to get rid of liquidity, pay down his mortgage, it doesn't make any sense, wasn't his call to make. He was able to self-represent, it's always easier for the non-discloser. She couldn't self-represent as she had already taken a litigation loan, it was a condition that detach had added to the terms of the loan, she didn't have any choice but to have representation. We see time and time again liquidity being removed, and seeing that as [x]. Unless you reduced the LSPO he would not be represented, but hey presto here is with Ms Campbell and Ms Amoush. NZ would say it's arrogant disdain, 17 May 2022 'the outcome of the costly exercise was to show I had disclosed everything' that is simply not true. I am not going to take you through the conduct statement, I am not going to take you through. I can't say to you there is 141 million of crypto that has been evidenced in these proceedings. I can say there are unknown unknowns, that you don't know if there are undisclosed crypto currency. With zappo and Gemini, the gap between being told he had and the time when he came forward with it. We are in a position that Mr Pinto says this is a sphere that if you don't want to tell the truth there is more space for that, the KYC...you have to ask who is the true owner of this wallet. If you are an early adopter it would be very very easy to hide assets. NZ's case is if you look at the way KZ has made and not made disclosure, it is more likely than not that he has not made disclosure of crypto. That the court should draw inference that he has not made full disclosure. Otherwise, the decision is that we have exhausted all the nondisclosure, that is inherently unlikely. We know about what we know about, and we don't know what we don't know about. There was a question mark over the true owner of a wallet. 3DGA, His evidence was that because of who he was with, he thought it was Miss Molina. Molina produced a clear letter saying it was her account. She couldn't have said that unless she believed it, or someone told her to say it. If someone asked you if that was your bank account you would know if it was yours. He as good as said that she said it was hers because she told her to say that. He then says an entirely different explanation, this is someone at forte securities, it smacks of dishonesty. At the very least if you were to give a benign meaning telling someone to just say it's theirs, in these proceedings, where you have previously not disclosed, you tell someone to tell the court that a wallet is there's and you are going to rely on it with an expert. It is terrible behaviour, and it shows why we are where we are with costs. It is not down to my client. I deal with the conduct. We haven't engaged with the maths because there is no maths to be dealt with. We cannot engage with figures that you honestly and reasonably believe represent a fraction of the total resources. In red is my client's responses to the allegations made against her. Certain assets which would be worth more now. AC acknowledged it is not technically a breach, not in the spirit to pay down all the mortgage. Was to prevent my client of having liquidity, it is an onion of unattractive reprehensible behaviour. I invite you to read the observations I make in red. I am not going to overegg the observations I make in relation to his behaviour. In relation the UBS, my client reasonably believes in relation to the UBS, KZ says to her they are not to be taken in aggregate, to contextualise the case, she says
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their UK expenses were met by onshore money, they spent everything that was being earned in the UK, there was 11 million sterling net. That is easily understood. He wasn't remitting money, that would have had adverse tax consequences. There is another pocket of money, the UBS. She says the UBS money did not meet their capital needs, those properties existed, those properties were rolled over 1301, roll one over for the purchase of another. Assets in America were self-contained. The spending in UK was in a bubble, living good lives in the UK, UBS 12 million in the UBS going out and nothing to show for it. There is a hole, she says in the instructions she gives, not found in the assets in America, not found in assets in UK, she does not accept KZ's explanation. It looks like a big number, but it is an aggregate figure, she says that 12 million is a free standing second balance sheet. Elsewhere on that page I invite you to read 3297. Then I make some submissions in relation to crypto. The following matters we say are going to be material as to if this is a non-disclosure case, we are not asking is it a non-disclosure case, we are asking is the non-disclosure continuing. His approach to crypto is his approach to the case – respond to what is known. It has made the proceedings so acutely painful, that he is not being fair to NZ that through the 26 year relationship she has supported him. There was a letter put to my client in her evidence, do read the entirety of that, you will see how troubled their relationship was, how easy it would be to imagine this was a couple who had their troubles, it is not a case where my client turns and wants to punish him out of spite. Its clear that there were issues of intimacy and trust. This is not out of spite. Paragraph 29, don't read NZs tenacity as to someone who can walk out and get a job, you can see why she has struggled, the idea she could walk into a high paying job is for the birds. Why would someone who is anxious about their financial future lend someone 500,000 who already owed them money? He only paid 50%, you would only do that if you were confident about your financial future or if you were trying to get rid of liquidity so when your wife wants MPS you say the cupboard is bare. Standard of living KZ enjoyed post separation, invite you to give mind to this in her statement. We haven't even got onto Ambulanz, I have put it in as a footnote. I would respectfully ask you to give note to what my client says in relation to Ambulanz, he tried to invest in 2016, it miraculously appears in a list of assets, it managed to survive as a line in an asset schedule which he uses to evidence his honestly, far more likely that he still had that investment and she has not been able to get to the bottom of. 800,000\$ to Miss Molinas. 816000\$ in today's money, this is a person who has not made full disclosure. Everything that could be found out has been found out, it has been like pulling teeth trying to get to the bottom of it. Her position in relation to needs is entirely reasonable, her needs would not be met on an equal division, would lead to an unequal future, this family were spending 900,000. She does not have an earning capacity, 50% will not meet her needs, she needs to entirety of the resource. Costs, he has applied unreasonable pressure, he has prevented her from using their money to fund her costs, 1651, he has sold the zappo coins and paid down the mortgage to stay her efforts to get liquidity, he has obligated her to take out a litigation loan, he has pressured her to take less than she should. Cardinal example, May 2021 when he was trying to procure a settlement while not telling her about coinbase. He is responsible for the costs. There is something sad about this case, the sadness is the costs that have been unnecessarily been incurred. That is an awful lot of family money spent on lawyers, but that is not my client's fault. She has done her best to resolve these things. She agreed to mediate in May 2021, if she was a hard nose litigator, she would not have contemplated mediation, but she did. Because at heart she has wanted to resolve this in cost effective way, but she reasonably could not tolerate having the wool pulled over her eyes. [Reading statement within submissions]. I can't improve on that, that is



	her case, on 21 st February, withers wrote in similar terms. 'The audacity your client displays' this is not a case about whether my client has complied with orders or whether she could have done better with certain aspects of procedures, this is about non-disclosure and what happens when one party doesn't tell the truth the another. Something for which he and he alone is responsible for. Can I pause and check I haven't missed anything.
	[BM conversing with ZB and NZ] NZ Thank you
AC	No right of reply and don't seek one. Few points to correct, first one in relation to BM having behaved fraudulently in giving the wrong address in his tax returns. 2149, NZ's tax advisor accepts it is not a problem. 1371 'that's not funny' relating to purchase, he is referring to the aspect of how they purchase the window
BM	That is a submission
J	It is
AC	My paragraph 58F made a point about legal privilege, BM says he hasn't waived privilege and can draw an adverse inference, you may not.
J	I will revisit both parties' submissions
BM	The inference is that he hasn't said what he says he had
J	Thank you very much indeed, it is my intention to reserve judgment, will endeavour to give judgment by the end of term, there is a possibility that might not be possible. Thank you.
	Hearing ended 16:00



Final Hearing
Note of Behalf of Respondent Husband
19th February 2024

ZAHMOUL

FINAL HEARING – NOTE ON BEHALF OF THE RESPONDENT HUSBAND

19 February 2024

Introduction

1. Despite the vast costs spent on this case, (£2.7m) the huge electronic bundle (c.4,500 pages) and proliferation of statements and reports, this is essentially a very simple case. This has been a long marriage; the parties have contributed equally, albeit differently and the fruits of their partnership fall to be shared broadly equally. There is just enough capital to provide for both parties' housing and income needs and an education fund for the children's tertiary expenses. The parties are each able to supplement their capital with earned income if they chose to do so. They do not need to. So why has this case not settled?
2. W has become obsessed with proving that H has undisclosed assets. At the time of writing¹, W asserts that H has undisclosed assets worth about £141m. There is not a shred of evidence to support her allegations. It will be immediately obvious that H has not had any chance of reaching a settlement where W says he has hidden resources of this magnitude. W's wild allegations have derailed the course of these proceedings for more than three years. Despite being warned expressly by this court on three separate occasions, that her allegations appear to be unfounded, she has persisted in pursuing them, to the extent that she has lost all focus on the real issues before the court.
3. The marriage broke down many years ago, in 2014, when W issued her first divorce petition. They did not divorce. Instead, they continued to present a united front for their children but lived largely separate lives². They remained friends and H believed that they had an amicable and mutually supportive relationship as parents and co-investors. W had long suffered from addiction issues and required residential treatment. H supported her through these difficult times. It was not until W learned that H had formed a settled relationship that the entente began to break down. W went to see Diana Parker at Withers. A petition was issued in early 2020 (but not served). W secretly accessed

¹W is yet to file her s.25 statement – over a month late and on the first day of the trial

² The marriage ended after one of W's relationships led to a pregnancy which was terminated.

H's personal devices and stole hundreds of pages of documents to examine and pass onto her legal team. W held on to the documents, for the best part of a year, until the disclosure process was well underway³. Not one of the documents illicitly obtained provided any evidence of non-disclosure. Despite this, W has relentlessly pursued a hostile and destructive campaign of attrition resulting in a myriad of incoherent, unsubstantiated allegations. Even on the eve of the final hearing, W has advertised an intention to seek yet further disclosure from H as a preliminary issue but has still not filed her own s.25 statement, a draft ES2 or a comprehensible open proposal. The very core aspects of her case are still an unknown quantity.

4. It remains to be seen what W's legal representatives will be instructed to pursue when the trial opens. This trial must not be derailed. This note will attempt to focus on the *issues* and not the irrelevant and unsubstantiated preoccupations with which W has become obsessed.

Reading

5. It would not be reasonable or proportionate to expect the court to read the full bundle. The court may wish to read the bodies of the parties' statements but in particular, it is suggested that the following documents will *assist* the court:

H's conduct pleading	12.12.23	3254
W's conduct pleading	15.01.24	3264
H's s.25 statement	30.01.24	Sent separately
W's s.25 statement		Not filed
W's defence to H's conduct pleading	06.02.24	3451
H's defence to W's conduct pleading	07.02.24	3465
H's open proposal	03.02.22	4026
W's open proposal	17.08.22	4034
H's open proposal	31.01.24	4037
The SJE crypto currency report	09.02.24	3875
Updated SJE crypto currency report	16.02.24	Sent separately

³ The hard copy documents were eventually returned to H in separate files, collated by category, which revealed the time and care W had given to their examination.

Documents not to be read

6. W has prepared the bundle and with over 4,500 pages. It has become apparent that within the bundle (hidden behind exhibits) are purported “expert” reports. These should not have been adduced. W does not have permission to rely upon them. There has been no proper disclosure of instructions and correspondence relating to the preparation of the reports, and more significantly, the court has now made an order preventing W from relying on expert evidence that has not been adduced in accordance with numerous historic orders.
7. It is far too late for W to attempt to adduce partisan and incomplete documentary evidence which is plainly self-serving and upon which H has not been able to respond. These documents⁴ should not be read and should be redacted from the bundle. It is also far too late for W to make any fresh applications for permission to rely on professional reports.
8. H reserves his position in respect of W’s s.25 statement. It is now 19 days late. H has no idea of the content and may ask the court to disregard the document. Why should the court permit W to breach every direction given for the proper management of the trial? Why should she operate under a completely different set of principles than other litigants in general, and H is particular? Why should he be taken by surprise and forced to respond to whatever allegations W might come up with, at her leisure. Submissions will be made on this point, once the statement has been read by H. The court is respectfully asked not to read it before those submissions have been made.

Parties

9. H is aged 58. W is aged 54. The parties started a relationship in 1994 in New York and married in 1995. They have two daughters: **Jade Mia** (18) who has just started her first semester at Wellesley College, MA, USA and **Lila Mae** (16) who is in the first year of her IB Curriculum, boarding full time at school in Cheltenham. W is living in Wyoming, USA and H is living in Portugal.

⁴ CIPHERBLADE [1977 – 2012 and again at 3756, 3776] and MRW Consulting [3278]

10. W's first divorce petition was issued in 2014. The family remained living together until 2016 when W moved to Cheltenham to be close to the children's school. H rented a small flat in London. In 2018 H relocated to Morocco for work for two years until 2020 when he leased a small flat in Lisbon to enable him to benefit from the benign tax arrangements for residents. Covid required the parties to spend some time together during lockdown in Cheltenham. These proceedings were launched by W's petition, issued in January 2020 but not seen by H until January 2021. The financial remedy proceedings have been ongoing for three years.
11. H has spent £1,056,820 in legal fees to date and W has spent £1,794,092⁵. A colossal sum of **£2,850,912**. This figure has to be set in context with the assets in dispute – of about £12m. This represents almost a quarter of the asset pool. As at the PTR hearing, W has spent £887,066 more than H - almost double his fees. H will be seeking an add back to reflect this disproportionate and wholly wasteful expenditure.
12. H made an open proposal as long ago as 3 February 2022, **[4026]** to share all assets equally, *in specie*, so that each would retain an equal share of real property, private investments, crypto currencies and pensions. He could not have made a fairer or simpler proposal. At that time the parties had spent about £ ½ m on costs. Two years later, it is impossible to understand what outcome W seeks and what findings she is asking the court to make.

Capital resources

13. H's ES2⁶ is attached to this Note. It can be seen that the assets are relatively simple. H's net effect schedule is appended to the ES2. In broad terms H is still proposing an equal division of the matrimonial assets, subject to a number of add back adjustments.
14. H has a 50% interest in three properties inherited from his father, (his sister is the other beneficial owner). The legal title remains in his father's name. These are non-matrimonial properties and H's proposal assumes that the modest value is excluded from the division.

⁵ W has not updated her Form H since the hearing on 16 January 2024.

⁶ W as the applicant was due to circulate a draft ES1, ES2, chronology and statement of issues in advance of the hearing. None have been received and W has completely failed to respond to H's proposed draft documents.

15. The parties jointly own three investment properties. The first is a development of four apartments in New York, at Frost Street. The properties are unencumbered. H proposes that these properties are divided between the parties, in specie, so that they each retain two apartments. They return a reasonable rental income of about £50,000 each.
16. Separately the parties own two investment properties in Wyoming. W is currently occupying one of them. Legal title to both properties is held in three corporate wrappers, in which the parties are equal shareholders. These properties are mortgaged to the Bank of Jackson Hole, (“BOJH”) with a single mortgage over both properties of \$1.45m. H proposes that W retains the more valuable property (3100 West Arrowhead). H proposes to take the less valuable property (3093 West Arrowhead), and 100% of the mortgage. These are large holiday chalets acquired for rental purposes. Each of the Wyoming properties can earn about £250,000 pa in rent.
17. H holds interest in a number of private equity investments. Almost all are illiquid. H had been happy to share these assets in specie. He had offered to divide them equally with W since the outset of the proceedings.
18. H trades through a company called EMVirya Ltd (he is an 80% owner) through which he pays his investment income and a trading subsidiary, EMVirya Trading Ltd. Neither entity has any intrinsic value, save for a modest crypto holding in Chia which H proposes to share with W. The trading company was used as a VAT registered entity to purchase crypto currency mining equipment for a joint venture with friends, to reclaim the VAT. H proposes to retain these shells.
19. W holds a collection of jewellery (which she values at £105,033 [827]). This does not feature on the asset schedule as H does not expect W to sell it. W also holds H’s jewellery including his watch collection. That is valued at about £100,000. That is included in the schedule as W retains possession of the item and has failed to return them despite him asking her to do so for many months. W was ordered on 16 January 2024, [638] to provide H with details of the whereabouts of the items. She has completely ignored that order and H has no idea what W has done with his watches and his mother’s gold cross pendant. In view of W’s disregard for H’s possessions (and the court’s orders) H does include the value of his jewellery on W’s side of the asset schedule.

20. Both parties have significant liabilities. H has credit card debts and tax to pay. W has credit card debts, a loan to her father (as yet undocumented) and historic professional fees (to Withers, Burgess Mee and Taylor Wessing) in the sum of £473,369. *Additionally*, W owes Detach, a litigation lender, £886,812. There was never any need for W to borrow from Detach and pay the extortionate interest fees, as H offered to meet her fees on a pound for pound basis to match his own. H hoped, in vain, that this might curtail the haemorrhaging of hard earned capital on legal fees. W failed to engage with H's offer and accepted the litigation lenders rates, to ensure that her investigations could not be hampered with any form of limitation on what she could spend in legal and professional fees.
21. H has pension funds in the US and in Jersey. The latter has been transferred to Malta where it will be susceptible to an English pension sharing order. The US pensions can also be shared between the parties, in the US. The pension funds are worth c.£2.7m. A small proportion of the funds is held in property in Portugal (c.£220,000 – which is pending transfer to Malta) and the rest is essentially liquid. These funds can easily be shared on an equal basis.

Income

22. H worked in investment banking, focusing on emerging markets. His last employment was with Barclays in 2014⁷. Between 2014 – 2018 H supported the family expenditure by realising shares that had been paid to him as part of his Barclays remuneration, [4334]. The shares eventually ran out in 2018. H then worked for Sphere Digital LLC (based in Morocco) between 2018 and 2020. His role was terminated unexpectedly, and H was forced into litigation to challenge the dismissal. (W's father, an employment lawyer, acted for H). The proceedings have been abandoned as a result of the breakdown in the parties' relationship. In short H has not been in receipt of a salary for the past four years. The family have lived off capital, rental income, and H's investment returns.

⁷ Apart from a brief stint working for a renewable energy project Temporis Capital in 2014

23. When H left Barclays in 2014, he began to investigate the emerging crypto-currency markets and invested in a number of different currencies. He also used his experience in emerging markets and green energy to invest modest amounts in a diverse range of private equity investments. Many of these investments have made positive returns for H. One in particular has transformed the family's finances. In 2015 H made a \$75,000 investment in a company called Topanga Canyon Holdings Ltd, which held shares in Coinbase. Coinbase floated in 2021. H's modest investment rose overnight from \$75,000 to \$7m. Many of H's other investments have made far less impressive returns and some have made losses. As with many start-ups, particularly in emerging markets, risk is high, and returns are often deferred by many years.
24. During these proceedings, H has continued to invest and has channelled some of these projects through EMVirya Ltd a company in which he is an 80% shareholder. The company does nothing other than receive fees. H has also taken on work as a non-executive director for Oxus Acquisition Corp. He is not paid a salary but has been awarded founder shares for his input [4335]. He is hopeful that those shares will in time have value to reflect his input. Otherwise, H plans, subject to liquidity pressures, to carry on as a niche private investor seeking out profitable returns in the future.
25. W has an MBA from Columbia University and a degree from LSE. She too worked in banking starting out with Citibank (Casablanca and New York) and then Lehman Bros in NYC. She is financially astute. Throughout the marriage H shared with W details of his various business investments and sought her opinion on many of them, before investing [see 1193, 4320, 2338, 1230, 1198, 1079 and 1037]. W did not work while the children were young and nor when they became full time boarders. The girls are now 18 and 16. Lila Mae, who is still 16 lives in England and her mother is in the US. Jade Mia is a full time student but lives over 2,000 miles away from her mother on the other side of the country, and so neither girl relies heavily upon their mother for care. W cannot argue that she is hampered in pursuing remunerative employment. Since relocating to the US W has updated her LinkedIn profile describing her professional occupation as "Family Office Management". Her involvement in the preparation of this case (which is evidently far reaching) shows a confidence in numbers, spreadsheets, and business investments. W is a confident and capable woman.

Needs

26. The family have been living off capital at an unsustainable rate for many years. W will say their “burn rate” was about £800,000 pa. That was always going to have to come to an end. Historic spending levels will be largely irrelevant, as they were consuming finite capital. Irrespective of the levels of historic spending, **both** will need to reign in their level of expenditure going forward.
27. The family have rented their homes since 2011. H’s proposal provides for the parties’ to each have sufficient capital to purchase mortgage free accommodation if they choose to.

Computation

28. The overall assets are worth approximately £12m. The breakdown of types of asset can be summarised as follows:

All assets	
Real property	£10,311,001
Cash	£221,533
Investments	£180,840
Business assets	£171,973
Chattels	£158,400
Other (miscellaneous)	£165,385
Liabilities	-£1,500,446
Pensions	£2,724,186
Sub-total:	£12,432,872
Non-matrimonial property	-£246,387
Non-matrimonial business	-£100,964
Total matrimonial assets	£12,085,520

Outcome

29. H’s proposed asset division (as can be seen from his amended⁸ net effect schedule appended to his ES2) will give each party in excess of £5m and a sum of £700,000 set aside to fund the children’s tertiary education expenses. £5m is sufficient to meet their respective housing needs (c.£2m) and income needs (£3m). A lump sum of £3m will provide a woman of W’s age with £150,000 net per annum for life. Any earned income

⁸ The net effect schedule in the bundle [4360] was prepared by H. This document has been updated and amended by his legal team to provide greater clarity. The substantive change is to transfer all of the mortgage liability to H.

will be in addition to this. This will provide sufficient funds for either party to settle in London, Wyoming, Portugal or any other jurisdiction. As both parties' needs will be met there should be a clean break.

Issues

30. As advertised, it remains H's belief that despite W's best efforts, this remains a very simple case. The court needs to resolve two issues:
- a. Are the assets as outlined in H's ES2?
 - b. To what extent should either party's conduct effect the division of assets?
31. In respect of the first issue, the court needs to consider whether H's ES2 provides a full and frank account of the family's assets? Assuming for the moment that it does, it would be entirely conventional for the court to omit the non-matrimonial property from the sharing principle. The real property is recently inherited and has never been mingled in any way. The negligible value in the companies H has set up since the parties separated is also clearly non-matrimonial and should not be contentious. Subject to W's arguments about non-disclosure, it would be inconceivable to construe any other outcome, (save in respect of the conduct arguments) than a broadly equal division of those matrimonial assets on a clean break basis. If H has not hidden vast resources away, this is broadly an equal sharing case with a clean break. That is what H proposes.
32. Only if W is able to satisfy the court that H has salted away tens of millions of pounds will there be any other outcome. It has not been possible for the authors of this document to discern one single document in the 4,000 plus pages which supports W's assertions of non-disclosure. There is ***no evidence*** of hidden assets, let alone any compelling evidence. W's fantastic allegations that H has hidden some £141m of assets is incomprehensible.
33. It is assumed that W's case will depend mainly on the willingness of the court to draw adverse inferences. W's case in this respect is also so unclear that it is not possible to set out in this Note any specific response. There are some general observations to note. The parties' marriage broke down in 2014. They have lived apart since 2016. W appears to have attempted to carry out an audit of all of H's financial transactions, not just since the end of the marriage (whether in 2014 when she first went to Sears Tooth or 2020 when she instructed Withers) but ***throughout*** the marriage. She complains that

H's disclosure does not go back further than 2004, [3265] and that the SJE crypto currency expert should be researching not just from 2019 but since crypto currency trading first started in 2014. It is remarkable that W thinks this type of audit will be reliable or in any way useful.

34. The court is asked to consider W's bizarre and unsubstantiated allegations against the following facts:

- a. W has had access to H's confidential financial data (hard documents, hard drives, laptops and mobile devices) for at least 8 months prior to returning the material to H's solicitors, in April 2021, all of which she catalogued;
- b. W has spent almost £2m in paying professionals to pour over H's finances for four years;
- c. H has provided reams of disclosure, including comprehensive disclosure of all information from 2019; and
- d. H has answered four set of Replies (including purported schedules of deficiencies) and provided W's advisers and the crypto expert with direct links to access his accounts and investments on the public blockchain and has offered to have calls or meeting with them multiple times which have been ignored.

35. H has provided *so much* disclosure it is even more astonishing that W's allegations are so confused, fantastic and baseless. H will have to deal with the specifics of W's allegations, if they can be put, in the witness box. The only valid criticism that can be laid at H's door relates to his *late voluntary* disclosure of Coinbase shares held in Topanga. That criticism is misplaced and is dealt with below.

Conduct

36. Conduct does feature in both parties' claims. It is submitted that H's arguments are reasoned and carefully set out. W's arguments are not.

37. In *OG v AG (Financial Remedies: Conduct)* [2020] EWFC 52, Mostyn J identified four situations where conduct is relevant:

- (i) Very rarely, personal misconduct during or after the marriage.
- (ii) The add back jurisprudence where there has been wanton dissipation by a party.

- (iii) Litigation misconduct which is usually penalised in costs but can in rare cases sound in the award.
- (iv) Lack of full and frank disclosure leading to adverse inferences.

38. H's case relies upon limbs (ii) and (iii). W's case apparently seeks to engage all four limbs [3264].

Add backs – the law

39. The add-back jurisprudence stems from Martin v Martin [1976] Fam 335:

*'A spouse cannot be allowed to **fritter away the assets by extravagant living or reckless speculation** and then to claim as great a share of what was left as he would have been entitled to if he had behaved reasonably.'*

40. In L v L [1994] 1 FCR 134, at the end of a very long marriage the husband had gambled away most of his assets. He only had his pension, whereas the wife retained a property portfolio. The husband sought a half share of all the assets but was awarded only enough to meet his needs by way of a Duxbury income fund to include rental costs (substantially less than half the assets). Thorpe J said:

'I am quite satisfied that the husband has throughout the marriage been a regular gambler. I am not in a position to determine the scale of that but gambling is an addictive habit, once it becomes addictive then self-control is often powerless to contain its scale, and, whether the habit of gambling in its most obvious form or whether the habit of gambling in trade, I am perfectly satisfied that some of the family's financial decline and certainly the occasional crises that the wife describes were the products of this weakness.'

41. In Vaughan v Vaughan [2008] 1 FLR 1108 the husband confessed to having spent a large sum of money since the separation on gambling. Wilson J guarded that add-back claims cannot be sustained if the “notional” funds are actually needed to meet income or housing needs:

*'The only obvious caveats are that a notional re-attribution has to be conducted very cautiously, by reference only to **clear evidence** of dissipation (in which there is a wanton element) and that the fiction does not extend to treatment of the sums re-attributed to a spouse as cash which he can deploy in meeting his needs, for example in the purchase of accommodation ...'*

42. The husband had argued (and the judge at first instance had accepted) that his gambling addiction was an illness, and he should not be held culpable for that. As in L v L Wilson J disagreed and held that the dissipation was wanton and excessive:

[28] ‘(The Circuit Judge found) “... the simple fact [is] that the husband dissipated, without any explanation that satisfied the district judge, sums of between £100,000 and £175,000 . . . Whatever the mitigation, and irrespective of the district judge's finding that this was all part and parcel of his mental illness at the time, it remains a fact and it seems to me that the district judge was wrong in not reflecting that fact in some way.”... No doubt there are cases in which the mental incapacity of the dissipating spouse is such as to render reattribution unfair; but I agree with the circuit judge that the husband's problems were not of that severity.’

43. In MAP v MFP (Financial Remedies: Add-Back) [2015] EWHC 627 (Fam), [2015] 2 FLR Moor J found that the money spent on drugs and prostitutes was not excessive or out of character for a husband whose lifelong habits of erratic and risky behaviour had made the family's fortune. That case must be viewed on the authorities as an outlier and particularly fact specific.

44. In Norris v Norris [2002] EWHC 2996 (Fam), [2003] 1 FLR 1142 Bennett J found it was appropriate to take account of the husband's high expenditure in excess of his income during the 2 years before the hearing at [77]:

*‘The overspend, i.e. the expenditure over income of £350,000 in a little over two years, at a time when he was about to and then did enter into protracted litigation with the wife, can only be classified as reckless, and particularly at a time later on when the dot.com and the stock market collapsed. A modest overspend in the context of a rich man would be understandable and could not be classified as reckless. But **in the circumstances of this case**, as I have set them out, in my judgment **the scale and extent of the overspend was reckless**. I do not think it appropriate to add back the entire overspend, but I do not consider it unfair to add back into the husband's assets the figure of £250,000. In my judgment there is no answer that the husband can sensibly give to the question, “Why should the wife be disadvantaged in the split of the assets by the husband's reckless expenditure?” A spouse can, of course, spend his or her money as he or she chooses, but it is only fair to add back into that spouse's assets the amount*

by which he or she recklessly depletes the assets and thus potentially disadvantages the other spouse within ancillary relief proceedings.'

45. Reckless dissipation does not require mal-intent and may even arise from behaviour outside of one's control. The impact on the finances is the significant factor which in the circumstances must be wanton or reckless.

Litigation conduct

46. The Court of Appeal in TT v CDS [2020] EWCA Civ 1215 re-stated the principle:
[65] The general approach is that litigation conduct within the financial remedy proceedings will be reflected, if appropriate, in a costs order. However, there are cases in which the court has determined that one party's litigation conduct has been such that it should be taken into account when the court is determining its award.

47. The Court of Appeal reviewed the authorities and approved an approach whereby litigation misconduct could be reflected in the distribution of assets **and** a costs order.

[78] The depletion of matrimonial assets through litigation misconduct will plainly not always be remedied by an order for costs. As I have said, such an order simply reallocates the remaining assets between the parties and does not necessarily remedy the effect of there being less wealth to be distributed between the parties. What is important is that, whether by taking the effect of the conduct into account when determining the distribution of the parties' financial resources (both income and capital) and/or by making an order for costs, the outcome which is achieved is a fair outcome which properly reflects all the relevant circumstances and gives first consideration to the welfare of any minor children.

Adverse inferences

48. W invites the court to draw adverse inferences; over £2.7million has been expended from the parties' financial resources to infer undisclosed assets worth £141m.
49. The law is clear as to the evidential burden where allegations of non-disclosure are made. There must be a sound evidential basis for such allegations:

Moher v Moher [2019] EWCA Civ 1482.

*“[7]. There must surely be a **sound evidential basis** for reaching a conclusion as to the scale of undisclosed assets. The Court should not be led into a knee-jerk reaction that says simply because evasiveness and opacity is demonstrated there is some vast sum salted away.”.*

50. The duty lies with the claimant to discharge that evidential basis:

AF v SF [2019] EWHC 1224 (Fam) Moor J [63]:

“It remains for the applicant to prove his or her case.”

51. The court can look for direct evidence of an undisclosed asset, attempts to evade proper disclosure or draw inferences:

Crowther v Crowther and Others [2021] EWFC Peel J [58]:

“Usually, in my view, the evidential platform for a finding of non-disclosure is established by one or more of the following:

- (i) Direct evidence of an asset which the alleged non-discloser has not revealed (the classic example being the revelation of the existence of a bank account or accounts which feature nowhere in his/her financial presentation and holding large sums of money).*
- (ii) Failure to comply with court orders and/or provide adequate or complete responses to questions asked, from which failure the court feels able to draw inferences adverse to the alleged non-discloser.*
- (iii) Evidence of a lifestyle which is wholly inconsistent with disclosed financial resources.*

52. W’s case comes nowhere near establishing any adverse inferences should be drawn.

H’s conduct claims

53. H’s claims have been summarised below, with specific sums claimed where possible. Some of the conduct does not have a direct “cost”. These claims are not possible to “quantify” at the computation stage. H asks the court to take that conduct into account when considering the overall distribution exercise.

<u>H's litigation conduct arguments / Add back claims</u>	
US costs order (Bank of Jackson Hole)	£104,800
US continuing litigation	
Threats of further litigation / referral to IRS	
Breach of confidentiality and involving third parties	
Balancing of legal fees (difference on Forms H)	£887,066
Costs - Imerman documents	£25,000
Costs - ex parte application 06.09.23	£30,000
Existing costs orders	£17,410
Detach interest and fees	£168,806
Breaches of English court orders	
EDF	£24,987
Hill Villa liabilities	£12,336
Outpost liabilities (WY)	£23,835
Adjustment in MPS	£22,500
Loss of rental income (50% share)	£60,000
Loss on crypto currency (\$5.9m)	

US Litigation

54. The case brought by W against the Bank of Jackson Hole (“BOJH”) and H can be found at [2176]. W’s case is replete with inaccurate and exaggerated statements, and on occasions, blatantly false assertions, [2183]. W has inappropriately produced to that court incomplete and confidential material disclosed within these proceedings. W has lost her litigation against the Bank and was ordered to pay their wasted cost of \$113,000. As W remains in breach of this court’s order to open an account for the property holding company, the BOJH were able to deduct their costs award from the parties’ personal account.

55. It was obviously a nonsense to bring the proceedings against the BOJH. H's actions had preserved equity on the marital balance sheet and not dissipated it (as found to be the case by the US court). The funds are there for this court to apply as this court sees fit. The foray into civil litigation in the US was vexatious and reckless. W was simultaneously arguing in this jurisdiction that there were insufficient funds to meet her litigation costs here while bringing proceedings in another jurisdiction over the same subject matter. What rational person would do this?
56. W maintains the claims that have been dismissed against the BOJH should still be prosecuted against H. She is seeking, inter alia, damages from him of \$6.2m, [3017]. As W refused to even pause those proceedings H was forced to apply for an Hemain injunction. When the matter got to court on 1 November 2023, the case was so overwhelmed with W's ongoing breaches of court directions, which had already resulted in three aborted final hearings, that H agreed not to pursue the application. He hoped that W would see sense. She did not. She continues to instruct lawyers in both Jackson Hole and New York, [3089] to attempt to serve H and most recently via the Hague Convention in Lisbon, [3146]. Some efforts to serve have already been quashed for procedural irregularities, [3143]. W justifies the exercise on the basis that *her* lawyers are operating on a conditional fee arrangement. This response fails to recognise the overwhelming waste of resources and energy on a subject already well within the grasp of the English courts. There is very little connecting this case to England. W pressed very hard to get the proceedings heard in England, [2072] and in the English High Court. It is ironic that having got her way, W still wishes to hedge her bets and pursue litigation simultaneously in whichever jurisdiction will give her court time. This is vexatious litigation.
57. Even in the US litigation W's claims were found not to meet the "*minimum pleading standard*", were contrary to the evidence she filed, [2204] and she was admonished for filing privileged communications, [2203]. W's conduct in the US resulted in a costs award against her "*with prejudice*". Her conduct is reckless. H asks the court to notionally add back the £104,800 (\$113,000) wasted by that conduct.
58. In her "Conduct pleading" W threatens to report H to the IRS for "fraud and false returns", [3274]. The upshot of these serious allegations is that H has misfiled the

parties' joint IRS tax returns (which were approved by W at the time of being filed) to show him as the "Partnership Representative" in respect of the LLC which holds 3093 Arrowhead. H and W are 50% owners of that LLC. The LLC has no relevance for tax purposes and exists only to protect the parties from liability arising from claims which might be brought by a tenant. On those IRS forms H has repeated a historic filing that listed him as resident in the US. He is not. His personal US tax returns make that clear. He is registered as non-resident for tax purposes and gave up his Green Card in 2004. There is no material consequence arising from this error. W has however become obsessed with the "misrepresentation" and seeks to report H for the "fraud". This is yet another instance of W creating issues to prejudice H, casing mayhem and chaos wherever she can, for no financial or moral benefit whatsoever.

59. W's assertions that H is engaged in "*money laundering of illicit proceeds from prostitution services*" are again serious and baseless allegations. If there is any evidence to support such slanderous accusations, W is yet to share it. The arguments are difficult to follow and impossible to defend.

60. The US litigation is ongoing, and W appears committed to extending the remit of her incessant enquiries now to the US IRS. It is impossible to estimate what such action will cost in financial terms; for representation and professional advice, or in emotional terms; in anxiety and wasted energy. W should be restrained from this ongoing abusive conduct. When these proceedings conclude, the related litigation and complaints in all jurisdictions should cease. If W continues to exert energy and waste limited capital pursuing grievances dealt with by this court, she should bear financial responsibility for **both** parties' costs. H seeks a contingent lump sum to be secured against W's retained property to indemnify him from such related expense.

Balancing legal fees on financial remedy proceedings

61. As at the PTR W has spent £887,066 more than H in legal fees associated only with the financial remedy proceedings. H believes his expenditure of just over £1m is disproportionate to the assets. Whether W should bear responsibility for part of *that* expenditure is an argument to be had at the end of the trial; but the **disproportionate** spending on legal fees must be factored in at the computation stage. As the respondent and the party holding most investments, the burden to evidence H's finances going back

to 2019 has been an onerous one. By contrast, W's exercise should have been relatively straight forward. The haemorrhaging of capital by her on preparation for this trial is both wanton and reckless and must be factored into the computation exercise.

62. In YC v ZC [2022] EWFC 137 HHJ Hess added back a notional amount onto the wife's assets to reflect her overspend on legal fees. Her costs had been £463,331 compared to the husband's costs of £159,044. Having analysed the authorities on disproportionate costs spending (see [42]), the judge which included [42(vii)] that:

(a) Where one party has incurred legal costs at a sensible and moderate level and the other has incurred legal costs at a grossly disproportionate level, the simple inclusion of both debts in the court's asset schedule (whether already paid or yet to be paid) is likely to be unfair to the sensible and moderate spender, as the distribution exercise (whether on needs or on sharing principles), although not expressed in those terms, can in reality amount to something very similar to an inter partes costs order, apparently breaching the spirit of the no order for costs starting point under FPR 2010, Rule 28.3(5). ...

(c) In obvious cases, and absent any proper explanation for the differential in spending, the court can deal with any unfairness arising from the differential in legal costs spending by making an adjustment in the court's asset schedule before distribution, for example by excluding a portion of the over-spender's unpaid costs and/or adding back a portion of the over-spender's costs already paid, thus appropriately penalising the over-spender without actually making an inter partes order for costs.

Breaches of English court orders

63. W has not only *spent* recklessly on her legal fees, but she has also failed to spend the funds as directed by the court. A table is appended to this Note identifying the number of times W has breached court orders. W is in breach of at least 50 specific orders. Even when she has complied with directions she has routinely done so late. She has ignored the direction for pleadings (filing a long and rambling statement instead) and repeatedly filed documents which are in complete defiance of the Financial Remedy Efficient Conduct Statement. She has filed expert evidence without permission, (and without disclosing instructions or related correspondence); she has disclosed confidential paperwork which has arisen in these proceedings to third parties, [1645] and other courts outside of the proceedings, [2203]. She has misrepresented facts to third parties,

[4336, 1825, 2183, 2185, 2186]. She has threatened non-parties with subpoenas, [1371] court action, [1643] and reporting to regulatory bodies, [1367, 1369]. This has made every step in the proceedings tortuous. It has resulted, inter alia, in the proceedings being derailed so that three separate final hearing listings have had to be vacated.

64. Now, on the eve of the trial, W is still to file her s.25 statement, a meaningful open proposal and seemingly wishes to apply to adduce fresh expert evidence and seek further disclosure. Despite spending over £168,000 on accountancy advice, W has yet to respond to H's tax advice (as ordered) on the tax ramifications of her preferred division or H's proposals. She has had H's tax advice since 22 June 2021. Similarly, W has had H's pension advice since 22 February 2022. She has still failed to respond to that advice, despite numerous orders for her to do. W's litigation conduct has been, not just reckless, but obscene. Her overspend must be reflected on the balance sheet **and** at the end of the hearing when the costs will be reviewed generally. At the computation stage, H seeks the disproportionate costs to be added back.

Costs of the without notice freezing order

65. W applied for a freezing order over a life policy which she knew to be the only resource available to meet her LSPO and MPS award. She did so without notice, when H had advertised his intention to access the funds many weeks before. H and the court were taken by surprise. The court erred on the side of caution and granted the freezing order. On the return date the reversal was inevitable. There was no need for the application to be made without notice and entirely senseless for W to resist unfreezing the policy to meet **her own** expenses. H seeks the costs of those proceedings to be added back.

Costs of the Imerman data

66. W stole H's personal information by hacking into his phones and computers in 2020. She bragged about her conduct to friends, [1397]. She held onto the data from at least September 2020 until April 2021, after H had filed his Form E and days before she was due to file her questionnaire. She held back from revealing the extent of her cache until the very last possible moment. She returned in April some 1,700 pages of hard copy documents, each carefully categorised and filed, revealing the extent to which she had examined the documents. This required H's solicitors to go through each document

(including hundreds of pages of confidential information belonging to H's former girlfriend whom W accuses of prostitution and trafficking), [2230]. W's conduct was legally and morally wrong. It was conduct that is inequitable to ignore. H seeks £25,000 of costs associated with the unnecessary associated legal expense to be added back onto the balance sheet.

Inter partes costs orders

67. There have been interim costs orders made in H's favour which have yet to be enforced. The costs orders made to date amount to £17,410. H seeks reattribution of this sum to W's share of the assets.

Detach interest and fees

68. W owes litigation lenders, Detach, £887,000. There was no need for W to borrow this sum. H offered to draw from the BOJH savings, funds to cover her legal expenses. W refused this offer because H wished to impose two conditions: firstly, that he too be permitted to draw from the funds to cover his legal fees and secondly, that the fees match, on a pound for pound basis, the lowest bill. This proposal had the benefit of providing precise equality of arms, transparency and impose a reasoned budget on the extent to which the parties could spend on their lawyers. W rejected both conditions out of hand. She did not want H to have any transparency over *what* she spent and no restriction at all on how *much* she spent.
69. W elected to pay the high interest rates of the litigation lender. That must be a cost which she alone bears. H seeks a notional add back of £168,806 to reflect the interest and fees charged on that loan.

Unpaid bills in Cheltenham and Wyoming properties

70. Appearing to have absolutely no regard for any need to preserve family capital, W has run up debts both in England and Wyoming, expecting the family as a whole to absorb the loss. W has run up energy bills in Cheltenham to the tune of £25,000. This is at a time when H was voluntarily paying her £2,000 per week to maintain the home, (in addition to the rent) and thereafter, under the MPS order, at £2,714 per week. It is hard to imagine how W could not manage to meet her basic utilities with these funds. When

she vacated the home in Cheltenham in July 2023, she left the property in such a state that the landlord retained the deposit in full and has charged the family costs to repair and clean the home. That is a further £12,336⁹.

71. W returned to live in the US in July 2023 (contrary to her clear submissions to this court) and moved into one of the family rental properties. That had been providing an income after expenses of £120,000. H had repeatedly asked W to rent a smaller and more affordable property if she were to relocate to the States. In previous years this is exactly what W and the children had done, to maximise the income from the property. W ignored H's requests and moved in, occupying a property that was designed to sleep 12, with her and the children. Jade Mia was settled into her new campus by August and Lila Mae was back boarding in England by September. W has occupied the property alone since then. Without any rental income, there has been insufficient funds in the rental account to meet the basic maintenance costs of the letting agent. The family now owe almost £24,000 to Outpost (the agents). They have additionally lost \$80,000 in rental income (about \$10,000 pm for the duration of W's occupation from July 2023). H asks the court to add back both the debt to Outpost and 50% of the lost rental income to W's asset schedule. In the circumstances of this case, where there is limited liquidity, neither party is working, both are dependent on rental income, where costs have spiralled out of all control and where the parties' children are boarding, this wasteful expense by W is both wanton and reckless.

W's claims

72. As referred to above, H is not able to rationally respond to W's claims as outlined in her conduct statement. They are not properly pleaded, supported by any evidence or even comprehensible. Despite these fundamental omissions, H will draw together the points he has repeatedly made in his statements, his supporting evidence and his responses to the detailed research carried out by the SJE crypto currency expert.

Topanga Canyon Holdings Ltd.

⁹ The bills have not made their way into the bundle but have been exchanged with W's solicitors and are available if needed.

73. In 2015 H acquired a \$75,000 investment in Topanga Canyon Holdings LLC (“Topanga”), a vehicle for holding Coinbase shares. W knew about the investment, and it was discussed between the parties periodically, prior to the divorce proceedings. W denies this now, but the contemporaneous documents prove otherwise, **[1389, 1392, 1394, 1421, 2098]**. Coinbase was listed on 14 April 2021. When Coinbase went public, H’s interest held through Topanga grew overnight to \$7m. Topanga transferred the Coinbase shares directly to H (and all other investors whose shares they held). H immediately contacted his solicitors and informed them so that they could notify W. The information was not disclosed to W until the parties provided their updating disclosure in advance of the PFDR on 16 July 2021, **[886]**. By the date of disclosure in July, the Coinbase shares had fallen, and the investment had dropped back to \$5.28m.
74. The exchange of updating disclosure (and notice of the increased value of the Coinbase investment) was deferred until July, not to conceal the value, but because H and his solicitors were fully engaged in documenting approximately 1,700 pages of Imerman documents that W had returned in April and H attempting to respond to W’s lengthy questionnaire, (an extensive document exhibiting literally thousands of pages (4,700) of supporting evidence). W has used the delay between April and July as evidence of deliberate non-disclosure. Whilst there may be merit in W’s argument that the shares should have been disclosed sooner¹⁰, there was full and frank disclosure in advance of the PFDR. Nothing was hidden. When W feigned ignorance of the existence of the Coinbase investment, H was able to produce contemporaneous emails from 2017 to 2019 recording their conversations about the investment and a further email from W’s brother on the day of the IPO listing congratulating H on the holding, **[910]**. It is inconceivable that W’s brother knew about the windfall and said nothing to W. Where H knew that W had had thousands of pages of his personal and financial data for over a year, it is also incomprehensible that he would have attempted to hide ownership of shares which they had discussed in the preceding years. W knew about the investment and has fixated on the late disclosure as evidence of H’s unreliability, where she has been unable to find any other evidence of non-disclosure.

¹⁰ An issue H has raised with his former solicitors **[1338]**

75. It is W's conduct in respect of the crypto holdings that is relevant to any "add back" arguments. In November 2021 the Coinbase shares were at an all-time high. H wrote to W and implored her to agree a sale to capture the peak price of \$342 per share, [2470]. W simply ignored his requests. In July 2022 the shares had fallen to just \$51 per share. H waited until September 2022 when the market had picked up again and decided to cash in the shares and apply the funds to reduce the parties' mortgage debt in Wyoming. He sold at \$74 per share and realised \$1.6m gross. Had W engaged with H's proposal in November 2021 the parties would have made an additional \$5.9m gross. This is highly relevant conduct. Unlike W, H does not take the completely unrealistic position that the lost sum should simply be added back onto the asset schedule. That will not provide a home or an income fund. But this is a significant loss which does need to be factored in in the overall assessment of W's claim and the other conduct arguments rationally explained on H's behalf.

Crypto currency

76. In essence H has been charged with proving that he does not have undisclosed crypto currency or assets. This is a difficult task to achieve (even if it were the relevant burden of proof, which it is not). H has done his best to do this and filed evidence from all platforms with whom W has asserted he has undisclosed assets, [2135+]. H has gone back in an effort to record and trace every transaction he made since 2015. Whilst he cannot be sure to have captured every single transaction, he has given a comprehensive reply to all reasonable queries.

77. None of H's efforts have satisfied W and her shadow expert, Paul Sibenik, formerly of CipherBlade. He was rejected as a possible SJE by HHJ Cope, (his company was based offshore, non-GDPR compliant and therefore a possible security risk, and had recorded links to the Panama Papers). Mr Sibenik's advice to W has been reliant on discredited "Chainanalysis Reactor" software, [2777]. The analysis produced by this software has been severely criticised in the US courts as "*lacking integrity and scientific validity*" [2943] and "*reckless*" [2983]. Since becoming involved in these proceedings, Paul Sibenik has now left CipherBlade. W failed to volunteer either Mr Sibenik's personal changed circumstances or the public criticism of his analysis techniques.

78. The SJE crypto expert has independently identified all transactions carried out by H from 2019 to date. The results are contained in the main report dated 9 February 2023, [3875] and the updated report (after W asked yet more questions) on 14 February 2024. W has asked yet further questions about this last report since 14 February¹¹. H has provided the expert with direct access to his trading platforms and the wallets and keys associated with each. H has met with the expert twice (14 June 2022 & 31 January 2024). H has worked with the expert online to open and examine each and every transaction that the expert sought to enquire about. He has also offered to access the accounts in the presence of W and her expert in real time to allow them to verify his responses. [2135]

Xapo

79. The process of examining every transaction for the past 5 years has had a positive impact on the proceedings. In contacting all historic currency platforms, H uncovered 16 Bitcoins held in an old account with Xapo. He wrote to Xapo on 10 March 2023 and enquired whether he still held an account with them, as he had lost all his credentials, passwords, and access, [2280]. Xapo explained that H's "*account was closed back in October 2020 due to inactivity and lack of balance*" [2279], but an hour later contacted him to explain that his "*funds are safe*" and that they would love to reactivate his account. It transpired that the platform held old bitcoins worth £320,000. H had not transacted on the account since 2017, [2287] and after that time the platform has migrated to a bank in Gibraltar. H cashed in the coins and applied the proceeds to reduce the Wyoming mortgage. This account was lost but not hidden. The distinction is material.

Gemini

80. W alighted on a bitcoin wallet called "Gemini" which H gave to his sister, Leila, in 2018 for a wedding present. W and the children were present at the wedding in Tunisia. The wallet held 5 Btc worth then, about \$27,500 which would allow Leila to access and trade as she wished. Leila was not so inclined and did not touch the wallet or manage to get the wallet transferred into her own name. In March 2022 H had to assist Leila in registering her name on the wallet as she had been unable to access it directly, [2789].

¹¹ W has been emailing the SJE directly (ignoring her own instructing solicitors) and not copying in H or his advisers, despite the expert repeatedly asking her to desist.

H explained this transaction in full to the SJE, [2238] and was able to get the historic contemporaneous records showing the attempts to register Leila as the operator [2730]. W has argued that this was just camouflage, to shield H's true ownership. H was then able to provide the Gemini statements from 2021 which showed the account as being held in Lela's name and no transactions upon it, [2241]. The Gemini wallet belongs to H's sister and is not an undisclosed asset.

SJE – Solaris Report

81. The SJE confirms that H has provided as much information as possible, [3879] and that there are no hidden wallets. In fact, after W asked more questions of the expert H has provided yet further discovery to address the queries and the SJE is yet to respond. It is anticipated that he will do so in oral evidence.
82. In summary, it appears that the SJE is satisfied about every transaction carried out by H, since 1 January 2019. He records that he has not considered pre-2019 data and so there could be additional transactions which have not been considered prior to that date. As H has been trading in crypto currency since 2014 – that is obviously an accurate statement of fact. Unsurprisingly, H will say it is not appropriate, proportionate, or necessary to search for transactions that took place more than 5 years ago. Examination of the transactions over the past 5 years has not produced a single “smoking gun”. It remains W's case that despite the SJE's conclusions, H has hidden (presumably from the expert as well as this court) crypto assets worth £108m. The basis of her assertions is simply not understood.

Summary

83. W has made wild allegations devoid of any substance. Her case invites this court “to engage in pure speculation” and does so ignoring the volumes of disclosure provided by H. Her case should be roundly rejected:
- a. There is no direct evidence of an asset which the husband has not revealed.
 - b. W allegations are incoherent and baseless.
 - c. This is not an uncommunicative husband and there has been a vast volume of disclosure.

- d. There is no evidence of a lifestyle which is wholly inconsistent with the disclosed financial resources.
84. The court is asked to make an order in the terms of H's open offer, [4037]. The net effect is appended to his ES2 (with minor adjustments). In summary:
- a. W to retain two NY apartments free of mortgage;
 - b. W to retain 3093 Arrowhead (with the lowest carried CGT and mortgage free);
 - c. H to retain 3100 Arrowhead, (with the highest CGT burden and 100% of the mortgage debt)
 - d. W's US property be subject to a reverse contingent lump sum charge to meet any future costs associated with the BOJH or other issues arising from or related to the parties' marriage, divorce and these proceedings;
 - e. H's investments to be divided equally in specie;
 - f. Otherwise, the parties to retain their own savings and liabilities;
 - g. Remaining crypto currencies to be shared in specie;
 - h. The parties to draw £345,750 from H's pension funds to meet the tax due on the sale of the Coinbase shares;
 - i. The parties to draw £700,000 from the pension funds to meet the children's tertiary education costs;
 - j. The remaining pension funds to be shared equally, with W to receive a pension share from the pension held in Malta;
 - k. The wasted fund dissipated by W as a result of her conduct in the sum of £1,376,740 be added to her share of the assets;
 - l. W to pay H a lump sum (which shall be paid from the pension funds) £821,779 to give parity of other assets.
 - m. The non-matrimonial (inherited) properties and businesses to be excluded; and
 - n. There shall be a full clean break between the parties (in life and death).
85. From this arrangement, W will have access to property which she can retain and let (to provide her with additional income) and she can choose to rent accommodation for herself as the parties have done since 2016. Alternatively, W can sell assets and buy a property outright for £2m. She can use the balance of her investments, proceeds of sale and pension funds to invest in a Duxbury fund to meet her income needs for the rest of her life at £150,00 net pa. If she wishes to augment that income fund with earned income, she can do so and enjoy a higher standard of living. But if she chooses not to

work, she will have more than sufficient income to meet her needs in any jurisdiction. H will do likewise.

86. That this case has not settled in the past four years is a travesty. The loss to the family is disproportionate and completely unnecessary. It has been caused because of W's folly. She has failed to properly engage in the process in any meaningful way, choosing to litigate and challenge at every corner. She has had some of the best representation in the country, huge funds to pay her advisers, and squandered every opportunity to find a sensible resolution. This sorry state of affairs has caused H no end of distress and he is extremely keen for the court to finally assess the parties' respective cases and impose upon them, at last, a fair solution.

Alexis Campbell KC

Sassa-Ann Amaouche

19 February 2024

H's CHRONOLOGY (15 February 2024)

Date	Narrative
10 July 1965	H born (now aged 58)
27 April 1969	W born (now aged 54)
Summer 1994	Parties meet in New York whilst W working for Citibank Casablanca and H for Goldman Sachs, ("GS") in NY
24 July 1995	Parties marry in New York
November 1996	H acquires 1 st Apartment in NY 155 Franklin St (2S) in joint names
5 December 1996	Further marriage ceremony in New York
September 1997	W becomes a French citizen having been married to H for 2 years
January 1998	GS relocates H to London – W stays in NY to pursue her MBA at Columbia
February 1998	GS sponsors H for a green card under the extraordinary alien program
December 1998	GS makes H redundant in London and H moves back in NY
May 1999	W graduates from Columbia Business School
June 1999	H moves to role at Deutsche Bank (Head of Emerging Markets Structuring) in New York in June.
Sep 1999	W commences work for Lehman Brothers
February 2004	W unilaterally resigns and hands in resignation to Lehman Brothers
May 2004	W's gardening leave from Lehman Brothers completed.
9 May 2004	H resigns from Deutsche Bank NY and accepts a job at Barclays NY.
9 August 2004	H starts in new role at Barclays in NY
December 2004	H relocates to London with Barclays Capital and relinquishes his green card on 31 Dec 2004 – W stays in NY to convert her green card and be sworn in as a US citizen in April 2005
14 May 2005	Jade Mia Zahmoul born in New York (now aged 18)

July 2005	W and Jade Mia move to London to join H
31 May 2007	Lila Mae Zahmoul born (now aged 16)
May 2006 to 2008	W uses £100,000 of matrimonial assets to start a baby clothing store in London.
4 February 2010	H brings mother to UK from Tunisia in medical plane.
9 February 2010	H's mother passes away from cancer in London under the care of Prof. Stebbing.
May 2010	W starts relationship with Prof. Stebbing
June 2010	W persuades H to invest in investment research with Prof. Stebbing and launch event with him.
May 2012	Last intimate relationship between parties
April 2013	W starts a 6 week rehab in Cottonwood Arizona where H joins her for family week around W's birthday. W is diagnosed with PTSD and borderline personality disorder.
May 2013	W returns to London and relapses into drugs and alcohol and resumes her relationship with Prof Stebbing
18 July 2013	W terminates pregnancy in London.
March 2014	<i>Per H</i> Date of separation (Form E) W instructs Sears Tooth to issue divorce proceedings
April 2014	W decides to stop her addiction while at the Mamounia in Marrakech Morocco
July 2014	H leaves Barclays Capital and banking altogether
August 2014	Family travels to US and Hawaii and H organizes wedding vows renewal. Per H this is arranged for the benefit of parties' daughters.
October 2014	H takes up role at Temporis Capital in charge if international business development focused on Renewable Energy project development.
December 2014	H buys first cryptocurrency: Paycoin. Scheme is a scam and H loses more than \$100,000 within 3 months.
2015	H invests \$75,000 in Topanga Canyon Holdings LLC (a vehicle for holding Coinbase shares)
2015	Mike Deeg gifts H two S9 Antminers
22 August 2016	W moves to Cheltenham (rented accommodation) 6,000 sqf @ £5,500 pcm so that Jade Mia can attend Cheltenham Ladies College on a day pupil basis

September 2016	H moves into 2 bedroom Flat 10, Fordham Court, London for £3,950 pcm
October 2016	Parties sell 7B, 124 Hudson Street and initiate 1031 exchange to defer CGT – parties have 45 days to identify like kind properties and 183 days to close on the said properties else the 1031 exchange fails and CGT due. As H is not a US citizen 15% of his share proceeds value of the sale is withheld by IRS and subsequently refunded by the IRS upon tax filings within 30 days.
Dec 2016	Parties identify 2 properties in WY and the apartment in NY as part of the 1031 exchange.
April 2017	H leaves Temporis Capital
15 February 2017	H on behalf of parties close on <u>3100 West Arrowhead Road</u> , Wyoming held in their own names initially due to the 1031 exchange criteria (in 2020 the house is registered in single name LLC which in the US is not a tax event via 3100AH-A LLC and 3100AH-B LLC)
4 March 2017	Parties close on the four units at <u>240 Frost Street</u> identified in December as part of the 1031 exchange, Brooklyn with assistance of \$918,832 seller's loan from Sal Gargano in order to meet the timing deadline of the 1031 exchange.
17 May 2017	H provides W with spreadsheet showing his assets (in event of his death) lists Coinbase investment and Ambulnz TRS of \$25k
November 2017	H meets Olivia Molina
1 December 2017	EMVirya Ltd (UK) incorporated (H has 80% shareholding)
2018	H commences relationship with Olivia Molina
2018	H takes position working for Sphere Digital, a NY company and is seconded as CEO of Almaden Morocco (a Solar Panel manufacturer in Morocco) and Green Power Morocco a solar project developer with activities on the African Continent.
March 2018	H provides W with schedule of assets, including listing of Coinbase investment \$75,000 (and further email discussing potential increase in value – which W responds to with smiley emoji (Sep 2018))
April 2018	H moves offshore to work for Sphere Digital mostly in Morocco.
Sep 2018	Parties buy 11 Lansdown Crescent in Cheltenham for £850,000 with deposit of £162,838 and borrowing £637,465.
March 2019	Sphere Digital pays Knight Frank for Miss Molina's Rental in London and deducts it from H's expenses for April.
7 April 2019	Olivia Molina transfers to H 7 + 1 BtC as a repayment for her rent in London.

2 July 2019	H and W correspond with Barclays bank credit officer for a construction loan. H notifies the credit officer that H's assets also include Coinbase shares and VC investment as well as Bitcoins worth \$450,000 to try to obtain the loan. Application is refused by Barclays due to lack of income and inability to support the mortgage, necessitating the parties to sell the 11 Lansdown Crescent.
26 & 27 October 2019	Olivia transfer H 5 + 5 BtC against payment of EUR 85,000 from UBS account.
28 – 31 October 2019	W discovers H's relationship with Mis Molina while H meets the family at the Mamounia in Marrakech by foraging through all his personal belongings.
December 2019	H leaves Almaden Morocco.
23 January 2020	W's divorce petition (Withers) issued but not served
11 Feb 2020	Olivia transfer H 5 BtC and asks him to sell them for her when the price reaches \$12,500 per BtC or \$60,000
April 2020	H's fixed term contract with Sphere Digital LLC comes to an end. H issues proceedings against Sphere in respect of the termination of his employment in Morocco using prominent employment lawyer, Mr El Fekkak (W's father). H has not been employed since 2020
29 April 2020	EMVirya Trading Ltd (UK) incorporated (H has 55% shareholding, but post Chia venture, the interest reduced to 20.6%)
14 May 2020	H finds his old iPhone device under W's mattress that she has accessed and changed the device password.
15 May 2020	W tells H in one of regular rants that "I will crush you like a bug" and hurts her hand bagging the wall.
3 June 2020	H personally served with envelope and advised that he is being served with divorce papers. H leaves the envelope unopened on his desk
6 June 2020	W removes the unopened divorce papers from H's desk
5, 6,& 8 June 2020	H sends a prepares and sends spreadsheet listing the parties' assets to W to commence a dialogue regarding equal division of assets. W does not engage and provides no feedback on the spreadsheet.
Summer 2020	Parties view second property in Wyoming and agree to buy together (per H, at W's request to provide each daughter with a property in USA)
September 2020	Parties complete on the sale of 11 Lansdown Crescent for £950,000 due to inability to obtain a construction loan.
1 September 2020	Bank of Jackson Hole notify parties (each by email) of loan facility \$5.72m and requirement to maintain unencumbered savings of at least \$750,000

September 2020	W informs joint friends, Sal and Evelyn Gargano that she has hacked H's laptop and phone, while staying with them for 4 weeks while recovering from sinus surgery.
16 September 2020	Parties close on 3093 West Arrowhead Road, Wyoming (held via 3093AH LLC) Parties create 3100 AH A LLC and 3100 AH B LLC and drop the 3100 West Arrowhead road property into the LLC. No Tax consequences in US but a potential tax event in UK. Parties accept mortgage offer from Bank of Jackson Hole \$5.72m.
14 October 2020	H's father dies
19 October 2020	H pays rent for apartment in Lisbon for 1 year (€3,250 pm / €39,000) to enable girls to spend time with him.
November 2020	<i>Per W</i> Date of separation (Form E). W sends H a WhatsApp informing him that the marriage was over and she had a copy of the DN
2 November 2020	NourZa Power Sarl (Tunisia) incorporated (H has 51% shareholding)
26 November 2020	Pronouncement of Decree Nisi
2 December 2020	Flushing Bank refinancing in respect of Frost Street units agreed in principle (loan facility of \$950,000 at 3% interest rate)
21 December 2020	W's Form A issued
30 December 2020	Notice of FDA
21 January 2021	H served with W's Petition and Form A (and is the first time H becomes aware of contents of W's divorce petition)
28 January 2021	Withers offers H ultimatum to agree to English jurisdiction and W would postpone the FDA by a year.
12 February 2021	H instructs Stewarts Law.
20 February 2021	H starts working on Form E with Andrew Gammon his UK CPA
26 February 2021	Flushing Bank withdraw offer of a mortgage to replace loan from Sal Gargano
March 2021	H informs W that Flushing Bank has declined the Frost Street loan facility because of the divorce proceedings. Sal Gargano demands repayment of his seller's loan. H informs W he will repay from UBS investment account. The loan is repaid in full.
17 March 2021	Parties exchange Forms E
25 March 2021	W's 1 st D11 (Part 25, disclosure and freezing re Crypto currency)

31 March 2021	H instructs Hughes Fowler Carruthers
6 April 2021	H's 1 st D11 (return of Imerman documents)
7 April 2021	First Directions Appointment HHJ Cope (remote): • Imerman issues dealt with by directions. • No order on W's Part 25 application • W reserves her position re "re-attribution" claims • Parties agree to PFDR • H UT to preserve information on personal devices storing his keys • W UT to return H's devices, hotspots, USB sticks and material/documents from the devices and any post held by her, not to retain any copies and destroy any existing copies • Parties' undertakings "to refrain from taking steps to diminish the balance of the funds held in all the parties' accounts held with the Bank of Jackson Hole with account numbers 584797 and 602458 as well as the accounts held with the Bank of Jackson Hole by the parties' companies, 3100AH-A LLC; 3100AH-B LLC and 3093AH LLC <i>without the other party's consent in writing save for the purposes of:</i> A. <i>Meeting mortgage payments in respect of the mortgage secured over 3093 and 3100 West Arrowhead Road; and</i> B. <i>Meeting necessary costs referable to the maintenance, upkeep and administration of those properties.</i> • H to send W by 14/4/21 summary of all pension assets and documentary evidence of where funds are held • H to send W by 10/5/21 itemised transaction statements for all trading platforms on which he has traded since 1/1/19 for all crypto-currencies • Parties' replies by 10/5/21 • Schedule of deficiencies by 1/6/21 • Replies to deficiencies by 21/6/21 • SJE to value property in default of agreement, to be instructed by 27/4/21 and report by 17/5/21 • H to send W tax calculations by 28/5/21 • W to send her tax calculations (if H's are not agreed) by 4 weeks prior to FDR • W's application for experts dismissed and W required to deliver lap top to be held in escrow • Housing particulars and updating disclosure 6 weeks prior to FDR • WP proposals 4 weeks prior to FDR • Directions to be listed on 3/8/21 (post FDR) • W ordered to pay contribution to H's costs (£2,750)
9 April 2021	H informs his solicitor, Caroline Park, of likely direct listing of Coinbase Inc disclosed as Topanga Canyon in Form E and estimated quantum increase in value.

April 2021	In days after FDA W transfers sums from Barclays acc *281 and high expenditure on Amex
11 April 2021	H sends Caroline Park the 2020 K1 of Topanga Canyon
12 April 2021	W discloses over 1700 pages of Imerman documents
14 April 2021	Coinbase subject to Direct Listing (H's shares in Topanga held shares in Coinbase) increase in value from \$75,000 to \$5m)
20 April 2021	Parties commence mediation with Bill Hewlett
27 May 2021	W's Replies to H's Questionnaire
8 June 2021	Parties due to provide updating disclosure for PFDR
22 June 2021	H's note of his tax position (AG Tax)
24 June 2021	H's Replies to W's Questionnaire and Imerman Questionnaire of over 4,000 pages.
4 July 2021	H's team chasing W to exchange updated financial disclosure – W delays process till 16th
16 July 2021	Parties updating disclosure for PFDR - H discloses that Topanga shares now held as Coinbase shares increased under IPO from \$75,000 to \$5.28m
20 July 2021	W fails to file her tax calculations 4 weeks in advance of PFDR or schedule of deficiencies
20 July 2021	Private Financial Dispute Resolution before Christopher Pocock KC
11 August 2021	BOJH email parties giving notice that <i>“a significant portion (undetermined at this time) of [\$750,000 deposit] be converted to a hard collateral assignment in any restructured loan request by [H or W]”</i>
12 August 2021	W's 1 st LSPO application (statement from solicitor, Diane Parker)
16 August 2021	W's 2 nd D11 (part 25 re tax)
19 August 2021	Further Directions Hearing at Bristol Family Court before HHJ Cope (remote): • W's LSPO application dismissed. • W's Part 25 application (tax expert) dismissed. • H by 9/9/21 to provide narrative account of underlying assets in private equity investments • Parties respective tax experts to reach agreement on tax. H to provide table of agreements and issues by 23/9/21, W to respond by 14/10/21 and respective advisers to liaise to try and reach

	agreement • H by 9/9/21 to provide W with all documentation relating to IPO of Coinbase between 22/2/21 and 14/4/21 • W by 9/9/21 to provide H with copies of her Barclays statements • Directions on 7/12/21 • W to pay H's costs of D11 & LSPO applications
9 September 2021	H provides W with copies of communications relating to Coinbase IPO and his comments on underlying assets in his private equity interests
September 2021	Decision to use EMVira Trading Ltd (UK) to hold Chia investment c.\$400,000 with 6 investors.
29 September 2021	H's offer to fund W's legal fees on a pound for pound basis, which is refused by W.
4 October 2021	Letter from Evelyn and Sal Gargano referring to their knowledge of H's Coinbase shares.
7 October 2021	W obtains Detach litigation funding in the sum of £280,500
4 November 2021	H's email to W giving notice of extraordinary rise in Coinbase and Bitcoin value has increased shareholding to c.\$10m proposing a sale. W fails to respond.
22 November 2021	W's 3 rd D11 (Second Questionnaire and Part 25 re H's private equity interest)
3 December 2021	Further Directions hearing due to take place on 7 December 2021 vacated and directions agreed, including: • H agrees to respond to further questionnaire by 11/2/22 • W's Part 25 application adjourned generally with liberty to restore. • Further directions on 4/3/22
5 December 2021	Parties commence discussions with Nick Warr from Taylor Wessing acting as Tax Advisor to W
13 January 2022	Olivia demands the repayment of \$60,000. H responds that the loan will be repaid if she secures W's consent. Olivia corresponds with W.
15 January 2022	H and Nick Warr agree on the tax treatment of most assets W does not give instructions on Nick Warr's suggestions. W pursues alleged non-disclosure (re US assets). Nick Warr informs H that W is pursuing further disclosure in the United States.
17 January 2022	Olivia shares with H communication with W and H repays Olivia 1.4 BtC (c.\$60,000) for the 5 BtC she sent him in 2020.
February 2022	H's open proposal to divide all assets equally <i>in specie</i>
3 February 2022	H notifies W of intention to transfer pension (Barclays) to Malta to enable English pension sharing order to be implemented

22 February 2022	Adsen Moore advice to H re pension recommendations:
11 February 2022	H's 2 nd Replies to W's Second Questionnaire
18 February 2022	W's 4 th D11 (Part 25 expert re crypto-currencies, data disclosure re crypto-currencies, transfer to HC & freezer re private equity interests)
25 February 2022	W's statement in support of Part 25 application for crypto currency expert
2 March 2022	W's solicitors send to H's solicitors a digital copy of a spreadsheet that H sent to W in May 2017 to prove that H had not disclosed an investment in Ambulanz. The line above Ambulanz in the spreadsheet is the \$75k in Coinbase series FF which again shows that H had told W about the Coinbase investment.
4 March 2022	Further Directions Hearing at Bristol Family Court before HHJ Cope (remote) – draft order (<u>not made and subsequently finalised on 16 May 2022</u>): • Part 25 re private equities not pursued as can be divided in specie • Parties agree to specific disclosure for tax advice • Parties ordered to instruct CipherBlade to report on crypto-currencies by 17/5/22 • H to file statement in reply to W's statement of 25/2/22 by 17/5/22 to include a narrative account of H's involvement in private equity investments • W's application for adjournment of trial and transfer to HC to be considered on 31/5/22 • PTR on 31 May 2022 • Final hearing listed for 5 days w/c 11/7/22
21 April 2022	Rocky Mountain Appraisals provide 2 nd single joint expert report valuing 3093 W Arrowhead Road at \$7,390,000 and 3100 Arrowhead at \$7,420,000.
1 April 2022	H files opinion of Adsen Moore Financial Consulting Europe in respect of his pensions, including availability of pension sharing if Jersey pension is moved to Malta
May 2022	H consults with Harbottle & Lewis
May 2022	H notifies W that he may have to move crypto currency held with Coinbase as many press articles indicate that Coinbase is threatened with bankruptcy. • W threatens s.37 application • H agrees to give 48 hours' notice of any intention to transfer the crypto-currency
12 May 2022	W's 5 th D11 Application, for adjournment of the Pre-Trial Review and Final Hearing

16 May 2022	Further Directions Hearing at Bristol Family Court before HHJ Cope (remote): • Permission to instruct Marlon Pinto, Another Day, to report on crypto currencies • H to file statement in reply to W's statement of 25/2/22 by 17/5/22 to include a narrative account of H's involvement in private equity investments • Other applications (including W's application to vacate final hearing) to be considered at PTR on 31 May 2022
17 May 2022	H receives email from Coinbase Civil Team notifying him that his account has been frozen because of correspondence with W's solicitors.
17 May 2022	H's first statement
20 May 2022	Letter of instruction sent to Another Day (SJE re crypto assets)
27 May 2022	H's 2 nd D11 Application (disclosure of family health insurance policy info, disclosure in respect of freezing order over H's Coinbase account, permission to disclose info to SJE (crypto-currency), and list for final hearing).
31 May 2022	Pre-Trial Review/Further Directions Hearing at Bristol Family Court before HHJ Cope (remote): • By agreement final hearing adjourned to allow SJE to report on crypto currency (SJE indicating he can file a report by 1 July 2022) • W's solicitors to provide by 1/6/22 H with copies of all communications with Coinbase • W's solicitors to provide by 8/6/22 H with documents relating to health insurance policy docs required by H • Parties to try to agree tax issues by 21/6/22 • Any part 25 evidence re tax to be issued by 29/6/22 • W to indicate whether she agrees Rocky Mountain valuations by 14/6/22 • Final hearing on 11/7/22 vacated and re-listed (6 days) on 14/11/22 • PTR on 13/7/22 • Parties agree to attend RTM on 12/7/22 • Parties agree to provide updating disclosure by 28/6/22 • Parties agree to exchange offers by 8/7/22 • W's application for adjournment of trial and transfer to HC adjourned to PTR on 13/7/22 • W to file Form H and future forms H to be sent at least 1 day in advance of directions and 14 days before final hearing • H to provide by 7/6/22 further evidence to SJE (crypto) and parties to attend a meeting with SJE, W's shadow crypto expert and lawyers in such format as the SJE may request and provide

	any further info sought by the SJE
6 June 2022	HFC informs Withers and W that H has been appointed as an independent director to Oxus Acquisition Corporation (Nasdaq Publicly Listed Company under ticker OXUS). H explains he will not receive income from the role but he may receive shares in the company subject to performance. W alleges non-disclosure with respect to this new position.
7 June 2022	W solicitors notify H that they will not meet with SJE, in breach of order of 31/5/22 as require further disclosure from H following disclosure provided under order.
8 June 2022	W fails to file evidence re health policies in breach of order of 31/5/22
10 June 2022	H's 3 rd D11 Application for H and SJE Marlon Pinto of Another Day to attend meeting irrespective of W / W's legal representatives and shadow expert attending and a record of the meeting be provided to W's solicitors, penal notice for W to provide Cigna / health insurance documentation, & neither party to prejudice SJE acting).
13 June 2022	W serves Schedule of Deficiencies in relation to H's disclosure of crypto assets to SJE without prior agreement from HFC.
14 June 2022	Remote conference between W, Withers, W's shadow crypto-expert (Cipher Blade), H, HFC and SJE expert Marlon Pinto of Another Day.
16 June 2022	H's 4 th D11 Application (seeking compliance by W of breaches of order (Cigna and Form H))
17 June 2022	Order of HHJ Wildblood QC in respect of H's D11 Application dated 16 June 2022: • W to comply with order of 31/5/22 (Cigna & Form H) • Penal Notice • Costs reserved
28 June 2022	W fails to file updating disclosure in breach of agreement of 31/5/22
29 June 2022	W fails to file application for SJE re tax per order of 31/5/22
30 June 2022	Another Day Single Joint Expert <u>1st report</u> in relation to crypto assets
1 July 2022	H's response to SJE's questions.
12 July 2022	Another Day Single Joint Expert <u>2nd report</u> in relation to crypto assets (no new assets, clarification on existing assets and further questions from W)
12 July 2022	Mediation between parties at Withers. W dis-instructs her counsel the day before the meeting.
12 July 2022	Withers alleges that Ambulnz is an undisclosed asset worth millions. H produces letter from Mike Deeg confirming that Ambulnz has been listed and doubled in value making his \$100k investment worth \$200k (not

	millions) and that H had not invested in it due to complexity of structuring a Total Return Swap (“TRS”) of Mike Deeg’s position against a TRS on the Blackstone Special opportunity fund that H invested in.
12 July 2022	H’s 3 rd replies to W’s Schedule of Deficiencies (non-crypto)
12 July 2022	W’s 6 th D11 Application in respect of alleged deficiencies in H’s disclosure
12 July 2022	W fails to file Form H in breach of order of 31/5/22
12 July 2022	H’s 5 th D11 (W’s breach of order re Form H & third party costs/ adducing medical evidence, copy documents provided to CipherBlade & updating financial disclosure)
13 July 2022	Pre Trial Review/Further Directions hearing at Bristol Family Court before Her Honour Judge Cope (remote) • W to provide detailed Form H by 20/7/22 • W to provide updating disclosure by 20/7/22 • W to provide an explanation as to how she obtained a digital copy of H’s asset spreadsheet by 20/7/22 • W to send H her open proposals by 27/7/22 • H to provide by 20/7/22 details of any tax paid on cryptocurrency and all tax returns in US or UK since 1/1/19, and clarity on why his IRS returns say he has never held a green card or been resident in US. • H agrees to provide by 22/7/22 further disclosure re dealings with Mike Deeg (including crypto, Ambulanz and GoDoc) • No order on Imerman disclosure as no D11 application issued • Parties to agree tax issues (H & W’s shadow adviser Nick Warr) by 10/8/22 • In default of agreement on tax, W to identify 3 possible tax SJE’s by 24/8/22 & H to select 1 • Final hearing on 14/11/22 vacated • Transfer to HC approved • List for PTR 1 day after 1/9/22 • List for final hearing 7 days – per direction of Peel J
16 July 2022	W provides her financial disclosure but fails to disclose her 3 rd party costs despite repeated requests to do so. W fails to provide her US and UK tax returns
27 July 2022	H sends comprehensive schedule of tax issues to Nick Warr
25 July 2022	W’s updating disclosure (deficient).
1 August 2022	Self-certification-allocation to High Court level lodged at Court
August 2022	H instructs Winkworth Sherwood

10 August 2022	Parties due to agree schedule of tax issues
17 August 2022	W's open proposal (seeking retention of both Wyoming properties, half of NY properties, half of private equity investments, half of any crypto assets plus a capital sum (TBC) to meet children education and maintenance)
24 August 2022	W due to file 3 names as potential tax experts if no agreement about tax
15 September 2022	Bank of Jackson Hole letter stating the parties' <i>"financial condition, which was relied upon as a basis for the approval of the existing loan guarantee with Bank of Jackson Hole, has materially deteriorated"</i> and requesting the loan amount on 3100 and 3093 Arrowhead Road, Wyoming <i>"to be reduced by at least \$1,720,000, to bring the balance owing to an amount no greater than \$4,000,000"</i> .
15 September 2022	Letter from Withers disclosing third party costs and extent of Detach Loan W's third-party costs associated with the proceedings as of 15 July 2022 which add up to £228,000 of which c. £151,000 relate to Nick Warr of Taylor Wessing. After multiple requests W finally discloses statement with Detach showing her loan facility was £657,239.15, not £280,500 as disclosed previously.
15 September 2022	H sells 21,872 Coinbase shares for \$1,636,000 (potential tax due \$437,033 - 28%)
15 September 2022	H reduces the parties' mortgage with the Bank of Jackson Hole by \$675,000 from parties' joint account to comply with BOJH requirement.
16 September 2022	Another Day Single Joint Expert 3rd report in relation to crypto assets (clarifying historic transactions prior to 2019)
16-30 September 2022	H reduces mortgage at Bank of Jackson Hole by further \$3,292,239 (including Coinbase Shares and \$1,875,000 crypto sales)
26 September 2022	H files notice of change of solicitor. H acting in person
4 October 2022	Litigation in US brought by W against Bank of Jackson Hole
October 2022	W instructs lawyers in US to write to Tyfone advising them that a UK freezing order has been made restricting dispositions of the marital estate, including Tyfone holdings. Tyfone impose a "STOP" order on the movement of Tyfone funds (C£56,000).
14 October 2022	H writes to Withers in respect of reorganization of the parties' finances. H states that \$5.72M of mortgage debt has reduced to \$1.77M of mortgage debt <i>"through the liquidation of all the Coinbase shares and all the Crypto in Coinbase and Coinbase Pro, as well as the liquidity available in the UBS account and the Etrade account"</i> .

14 October 2022	H notifies W that he is “ <i>working on moving the Jersey pension to Malta so that [H] can transfer 50% to [W]...</i> ”
21 October 2022	W files notice of change of solicitor. W acting in person.
21 October 2022	H sends request to crypto SJE for further clarification and questions arising from his report.
21 October 2022	W issues proceedings in Wyoming against the BOJH
7 November 2022	W writes unilaterally to SJE without copy to the other side and alleges that H abused her for 27 years. H does not accept the allegation.
15 November 2022	W instructs Burgess Mee Family Law.
16 November 2022	W 7 th D11 (3 rd application for a Freezing Order, over US properties, US banks, property holding companies)
16 November 2022	H’s 4 th Replies to W’s questionnaires
17 November 2022	H files notice of change of solicitor, instructing Camilla Baldwin
17 November 2022	Directions Hearing before MacDonald J. • <u>Freezing order</u> against both parties (not to dispose of, deal with, or diminish (not to borrow against) US properties, property shares, property holding companies, rental accounts) • Directions re rental income for mortgages, property expenses • <u>MPS</u> • H to pay W MPS £8,700 pm • H to pay rent to W of £5,500 pm • <u>Directions</u> • <u>Crypto</u> • Parties to instruct SJE to reply to H’s questions (identify further disclosure and analysis needed) by 24/11/22 and provide lists of any further disclosure needed to conclude the report, by 1/12/22, and identify any further expertise outside the SJE remit if needed. • <u>Tax</u> • Parties and their tax advisers to compile Schedule of tax issues/agreement by 16/12/23, with SJE instructed in default of agreement (W to ID SJE’s by 6/1/23, H to select 1 by 13/1/23) with report to be filed by 14/2/23) • <u>Pension</u> • Parties to agree pension position and in default permission to either party to apply for SJE • Permission to instruct SJE on tax consequences of pension sharing order (Jersey – Malta) (W to ID SJE’s by 6/1/23, H to select 1 by 13/1/23) with report to be filed by 14/2/23) • <u>Further evidence</u> • H to reply to W’s 3rd supplemental questionnaire by 8/12/22 • W to provide tax returns by 8/12/22 • W to file a statement of case as to alleged non-disclosure by H by 14/2/23 and H to reply by 14/3/23 • Updating disclosure by 6 weeks prior to PTR

	• Updating property valuations (including paper updates) 6 weeks prior to PTR • S.25 statements 4 weeks prior to PTR • Open offers 7 days prior to PTR • PTR (1 day) reserved to McDonald J • Final hearing (10 days) reserved to McDonald J
18 November 2022	H files notice of acting in person.
18 November 2022	W sends directions order to Marlon Pinto of Another Day (SJE)
23 November 2022	Another Day Single Joint Expert 4th report in relation to crypto assets and Marlon Pinto suggests it will remain in draft until all parties are able to confirm their availability for a call.
24 November 2022	Parties due to instruct Crypto SJE to respond to H's questions
25 November 2022	W sends draft letters to the Bank of Jackson Hole and the Metropolitan Commercial Bank of New York enclosing the freezing order to H for his review.
27 November 2022	H sends further " <i>clarifications</i> " to Marlon Pinto (SJE) and addresses errors and can be seen from email (<i>Mr Pinto still needs to respond to this</i>)
28 November 2022	The parties do not agree contents of the draft letters to be sent to Bank of Jackson Hole
29 November 2022	H provides amended draft letters enclosing the freezing orders to the bank and the requirement to re-open the account to 3093 AH LLC as per the undertaking to the court. These are not agreed and remain unsent.
1 December 2022	Parties due to serve on the Crypto expert a list of any further information sought and why, or what other expert evidence will be needed
2 December 2022	Marlon Pinto (SJE) contacts the parties to explain that he would request the judge allow him to revisit his first report and compile one further report.
5 December 2022	W writes to H in respect of her litigation funding and the requirements Detach Lending has to extend the facility. Detach require W to pledge her shares of 3093 AH LLC, 3100AH-B LLC (W's LLC which owns 50% of 3100 West Arrowhead Road, Wyoming) and a pledge of her ownership interest in the four residential units at 240 Frost Street, New York, which is in breach of UTs and freezing order. H reiterates his offer to divide the US properties between the parties
December 2022	Marlon Pinto (SJE) provides responses to the questions raised and included in the order made at the 17 November hearing. Marlon suggested that disclosure from each exchange/services be approached to provide a list of all wallets associated to H and transaction history.

8 December 2022	H files his replies to questionnaire. W fails to provide her response to question 4 of questionnaire about her historical communication with BOJH.
8 December 2022	W fails to file tax disclosure, evidence of her rent and any liabilities.
8 December 2022	W fails to respond to Order to agree or object to H's pension advice (April 2022) that pensions can be shared in England if transferred to Malta
12 December 2022	W confirms that she will attend a meeting with the SJE subject to some additional questions being answered and third party disclosure being agreed to by H.
13 December 2022	H 6 th D11 application. This relates to compliance with directions, the ongoing work of the SJE and the outstanding directions regarding Cigna (the medical insurer).
14 December 2022	Marlon Pinto (SJE) confirms he will answer the questions W put to him in his email dated 12 December 2022 H proposes the meeting go ahead without W or her shadow expert being involved in the same way as previously.
16 December 2022	Parties due to file schedule of respective advisers' views on tax liabilities on basis of H obtaining or not obtaining US Tax residency and in default of agreement to instruct an SJE
6 January 2023	W fails to meet deadline to provide details of tax expert to act as SJE if issues are not agreed
6 January 2023	W's 8 th D11 application seeking her release from her undertaking to allow her to obtain legal funding. W also seeks a stay of H's D11 application so that she can secure funding and then address the outstanding issues. H repeats the same proposal so that W can obtain funding against her assets while not preventing H from doing the same.
13 January 2023	Parties due to have instructed tax SJE if no agreement to report by 14/2/23
16 January 2023	H files a response to W's 8 th D11
16 January 2023	High Court lists a 1-day Directions Hearing before MacDonald J to be heard on 1 March 2023.
3 February 2023	H asks W's solicitors to confirm amount owed to Detach and the timeline for repayment
10 February 2023	W writes to H to seek his agreement to the reversal of mortgage repayments of \$675,000 paid in September 2022. W suggests that these funds in their entirety could be used to meet her outstanding and ongoing legal fees. The Respondent responded to this on 14 February 2023.
14 February 2023	W fails to file statement of case as to H's alleged non-disclosure in breach of order of 17/11/22 (H to reply by 14/4/23)

24 February 2023	Burgess Mee file application to recuse themselves from the case.
27 February 2023	W files notice of change of solicitor. W acting in person. W's 9 th D11 application seeking an order that H is held in contempt of court.
1 March 2023	W files a statement dated 28 February 2023 in which she seeks the following orders: - Order for Contempt of Court - Legal Service Payment Order - Maintenance pending suit - Immediate access to 50% of the rental revenue generated by all properties jointly owned in Wyoming and New York. - Order to reverse the rental revenue diverted from the Metropolitan Commercial Bank of New York and instructions to send 50% of the revenue to W's Wells Fargo account. - Freezing orders - Order for H to approve the Bank of Jackson Hole's (BOJH) offer to reverse the \$675,000 transfer to an account held to W's US attorney's order. - Orders for disclosure from UBS covering the period between January 2005 and December 2018. - Release from W's undertaking to open a new account with BOJH. - An order for costs - An order to resume the review of the <i>Imerman</i> laptop and Ubuntu computer used for Crypto mining and trading. W relies upon this statement as her case on H's alleged non-disclosure
1 March 2023	Directions hearing before MacDonald J: • W's applications for H's committal, LSPO, MPS, access to rental income, recovery of rental income, reversal of transfer of LS of \$675,000 & further disclosure refused • Pending any LSPO application case must be progressed towards final hearing on 30/10/23 • Any LSPO application must be made by 31/3/23 • H to respond to a LSPO application by 31/3/23 • W to provide comprehensive response to Schedule of Tax issues by 10/4/23 • Tax agreement to be achieved by 17/4/23 and in default, SJE to be nominated (W to ID 3 SJE by 31/3/23, H to select 1 by 6/4/23, report by 11/5/23) • W to agree to H's pension position by 31/3/23 and in default, application under Part 25 to be made • Dispute about tax consequences of pension sharing to be reported on by SJE • W to provide tax disclosure by 31/3/23 • H to respond to W's case (28/2/23) on his alleged non-disclosure by 31/3/23 if so advised.
16 March 2023	W files second amended complaint in WY against the Bank and Jackson Hole and adjoins H to complaint

31 March 2023	W fails to file in accordance with order of 1/3/23: • any LSPO/MPS application • 3 names as potential tax experts in event of disagreement about tax • response on H's pension proposals • tax returns and evidence about rental arrangements and any liabilities
10 April 2023	W fails to file comprehensive response to H's schedule of tax issues
13 March 2023	H discovers 16.6 BtC sequestered in an account with Xapo. H subsequently unfreezes the BtC balance, which is used to reduce the mortgage with Bank of Jackson Hole secured against the Wyoming properties in March and April 2023.
11 April 2023	H files a response to W's statement of case as directed in MacDonald J's order dated 1 March 2023 (including a comprehensive of all H's cryptocurrency transactions from 2015 to 2019), which is outside the scope of the order. H files an affidavit in response to W's statement 28 February 2023.
17 April 2023	Parties' tax advisers due to agree schedule of agreements and issues
17 April 2023	H informed of W's unilateral booking of 3093 Arrowhead Road property from July to November 2023.
18 April 2023	W's 10 th D11: - MPS £30,892 pm, - rent £9,945 pm, - school fees and extras - credit card dents £25,371, - exam expenses £10,725, - moving/storage costs, - health insurance, - LSPO £527,743 to final hearing - £189,975 historic costs to Burgess Mee - £98,412 historic costs to Withers - All timetabling under the order of 1/3/23 to be varied for 3 weeks after discharge of Burgess Mees outstanding fees.
19 April 2023	H notifies W that he intends to transfer his pension assets to Malta. W was given permission on 17/11/22 to consider H's proposals re pension sharing from Adsen Moore and in default to instruct SJE. W has taken no action despite directions made 5 months earlier.
20 April 2023	LOI to be agreed for tax SJE's in default of agreement for reports to be prepared by 11 May 2023
20 April 2023	W lodges her application for a Legal Services Payment Order and Maintenance Pending Suit.
23 April 2023	H's schedule of assets
27 April 2023	W's 11 th D11 (H to explain alleged "perjuries, defeating W's claims", legal fees for proceedings in US, s.37 applications, et al)

2 May 2023	H emails W with concerns about liquidity and suggests: • £700k liquidity remaining • May have to liquidate life insurance policy • Open proposal to split assets • Each party to have one Wyoming property and two NY apartments • Occupation of Wyoming properties will lose needed rental income.
May 2023	H instructs lawyers in US (Richards Carrington) to respond to litigation issued by W in US
31 May 2023	High Court lists 1 day hearing before MacDonald J to be heard on 9 June 2023.
5 June 2023	W informs H about Hearing as court failed to notify H.
5 June 2023	Judge Johnson in Wyoming renders Judgement against W in case against BOJH Wyoming – case dismissed with prejudice and W to pay BOJH legal fees
8 June 2023	W's N260 for hearing (£73,012)
8 June 2023	(at 17.59) W's legal team send H a copy of their counsel's note for hearing on 8/6/23
9 June 2023	(at 1.03am) H asks W's legal team to correct 17 inaccuracies in W's counsel's note for court on 9/6/23
9 June 2023	Hearing before MacDonald J, time estimate 1 day (judgment reserved).
28 June 2023	H files with the court typographical errors and is not told by Mr Ewins that court allowed for an extension of 48 hours. H informed by Burgess Mee of extension 2 hours after original deadline set by the court having already received H's documents.
29 June 2023	H as a litigant in person sends a draft order re-timetabling directions made on 17 November and 1 March 2023 order on 29 June 2023.
30 June 2023	Judgment/order MacDonald J from hearing on 9 June 2023: MacDonald J (H in person, W represented by James Ewins KC with schedule of assets dated 24/4/23): • H to pay MPS of £18,762 pm (allowing £7,000 for rental cost in London) • H to pay school fees, reasonable extras and uni expenses (tuition, board & living) to W • H to pay W £10,725 for exam expenses • H to pay rental deposit, storage and reasonable moving costs to London on production of invoices (W having submitted likely invoices of £19,000) • H to pay LSPO to Burgess Mee £221,654 to directions - £110,827 by 7/7/23 - £110,827 by 1/8/23 • H to pay £151,000 from directions to final hearing on terms to be directed at the directions hearing • Parties to lodge agreed timetable & draft directions for final hearing by 26/7/23 and in default of agreement, apply for directions • PTR to be listed by 10 July 2023 c. 4 weeks prior to trial

	Final hearing fixed for 10 days commencing 30/10/23
July 2023	H instructs Crisp & Co (now part of Stowe Family Law).
5 July 2023	Court sends 30 June 2023 order on 5 July 2023 - H pays 1 st installment of LSPO (£110,827) to W's solicitors Burgess Mee in accordance with order of MacDonald J and makes a payment to W pursuant to the MPS order.
7 July 2023	Joint account with BOJH expunged of \$113,984.72 by W to pay for BOJH US litigation.
10 July 2023	W's solicitors due to list PTR but fail to do so – in breach of directions
19 July 2023	H writes to W's solicitors seeking draft order
26 July 2023	H writes to W's solicitors again with draft order for re-timetabling
26 July 2023	Parties due to agree to submit revised timetable for directions to final hearing
1 August 2023	H offers to pay 2nd installment of LSPO provision but Bloom Budd ("BB" - now instructed to represent W) advise H to await resolution by the judge of dispute with Burgess Mee ("BM") or joint instruction from BB & BM.
2 August 2023	W's 12th D11 application for her new solicitors, Bloom Budd, to receive the LSPO provision in place of Burgess Mee and for directions hearing to be listed to agree new timetable for trial Application copied to H, but H not asked to consent to the application.
3 August 2023	Property manager for Wyoming rentals informs H that W is in residence of 3093 Arrowhead for an indefinite period (preventing any commercial rental – two prospective tenants available with potential \$60,000 rental income)
16 August 2023	W's US LinkedIn page shows W as working for Family Office Management, Wilson WY
30 August 2023	Crisp & Co on the record for H
30 August 2023	H's solicitors: - Confirm H's willingness to pay LSPO order and has deferred at BB's request - Requests response to his proposed directions; and - Offers copies of any papers
1 September 2023	W's solicitors correspond for 1st time with Crisp & Co W's solicitors ask for bundle
	W attempts to serve US proceedings on H.
5 September 2023	H's solicitors confirm H's willingness to pay LSPO order and consent to W's LSPO variation application

7 September 2023	W's without notice application and statement for freezing orders over H's cryptocurrency and Penn policy (served on H at court at 10.30 am)
7 September 2023	Directions – MacDonald J Freezing order without notice • H's Penn Mutual life policy frozen • Return date on 1 November 2023 (H advises court and W that he cannot meet MPS/LSPO orders if the policy is frozen) • H to reply by 18/10/23 to W's affidavit dated 7/9/23 • Permission to W to respond 1 week later LSPO variation order • LSPO order made on 30/6/23 varied for payment to Bloom Budd Directions • W to disclose Cigna details by 15 October 2023 • Crypto SJE to meet with parties and complete report by 8/12/23 • W to respond to H's tax advice and in default of agreement SJE to be instructed by 8/11/23 and report by 3/1/24 • Any pension Part 25 applications to be made by 19/10/23 • Any disagreement as to tax consequences of the pension sharing to be resolved by appointment of SJE, instructions by 8/11/23 and report by 3/1/24 • Specific disclosure from W by 29/9/23 • Parties to exchange by 6/10/23 details of legal fees incurred • H to provide by 18/10/23 details of steps taken by him to realise his Penn Policy • Wyoming property valuations to be updated (desktop) by 12/1/24 • By 3/11/23 W to provide SJE details to value Frost Street properties • Parties to exchange updating disclosure by 10/1/24 • S.25 statements to be exchanged by 15/1/24 • Open offers to be exchanged by 20/1/24 • Final hearing (on 31/10/23) vacated • Final hearing relisted (10 days) commencing 19/2/24 • Forms H1 to be exchanged by 31/1/24 • Bundles to be agreed by 8/1/24
12 September 2023	W instructs lawyers in US District Court of Wyoming to serve proceedings on H in Portugal
20 October 2023	H's statement in support of Hemain injunction
20 October 2023	H makes interim proposal for transfer of Wyoming properties
23 October 2023	H's application: - Discharge of the freezing order of Mr Justice MacDonald dated 7 September 2023; - Discharge of paragraphs 7.1(a) and (b) and paragraph 8 of the order of Mr Justice MacDonald dated 30 June 2023 - Release from undertakings of the freezing order of Mr Justice MacDonald dated 17 November 2023; - Orders for interim financial arrangements; - Injunction against W not to pursue proceedings in the US - Orders for disclosure

23 October 2023	H's statement in support application to discharge freezing order (5 days late)
23 October 2023	W's application: - Adjournment of the hearing on 1 November 2023; - Enforcement of parts of the order of Mr Justice MacDonald dated 30 June 2023; - Order for updating disclosure; - Listing of a hearing to determine W's costs of her MPS/LSPO application
31 October 2023	W's statement in response to H's Fourth and Fifth statements.
1 November 2023	Directions order of MacDonald J (Mr Southgate KC represented W and Ms Alexis Campbell KC H) • Updating disclosure by 1/11/2023 • W to provide information with evidence in support in respect of residence since July 2023, interviews for employment; date of employment, employment contract, pay slips, confirmation whether permanently relocated to USA by 8/11/2023. • Substantial re-timetabling of order 7/9/2023 in respect of tax, pensions, disclosure, legal fees, property valuations and crypto evidence. • Permission for conduct pleadings by 12/12/2023. • Defence to conduct pleadings by 22/12/2023. • Costs reserved. Judgment reserved in respect of each party's substantive applications
7 November 2023	W's solicitors write objecting to the questions that MacDonald J directed be answered by 8/11/2023. The answers provided are without any evidence in support (as directed).
8 November 2023	W's updating disclosure served. This was deficient and subject to further application and orders at PTR on 16/1/2024
8 November 2023	H's updating disclosure served.
14 November 2023	H's solicitors chased W's solicitors for response to LOI to Mr Pinto (SJE Crypto) pointing out no comments received since the hearing on 1/11/2023.
15 November 2023	W's solicitors respond that the LOI is not agreed and they are waiting to hear from counsel.
28 November 2023	Judgment reserved from 1 November 2023 handed down Order of MacDonald J • Freezing order dated 7/9/2023 discharged. • Variation of order 30/6/2023 and MPS reduced from £18,762 pcm to £11,762. • All other variation and/or discharge of MPS/LSPO dismissed. W's application to adjourn return date freezing injunction dismissed.

	• Permission to H to borrow against Penn Mutual Life Insurance. • Costs reserved.
4 December 2023	H's application (issued on 7 December 2023) seeking: • Return of personal items. • Disclosure - W's updating disclosure being deficient.
7 December 2023	W's application (issued on 19 December 2023) with witness statement in support seeking: • Finding H in breach of LSPO order • Payment of alleged arrears of MPS • LSPO £532,319. W alleged that absent LSPO the final hearing "will be removed from Leading Counsel's diary imminently."
11 December 2023	Final LOI sent to cryptocurrency expert, Mr Pinto. LOI signed by the court in place of W's solicitors.
12 December 2023	H's conduct pleadings
14 December 2023	MacDonald J determines (on paper) all issues in respect of LOI to SJE, Mr Pinto, signs the letter dated 11/12/2023 on behalf of W and her solicitors and directs it is sent to the expert forthwith.
15 December 2023	W serves notice of acting in person
22 December 2023	W wrote to RCJ alleging that H's solicitors had made "false representations" to the court and that PTR will be ineffective as she has no legal representation.
12 January 2024	H's updating disclosure
12 January 2024	W's conduct pleadings (statement filed, not pleadings).
15 January 2024	BloomBudd LLP serve notice of acting for the W
16 January 2024	PTR-order of MacDonald J (W represented by Mr Brent Molyneux KC and H by Mr Duncan Brooks KC) • W's application dated 7/12/2023 dismissed. • LSPO varied to direct payment by 17/1/2024 and towards trial preparation and representation only. • W to provide disclosure by 30/1/2024 (as per H's application) • W to confirm the whereabouts of H's chattels by 30/1/2024 (as per H's application). • Tax evidence provisions discharged and court to proceed on tax information provided by the parties. • Neither party has made an application for PODE and the court will proceed on the disclosure already provided by the parties. • Property valuations re-timetabled but with default values to be adopted at final hearing if paragraph not complied with. • Cryptocurrency expert report re-timetabled.

	• H's time for filing conduct defence extended to 6/2/2024. • Unless order- W to serve her defence to conduct pleadings by 4pm 6/2/2024 or be debarred from serving any defence. • S25 statements by 30/1/2024. • Bundle provisions. • FH trial template. • Both parties to attend FH in person, including to give oral evidence. • Costs in the application.
17 January 2024	H pays the final LSPO payment to W's legal team of £151,000 as ordered on 16 January 2024
26 January 2024	W's application alleging non-disclosure and requesting further disclosure. <u>This has not been issued, listed and determined.</u>
30 January 2024	H's S25 statement filed in accordance with the order of MacDonald J dated 16/1/2024. Statement not served as W's statement not ready and she requests an extension to 5/2/2024: not agreed by H.
30 January 2024	W has not complied with orders 16/1/2024 to i) confirm whereabouts of H's chattels and ii) provide specified disclosures. H's solicitors chase W's solicitors: no response.
31 January 2024	H's further updating disclosure
31 January 2024	H's open offer enclosing net effect schedule sent to W's solicitors
31 January 2024	Call with SJE Marlon Pinto, during which W unilaterally shares a spreadsheet with the SJE without prior agreement or approval of H's legal team. W asks H questions on the call unrelated to the information addressed on the call.
5 February 2024	Date by which W proposed her S25 statement would be ready: no statement served.
Undated (served on 6 February 2024)	W's defence to H's conduct case.
7 February 2024	H's defence to W's conduct case.
8 February 2024	W has not complied with orders 16/1/2024 to i) confirm whereabouts of H's chattels and ii) provide specified disclosures. H's solicitors chased W's solicitors for a second time: no response.
8 February 2024	SJE, Mr Pinto, crypto expert, informs H's solicitors that contrary to LOI W has unilaterally provided additional emails and documents. H's solicitors request the material from W's legal team: no response.
9 February 2024	SJE, Mr Pinto, cryptocurrency report.
9 February 2024	W's solicitor email MacDonald J seeking permission for the bundle to extend to 4000 pages

12 February 2024	MacDonald J grants permission for an extended bundle
13 February 2024	H's questions of Mr Pinto's report
13 February 2024	Bundle is not available despite W's solicitors' representations to the court in email 9/2/2024.
14 February 2024	SJE informs the parties that W continues to contact him unilaterally, asking W's solicitors to inform W not to contact him.
14 February 2024	H's further questions of Mr Pinto's report
19 February 2024	Final hearing (time estimate: 10 days)

	Direction and order	Due date and relevant order	Orders late or not complied with	Bundle Refs for orders
	<u>Order 7 April 2021</u>			
	Replies to Questionnaire	10/5/2021 7/4/2021 para 21	W late 27/5/2021	[21-28]
	Replies to schedule of Deficiencies	21/6/2021 7/4/2021 para 23		[21-28]
	Parties agree property values; in default H provide list of 3 by 19/4/2021 and W select Reports 17/5/2021	21/4/2021 7/4/2021 para 24		[21-28]
	W deliver up laptop and hard drive	Forthwith 7/4/2021 para 28	W late 13 April 2021	[21-28]
	<u>Order 19 August 2021</u>			
	Parties agree tax and W to provide details of her advisers	15/9/2021 19/8/2021 para 17		[31-34]
	W respond to H's position on tax	14/10/2021 19/8/2021 para 17		[31-34]
	W serve specified bank statements	9/9/2021 16/8/2021 para 19		[31-34]
	<u>Order 16 May 2022</u>			
	Parties instruct Mr Pinto – LOI agreed and sent	17/5/2022 16/5/2022 para 10	W Late 20/5/2022 [3752]	[125-128]
	<u>Order 31 May 2022</u>			
	Parties agree tax figures identified in order 7/4/2021 para 25 H's figures 7/6/2022 W's response	21/6/2022 31/5/2022 para 4	No	[222/4]
	W provide all correspondence with Coinbase re freezing of H's a/c	1/6/2022 31/5/2022 para 5		[222/4]
	W request Cigna (health policy) reinstate H as parent and provide breakdown of all claims/costs relating to children 2020-2022	8/6/2022 31/5/2022 para 6	No	[222/4]
	Any Part 25 app tax or property issued by	29/6/2022 31/5/2022 para 7	No	[222/4]
	W file revised Form H detailing costs/disbursements incurred on third party advice	8/6/2022 31/5/2022 para 13	No Note of third party costs provided on 15/9/22	[222/4]

	<u>Order 17 June 2022</u>			
	W to comply with para 6 and 13 order 31/5/2022. Penal Notice	17/6/2022 17/6/2022 para 2	Para 6 No Para 13 compliance late 20/6/2022 [254]	[242/3]
	W provide correspondence making requests to Cigna. Penal Notice	17/6/2022 17/6/2022 para 2	No	[242/3]
	<u>Order 13 July 2022</u>			
	W to comply with para 6 order 31/5/2022 (Cigna information)	Immediately 13/7/2022 para 4 Repeat of orders 31/5/2022 17/6/2022	No	[317/9]
	Parties agree tax and if not W identify 3 experts she considers suitable as SJE	24/8/2022 13/7/2022 para 9	No	[317/9]
	W provide breakdown all costs/disbursement incurred re third-party advice	20/7/2022 13/7/2022 para 12	Late 15/9/2022	[317/9]
	W provide disclosure as per order 31/5/2022	31/5/2022 13/7/2022 para 13	Late 25/7/2022	[317/9]
	W provide original digital version of 2/3/2022 spreadsheet	20/7/2022 13/7/2022 para 14	Late 29/7/2022	[317/9]
	W send open proposal	27/7/2022 13/7/2022 para 15	Late 17/8/2022 [4034]	[317/9]
	<u>Order 17 November 2022</u>			
	W respond to tax issues schedule sent on 21/7/2022	2/12/2022 17/11/2022 para 5	No	[339-44]
	If tax issues unresolved parties instruct SJE. W propose 3 valuers	6/1/2023 17/11/2022 para 7 (a)	No	[339-44]
	W draft LOI to tax SJE and H agree	13/1/2023 17/11/2022 para 7 (b)	No	[339-44]
	W state whether agrees H's pension opinion dated April 2022	8/12/2022 17/11/2022 para 8	No	[339-44]
	W provide specified disclosure	8/12/2022 17/11/2022 para 12	No	[339-44]

	W file and serve statement of case explaining her allegations of non-disclosure	14/2/2023 17/11/2022 para 13	No	[339-44]
	<u>Order 1 March 2023</u>			
	W respond to tax issues schedule sent on 21/7/2022	10/4/2023 1/3/2023 para 4 Repeat of order 17/11/2022	No	[385/8]
	If tax issues unresolved parties instruct SJE. W propose 3 valuers	31/3/2023 1/3/2023 para 6 (a) Repeat of order 17/11/2022	No	[385/8]
	W draft LOI to tax SJE and H agree.	20/4/2023 1/3/2023 para 6 (b) Repeat of order 17/11/2022	No	[385/8]
	W state whether agrees H's pension opinion dated April 2022.	31/3/2023 1/3/2023 para 7 Repeat of order 17/11/2022	No	[385/8]
	W provide UK and US tax returns	31/3/2023 1/3/2023 para 10 (a)(b) Repeat of order 17/11/2022	No Provided deficient US 2021 on 16/11/2022 (no FBAR form or Gift form)	[385/8]
	W disclose whether pays for London flat she stays in and evidence monies borrowed if not disclosed	1/3/2023 para 10 (c)(d) Repeat of order 17/11/2022	No	[385/8]
	<u>Orders 7 September 2023</u>			
	W to disclose details of the Cigna policy	15/10/23 7/9/2023 para 9 Repeat of orders 31/5/2022, 17/6/2022 13/7/2022		[557-65]
	W to agree joint letter of instruction to SJE re crypto currency (Mr Pinto)	16/10/23 7/9/2023 para 10	No	[557-65]

Parties to arrange meeting with Mr Pinto	30/10/23 7/9/2023 para 10.1	No	[557-65]
W to respond to H's tax schedule 21/7/2022	16/10/23 7/9/2023 para 11.1 Repeat of orders 17/11/2022 and 1/3/2022	No	[557-65]
Parties to attempt to agree tax advice	20/10/23 7/9/2023 para 11.2	No	[557-65]
W to identify suitable SJE in default of agreement on tax,	27/10/23 7/9/2023 para 11.3 (a)	No	[557-65]
W to draft LOI for tax expert	03/11/23 7/9/2023 para 11.3 (b)	No	[557-65]
H to provide details of pension transfer to Malta	06/10/23 7/9/2023 para 12.2	Late (9/10/23)	[557-65]
W to respond to H's pension advice	13/10/23 7/9/2023 para 12.3	No	[557-65]
Part 25 applications for pension experts	19/10/23 7/9/2023 para 12.4	No	[557-65]
W to identify SJE to report on tax due on pension share in default of agreement	27/10/23 7/9/2023 para 12.5	No	[557-65]
W to draft LOI for expert re tax on pension share	03/11/23 7/9/2023 para 12.5	No	[557-65]
W to provide UK and US tax returns	29/9/23 7/9/2023 para 12.6 Repeat orders 17/11/2022 and 1/3/2023	No	[557-65]
W to provide evidence of rental and other liabilities	29/9/23 7/9/2023 para 12.6	No	[557-65]

		Repeat of orders 17/11/2022 1/3/2023		
	Parties to exchange details of legal fee expenditure	06/10/23 7/9/2023 para 13	No	[557-65]
	H to provide evidence relating to his Penn policy	18/10/23 7/9/2023 para 21	Late (19/10/23)	[542-548]
	Parties to jointly instruct valuers to update Wyoming properties	16/10/23 7/9/2023 para 15.1	No	[557-65]
	W to propose SJE's to value NY property	3/11/23 7/9/2023 para 15.2	No	[557-65]
	Updating disclosure to 31/12/2023	10/1/2024 7/9/2023 para 16	W's deficient- see H's D11 4/12/2023 [615]	[557-65]
	S25 statements- simultaneous exchange	15/1/2024 7/9/2023 para 17	H 30/1/2024 W No	[557-65]
	Open proposals- simultaneous exchange	20/1/2024 7/9/2023 para 21	H 31/1/2024 W No	[557-65]
	Form H1	31/1/204 7/9/2023 para 22		[557-65]
	H to file response to W's freezing affidavit	18/10/23 7/9/2023	Late (23/10/23)	[549/51]
	W to respond to H's statement re freezing order, if so advised (7 days later)	25/10/23 7/9/2023 para 16 FO	Late (31/10/2023)	[549/51]
	<u>Order 1 November 2023</u>			
	Both parties updating disclosure to 1.11.2023	6/11/2023 1/11/2023 para 4	H's late 8/11/2023 W's 6/11/2023 but deficient and incomplete	[590/5]
	W provide information with documentary evidence of residence, employment, whether permanently relocated to USA	8/11/2023 1/11/2023 para 5	No	[590/5]
	W to disclose details of the Cigna policy	Immediately 1/11/2023 para 7	No	[590/5]

		Repeat of orders 31/5/2022, 17/6/2022, 13/7/2022, 7/9/2023		
	W respond to tax issues schedule sent on 21/7/2022 (first ordered 17/11/2022)	8/11/2023 1/11/2023 para Repeat of orders 17/1/2022 7/9/2023	No	[590/5]
	Parties agree tax expert if issues in dispute	20/10/2023 1/11/2023 para 8 Repeat order 7/9/2023	No	[590/5]
	W to identify suitable SJE's in default of agreement on tax	22/11/2023 1/11/2023 para 8 Repeat of order 7/9/2023	No	[590/5]
	W to draft LOI for expert	22/11/2023 1/11/2023 Repeat of order 7/9/2023	No	[590/5]
	W to respond to H's pension advice	8/11/2023 1/11/2023 Repeat of order 7/9/2023	No	[590/5]
	W provide information with documentary evidence of residence, employment, whether permanently relocated to USA	8/11/2023 1/11/2023 para Repeat of order 7/9/2023	No	[590/5]
	W to propose SJE's to value NY property	15/11/2023 1/11/2023 para 8 Repeat of order 7/9/2023	No	[590/5]
	Conduct pleadings	12/12/2023 1/11/2023 para 9	H's 12/12/2023 W's 16/1/2023 (7am) and attached shadow expert report statements for which no leave	[590/5]

	Defence to conduct pleadings	22/12/2023 1/11/2023 para 10	H – unable to respond as W’s pleadings not yet filed W - No	[590/5]
	<u>Order 16 January 2024</u>			
	W provide specified disclosure	30/1/2024 16/1/2024 para 6	No	[636/41]
	W confirm whereabouts H’s chattels	30/1/2024 16/1/2024 para 7	No	[636/41]
	Property values W to provide 3 valuers for NY and Wyoming properties	30/1/2024 16/1/2024 para 10	No W sends details of proposed SJE on 15/2/24	[636/41]
	Unless order- W file Defence to H’s conduct pleadings	6/2/24 4pm 16/1/2024 para 13	W filed 6/2/2024	[636/41]
	S25 statements exchange extended	30/1/2024 16/1/2024 para 14	H filed 30/1/2024 W not filed	[636/41]
	Bundle index agreed	29/1/2024 16/1/2024 para 15	Index provided 9/2/24	[636/41]
	W to file Bundle, ES1, ES2, chronology, summary of issues	12/02/23 4pm 16/1/2024	Bundle late (Wed) 14/2/24 No ES1, ES2, chronology or statement of issues	[636/41]

Closing Submissions of Behalf of Respondent Husband

28th February 2024

ZAHMOUL

CLOSING SUBMISSIONS ON BEHALF OF RESPONDENT HUSBAND

28 February 2024

Overview

1. Having considered 6 days of oral evidence, W's application to persuade the court that H has £141m of undisclosed assets, or any undisclosed assets has collapsed.
2. W has spent £1.9m on her advisers trying to prove that H had millions of pounds hidden. The burden of proof rests with her to establish *on the evidence* and on the balance of probabilities that this is the case. She has failed to articulate her allegations with any clarity, and she has failed to identify *any* evidence which *supports* her allegations, let alone prove them. Her case has not even got off the ground.
3. As a result of this enormous misjudgement, W's legal team have from the outset looked for any excuse to justify W's folly. Inevitably, (as this is a constant theme with W) they have pointed at H. They have raised three substantive arguments:
 - a. H disclosed on *a voluntary basis*, the \$7m windfall from his Coinbase shares in advance of the FDR in July 2021. He should have done this earlier.
 - b. H failed to disclose 5 bitcoins he gave to his sister in 2018 (worth then about \$22,124¹; which remained legally in his name.
 - c. H lost 16 bitcoins in 2017 (worth then \$112,000²) which he uncovered in these proceedings as a result of the SJE examining every transaction he carried out in crypto currency from 2014 to 2024.
4. None of these three "excuses" come anywhere near justifying W's approach and utterly wasteful dissipation of family capital on this litigation.
5. W's presentation ignores *W's* conduct which has driven the litigation in the wrong direction and away from any hope of settlement for more than 3 years:
 - a. W's cynical issue of a divorce petition in 2020 (to engage the English jurisdiction) which she held in secret until June 2020, and which W promised she would not pursue in 2020, to enable her to hack into H's devices to carry out her own unlawful investigations about his resources;
 - b. W's decision not to disclose those Imerman papers until April 2021 after the disclosure process had begun, in the hope she would catch H out in a lie;
 - c. W's insatiable obsession with disclosure, without any proper consideration of the adequacy of the material disclosed; and
 - d. W's refusal to attempt any meaningful dialogue with H (through her advisers) to understand the assets or resolve the disputes. W instructed her advisers to *not* engage with H;

¹ Gemini statement 2242

² H's evidence \$7,000 per btc

- e. W's pursuit of parallel action in the US in court and now with the IRS, over issues *she* applied to the English Family Court to resolve.
 - f. W's continued breach of countless orders which derailed three final hearings and left this hearing in a state of disarray.
6. Whatever submissions are made on W's behalf – the court should not be distracted from these fundamental submissions.

Applicable Law

7. The court will have regard to s.25 of the Matrimonial Proceedings Act 1973 and in particular:

8. Section 25(1):

"...to have regard to all the circumstances of the case, first consideration being given to the welfare while a minor of any child of the family who has not attained the age of eighteen."

9. Section 25(2):

(a) the income, earning capacity, property and other financial resources which each of the parties to the marriage has or is likely to have in the foreseeable future, including in the case of earning capacity any increase in that capacity which it would in the opinion of the court be reasonable to expect a party to the marriage to take steps to acquire;

(b) the financial needs, obligations and responsibilities which each of the parties to the marriage has or is likely to have in the foreseeable future;

(c) the standard of living enjoyed by the family before the breakdown of the marriage;

(d) the age of each party to the marriage and the duration of the marriage;

(e) any physical or mental disability of either of the parties to the marriage;

(f) the contributions which each of the parties has made or is likely in the foreseeable future to make to the welfare of the family, including any contribution by looking after the home or caring for the family;

(g) the conduct of each of the parties, if that conduct is such that it would in the opinion of the court be inequitable to disregard it;

(h) in the case of proceedings for divorce or nullity of marriage, the value to each of the parties to the marriage of any benefit which, by reason of the dissolution or annulment of the marriage, that party will lose the chance of acquiring.

10. Section 25(A):

(1) Where on or after the making of a divorce or nullity of marriage order] the court decides to exercise its powers under section 23(1)(a), (b) or (c), 24 or , 24A , 24B or 24E above in favour of a party to the marriage, it shall be the duty of the court to consider whether it would be appropriate so to exercise those powers that the financial obligations of each party

towards the other will be terminated as soon after the making of the order as the court considers just and reasonable.

(2) Where the court decides in such a case to make a periodical payments or secured periodical payments order in favour of a party to the marriage, the court shall in particular consider whether it would be appropriate to require those payments to be made or secured only for such term as would in the opinion of the court be sufficient to enable the party in whose favour the order is made to adjust without undue hardship to the termination of his or her financial dependence on the other party.

Children

11. Jade Mia is an adult and studying at university. Her education expenses will be met from a capital fund. Lila Mae is a full time boarder at Cheltenham Ladies College; her fees have been paid in full. Both children's tertiary expenses will be met from the lump sum H proposes to reserve for this purpose of £700,000.
12. Both parties love their daughters. Their children love each of them. The court should presume that the children are entitled to enjoy a relationship with **both parties** in the future and both parties will be expected to support the living expenses of the children when they are with them respectively in their holidays. Their financial responsibilities to their children looking forward are equal.
13. This court has not heard any evidence to support any other outcome. H wishes to spend extended time with his children and W should support that.

Capital Resources – s.25(1) (a)

14. W has still not deigned to instruct her legal team to comment on H's ES2. This is a basic requirement, compelled by statute and directed specifically by this court. It is an extraordinary omission and indicative of W's constant misdirection. In that void, the court is invited to adopt his figures with the following amendments (highlighted in green):
 - a. W has pawned H's watches and holds the balance value of just £50,000. We have removed the value from the asset schedule on the basis that W will return the pawn slip and the court will add back the £50,000 spent;
 - b. As W has sold the car, she only retains £10,000 held by a friend, and the balance is shown in her assets;
 - c. W's alleged loan from her father has not been evidenced in breach of the court's order and is ignored, (in breach of orders in March 2023 [388], September 2023 [561], November 2023 [593] and January 2024 [637]).
 - d. There is no longer a lifetime allowance tax on pension which has been removed.

Crypto Currency

15. There are no hidden bitcoins. The SJE has examined *every* transaction that H has carried out from 2015 to 2024. This is an extraordinary examination over an extraordinary period. The transactions are all publicly recorded and accessible and have been confirmed independently. The SJE confirmed there were no omissions. All false leads raised by Cipherbalde were ruled out. H was able to prove a negative. Each false assertion of an associated account was traced and explained and where necessary, H wrote to all exchanges identified by Cipherblade to verify H's accounts. All transactions were examined and found to be complete. The transfers were all accounted for including the orphan wallet.
16. H's account about the gift to his sister is plausible, consistent, and supported by affidavit evidence from his sister, [3749]. The documentary evidence supports his account:
 - a. The gift made in 2018 of a rarely used wallet is supported by the Gemini statements (no activity from 2017 onwards) [2938];
 - b. The Gemini statements confirm that the gift when made was worth just \$22,124 as H averred (not hundreds of thousands of dollars put in XXn) [2242].
 - c. It is entirely credible that H would not disclose on his Form E an account he had given to his sister three years earlier;
 - d. H knew that W had examined the Imerman documents and knew that she knew he had a Gemini account – this formed part of the Imerman disclosure;
 - e. H never denied having held a Gemini account – he said he “no longer held a Gemini account [2235];
 - f. H assisted the SJE in collating all Gemini account activity and that was examined;
 - g. H volunteered the explanation of the gift to the SJE in June 2022 months *before* W applied in the US for a subpoena, [2238].
17. The Xapo account held 16 bitcoins. It was a lost account. H never hid the existence of the account:
 - a. H exchanged messages with W about the account – he volunteered notice of the account in 2020, [2337].
 - b. The account was closed in October 2020, [2279] due to lack of activity;
 - c. The exchange with Xapo entirely supports H's evidence, [2280];
 - d. The account shows no activity other than internal transfers, just as H explained, [2285 & 2287].
18. H asks the court to find that the total capital resources are £12,769,012.

Adjustments to ES2

19. The non matrimonial assets should be excluded. This relates to H's inherited property, and the post separation business Nourza and Oxus Acquisition Inc (which became Borealis post-merger).
20. The parties need to preserve a fund to pay tax on the Coinbase shares, (£345,750). That tax fund will be deducted from H's pension held in Malta. The Portuguese period of limitations to reclaim the tax ends in 2025. Any unclaimed tax will be divided equally from the escrow account at the end of that period.
21. The parties need to set aside £700,000 to meet both daughter's tertiary education costs. These funds should also be deducted from the pension funds and held by H.
22. H can liquidate all his pension funds at a cost of 10% as a Portuguese Non-Habitual Resident. (Note "non-habitual" – the Portuguese tax authorities permit this status as a "tax resident" which requires a permanent address in Portugal, not living full time in Portugal. H complied with this requirement and lives in Portugal and other places. Covid prevented him from occupying the Portuguese flat, then his father's death and these proceedings. The tax authorities in Portugal have approved H's non-habitual residence, hence the significant tax benefit to the parties. He has not been deceptive over this and has not been given any credit for his actions which have saved the parties hundreds of thousands of pounds. The tax is reflected in the net effect schedule.
23. There should be an add back for W's excessive legal fees. W should have £913,000 added back to her assets to reflect the same cost that H has incurred. The balance should be removed from the table in accordance with TT v CDS [2020] EWCA Civ 1215 and YC v ZC [2022] EWFC 137. These cases are referred to in H's opening written submissions. This is because:
 - a. As the dependent claimant, with limited resources, the burden of discovery and explanation, rests on the spouse controlling the assets. H's work has been significantly greater. His costs would ordinarily be higher than W's;
 - b. W has spent c.£219,000 on third party costs: £168,023 still due and £51,000 paid on her tax adviser, Nick Warr, which was wasted. W instructed him engage in communications with H to settle tax disputes and negotiate a settlement, but then instructed him not to engage or communicate with H. The sums spent on Cipherblade resulted in at least two reports for which W did not seek and was not granted permission to rely upon; those costs were wasted.
 - c. W has continuously breached countless orders which have required H to return to court to attempt to comply with the court timetable. This has been a futile exercise for several years, resulting in three vacated final hearings and incurring both party wasted costs;
 - d. W wasted cost between Burgess Mee and Bloom Budd spending significant sums of money after the LSPO order was granted but without carrying out any of the

court's directions (with no attempt to agree an ES1, ES2, chronology, schedule of issues, submit an open offer or s.25 statement in advance of the hearing). This compounded H's costs in the run up to the trial.

- e. W has spent £1.9m in professional fees. H has spent £987,000. W has spent £913,000 more than H. This sum should be added back onto the balance sheet.
- f. If W's excessive costs are not added back, in a sharing case, H effectively pays 50% of her excess; as a (relatively) "moderate" spender, he is required to account for 50% of W's excessive spending. That is not fair and is a different issue from being penalised in costs. It needs to be added back before consideration is given to reflect punitive costs awards for litigation misconduct.

24. H asks the court to conclude that the net matrimonial resources to apportion between the parties are £12,055,066.

Income resources – s.25(2)(a)

25. H has not been in banking since 2014. Those days of high income awards have long passed. He worked for a renewable energy development project between 2014 and 2017. The income earned in those years has been calculated by his accountant at [2229]. These are modest sums. The work did not last. Between 2018 and 2020 H worked for Sphere Digital in Morocco. He had to go overseas to get that job, which ended in litigation. H attempted to use his consultancy skills to generate income through EMVira Ltd, but this has not been successful, and the business has not made sufficient income to draw a salary or profit. He no longer works as a director of Oxus (a role he lost when the business merged with Borealis) but did not earn any income and was only reimbursed business related expenses, [s.25 statement paragraph 30].

26. H has not been employed for four years and the *evidence* of his income capacity is that he has only modest capacity to earn. H was not cross examined about his income capacity and there is no evidence that he has a significant earning capacity.

27. H accepts that W has a similar income capacity to him. She could work but chooses not to. Her past profile, energy, tenacity, and personality are highly attractive skills for many work environments. Childcare responsibilities do not preclude work. The children are supported in their studies at two of the best educational establishments in the world. Lila Mae is boarding full time at Cheltenham Ladies College and obviously well cared for in her parents' absence in different jurisdictions. Jade Mia is studying at Wellesley College (with illustrious alumnae such as Hilary Clinton and Madeleine Albright). She is now a young woman and contrary to her mother's assertions, also appears to be well settled and independent on the other side of the USA, many thousands of miles

away from her parents. H accepts W's income capacity will supplement her basic income needs.

28. H asks the court to find that both parties have modest income capacity of a similar level, which they may chose to exercise, to supplement their expenses.

Accommodation Needs – s.25(2)(b)

29. Both parties “need” a roof over their heads; a safe home.
30. A home does not necessarily mean owning an unencumbered freehold property. The parties have been in rented accommodation since 2011. If their accommodation needs are to be reflective of the marriage, they **need not** buy a property. H accepts that they should each have sufficient funds to elect security of accommodation in the sum of £2m.
31. W claims she “needs” a home in Wyoming, London, Boston and New York City. W has not filed any property particulars to evidence her “needs”. She postulates a sum of £3m for NYC. There is no evidence at all before the court as to the type of accommodation this sum would provide or where; in which country, state or boroughs.
32. W has not elected to stay in Wyoming, not close to either of her daughters in Cheltenham or Massachusetts, where they are based. She does not currently work; she has no ties and could live anywhere. She will be able to locate very comfortable accommodation for £2m.
33. The court will have to apply common sense and judicial knowledge. The parties do not need more than 3 bedrooms. They need a safe environment. £2m will buy a detached palace in Cheltenham, and a good sized family home in decent boroughs of London. The parties will have sufficient flexibility to chose where to buy and where to buy in conjunction with decisions about how they chose to meet their income needs.

Income needs and standard of living – s.25(2)(b) and (c)

34. The parties **both** need an income fund for the rest of their lives, including in retirement. W is 55 next month. H is already 58.
35. The parties have been living off capital for many years. H's tax adviser made this crystal clear in his advice to H submitted to W as long ago as 8 March 2021, [2227]. All income was declared, taxed³ and then spent. The parties spent all

³ Save for Sphere Digital - \$300k pa paid offshore and tax free for two years

earned income (onshore and offshore) long before these proceedings started and have been diminishing their capital base ever since. Money was paid into Barclays, transferred to UBS and then drawn down. The UBS money ran out in 2022. W has seen all Barclays bank statements, share awards, vesting certificates, UBS statements and balances to date. This profligate spending does not reflect an income “need”.

36. H expressed concern about the family expenditure repeatedly over many years, including 2014 [2623 and 2624], 2015 [2625], 2018 [2626-2628], 2019 [2629-2630, 2634], 2020 [2639, 2640]. This continued during these proceedings, [2087] is just one example.
37. This is relevant for two reasons:
 - a. It is not consistent with a man hiding millions of pounds;
 - b. The expenditure which W relies upon as illustrative of her “needs” was never affordable, reasonable, or needed.
38. H has asserted a reasonable budget for each of them would be about £12,000 pm or £144,000 pa, [513].
39. This court considered a reasonable MPS budget on 30 June 2023 to be £11,762 per month or £141,144 pa [498].
40. Throughout the years preceding the marriage, H had been transferring to W a weekly allowance of £2,000 or £104,000 pa to meet the family expenditure.
41. W’s assertions in her s.25 statement that her expenditure is £610,776, which are not arithmetically correct, are neither reasonable nor needed. W does not need to maintain properties in Wyoming, Brooklyn, Manhattan (Upper East Side); W does not need to spend £45,000 pa on serviced apartments in Boston and London; nor does she need a housekeeper (where?). This is not affordable and never was affordable.
42. W may choose to spend her share of marital capital on a luxurious lifestyle, until there is nothing left, but she cannot ask the court to give her all the matrimonial capital to support such a lavish standard of living which is not and was never affordable.
43. The court has to take a realistic and broad view of both parties’ income needs.
44. H asks the court to find that the parties’ income needs are approximately £150,000 pa. It is possible that this sum might be higher in the next few years, and equally, lower in retirement. It is not uncommon for the courts to impose a broad 30% reduction on income needs in retirement⁴. £150,000 per annum (which is c.£288,000 gross per annum) as a flat rate is realistic, generous and affordable.

⁴ Juffali v Juffali [2016] EWHC 1684 at paragraph 79

45. A fund of £3m will provide a capitalised sum of maintenance on a Duxbury basis to provide W with £150,000 net pa for life.

Age of the parties and duration of marriage – s.25(2)(d)

46. W is rising 55 and H is 58. They have had a long marriage although unconventional. It is not disputed that the marriage in its legal definition, (an exclusive loving relationship with intimacy, living together, etc) came to an end in 2014, when W issued her first divorce petition. Both parties had extra marital relationships. They kept separate homes and had private lives. But the parties' continued to present to their daughters and the world as a couple, and H accepts that this court should not ignore the last six or seven years of their relationship.
47. They continued to share open discussions about their financial commitments and W was fully involved in all financial arrangements, [1073, 1193, 1198, 4320, 2095, 2338, 1433, 1467, 1037] with H actively seeking out W's opinion and approval. W asserts that during their partnership she was the "*family administrator*" and managed all the financial paperwork. This again contradicts W's assertions that H was busy squirrelling away a second balance sheet. W saw H's detailed tax returns every year (listing amongst other things the Topanga holding, [2698 and 2690]. W managed to persuade H to purchase a property in their joint names, exchanging detailed financial information to obtain the largest mortgage debt they had ever had. Contrary to all W's sworn assertions, this was not a relationship in which W was being controlled or bullied or where H was secretive about his finances.
48. However, the fact that the parties did live separately meant that they each expected a degree of privacy. W abused their friendly relations. She accepts that during 2020 she had sight of thousands of pages of H's personal and financial data. She does not deny accessing his devices. H asks the court to find that:
- a. During 2020, whilst pretending that the divorce was not proceeding, W routinely hacked H's confidential data secretly, knowing that she did not have passcodes or permission to do so;
 - b. W unlawfully held onto the thousands of pages generated from those devices to examine and analyse H's finances without his permission and in breach of the expectation of privacy and confidentiality; and
 - c. W set a trap for H – not disclosing the documents until after the Forms E were submitted and thereafter producing documents which she did not return in the Imerman exchange in April 2021, (see for instance the 2017 list of assets returned to H in 2022, [1387].

Physical or mental disability – s.25(2)(e)

49. Neither party is physically impaired to any degree that has ever been relevant to these proceedings. Both are obviously distressed by the proceedings.
50. The court should treat the letter from Gerald Libby in July 2022 with caution. It refers to a diagnosis of PTSD in Arizona in 2013 when W was being treated for substance abuse. There are no historical records, details of treatment and the letter and reports from W are clearly subjective and must be assumed to be self-serving and therefore, in isolation are not reliable. In addition, the claims that W has been subjected to coercive and controlling behaviour do not sit well with the letters produced by W in June 2020 [2168] and March 2021 [2172].
51. W's behaviour during these proceedings has been disruptive. She has shown a commitment to obeying only those directions that she approved, and ignoring the directions that *she* did not consider required her attention as ordered by the court. For those she was too busy pursuing her own agenda.
52. W has shown a steely determination to prosecute her beliefs at great cost; resulting in extending the length of the proceedings (and the emotional trauma for both parties) in the English Family Courts but also in the US and in potential criminal proceedings with the IRS. W is proud of this commitment and completely unbending. It has become plain that she will not be cautioned by her legal advisers, this court or common sense. This is dangerous.

Contributions – s.25(2)(f)

53. The parties have contributed equally but differently in the past, and their future contributions to their daughters should also be equal, albeit different.

Conduct – s.25(2)(g)

54. This is now a vexed issue for the court. H's list remains as set out in his Position Statement at the commencement of these proceedings:

<u>H's litigation conduct arguments / Add back claims</u>	
US costs order (Bank of Jackson Hole)	£104,800
US continuing litigation	?
Threats of further litigation / referral to IRS	?
Breach of confidentiality and involving third parties	?
Balancing of legal fees (difference on Forms H)	£913,000

Costs - Imerman documents	£25,000
Costs - ex parte application 06.09.23	£30,000
Existing costs orders	£17,410
Detach interest and fees	£168,806
Breaches of English court orders	?
EDF	£24,987
Hill Villa liabilities (reduced in evidence)	£5,000
Outpost liabilities (WY)	£23,835
Adjustment in MPS	£22,500
Loss of rental income (50% share)	£60,000
Loss on crypto currency (\$5.9m)	?

55. These arguments have been set out in that opening note. In addition:

- a. W clearly misled the court in the BOJH litigation about H's position in the UK proceedings, **[2183, (cf. 334 & 336) 2183, 2185]**;
- b. W is committed to continuing that useless and hopeless litigation;
- c. W is obsessed with the errors on the US LLC tax returns which H's advisers have repeatedly explained are auto fill errors which have no bearing on the parties' tax positions or other financial rights and responsibilities and are inconsistent with H's personal tax returns which are accurate;
- d. W appears unmoved by the fact that the action in the US which relates to issues being dealt with in these proceedings will have no benefit for her. Her litigation is of no merit and designed to cause mischief, mayhem, wasted costs and maximum aggravation for H. This is abusive and needs to be controlled.
- e. W continues to pursue third parties in this jurisdiction writing to Marlon Pinto and Coinbase directly, without the cover of her legal advisers even as these proceedings are being heard, (this is in addition to her record of threat to third parties; Mike Deeg **[1371-72]**, Bitwyre **[1367- 69]**, Tyfone **[2794]** and the Bank of Jackson Hole);
- f. She has been dishonest and manipulative in these proceedings, clearly lying about her plans to rent in London. W extended her Wyoming stay through to November 2023 in March 2023 – three months before telling the court that she needed to urgently rent in London **[2225]** and falsely asserted on her statement in September 2023 that she was still living in Hill Villa to avoid giving her US address, **[2701]**;

- g. W misled the court on 7 September 2023 about receiving legal advice, telling the court that she had not had any legal support for 12 months, [2702] when she had extended her Detach loan by £40,000 in March 2022 (and not told H) and had Burgess Mee advising her from October 2022 until 24 February 2023, [1839]. At the same time, she disobeyed numerous court orders to disclose the full extent of her litigation spending and her third party costs.
- h. Despite spending hundreds of thousands of pounds arguing about H's position on tax and pension, W did not make any submissions (in writing, in the witness box or through cross examination of H) about his advice on tax and pensions. This was extraordinary when it has been an ongoing block to negotiations throughout the proceedings.
- i. W ignored H's efforts to discuss issues and/or reach a settlement throughout the litigation [2929, 2672, 3202, 2789, 2927, 2932 and Supplementary Bundle SB13, SB16, SB28 and SB30]. It Is not possible to resolve issues or attempt settlement in a vacuum.
- j. W has issued (and continues to issue) vexatious applications (14 separate D11 applications) often within days of each other, repeatedly pursuing applications which the court has already disposed of;
- k. W has ignored repeated warnings from this court to conserve family funds and focus her search:

- **Judgment 5/7/2023- reported at DH v RH [2023] EWFC 111**

[50] *However, the court cannot but be concerned by the fact that the wife has to date already incurred some £1.3M in legal costs, including a substantial debt at a punitive rate of interest, as compared to the circa £600,000 costs incurred by the husband. Whilst this is not the occasion to make findings in relation to the wife's litigation conduct, and I make clear I do not do so, it would appear that a significant part of those costs have been incurred in the wife's desire to prove her contention that the husband is hiding assets, including holdings in cryptocurrency. Notwithstanding this, and whilst some of the husbands actions will have fed into the wife's concerns, the wife has to date failed to itemise with particularity any deficiencies in disclosure, even though directed to do so by the court.*

[53] *Having reviewed the schedules, and having regard to the directions that remain outstanding from 17 November 2022, including the finalisation of the tax and pension positions, the work outlined in the estimate to for the work up to PTR appears broadly reasonable. In particular, it does not contain provision for further investigation of the question of undisclosed assets. I consider that to be the correct approach. An award under an LSPO made a significant way through the proceedings is not a licence to start again with respect to case management or otherwise to fundamentally change the established shape of the case. As I have noted, after some 30 months of litigation the wife has not provided a schedule of alleged non-disclosure of assets notwithstanding the extensive costs expended by her. In such circumstances, I am satisfied that it would not be appropriate to authorise any further costs to be expended on that question, save those required to*

facilitate the meetings required to finalise the current joint expert report, to take legal advice in respect of the conclusions of that report (as already provided for in the estimate of costs) and to give instruction on it.

[63] As noted above, I am concerned in this case to ensure that, in circumstances where the wife has spent in excess of £1.3M to date, that the funds provided under the auspices of an LSPO are deployed by her responsibly moving forward.

[76] Finally, I cannot leave this case without again observing that the parties have now spent the best part of £2M⁵ in legal costs on proceedings that have been ongoing now for two and a half years. Despite this, the parties are no closer to reaching an agreement on the issues between them and, at the same time, have failed to advance the proceedings to final hearing in the manner directed by the court. Unless the parties now concentrate on, preferably, negotiating a settlement of these proceedings or, in any event, preparing this matter for trial, they risk the further dilapidation of the assets they have carefully assembled during the course of this long marriage, to the ultimate detriment of both themselves and, most importantly, to the detriment of their children.

- **Judgment 28/11/2023- DH v RH [2023] EWFC 210**

[1] Once again, despite the best efforts of the court to progress the matter to final hearing, the fundamental tasks required to achieve that end remain undone, notwithstanding the direction of the court

[12] At the hearing on 7 September 2023, the court varied the LSPO to permit the payment of funds to the wife's new solicitors. The court declined the application for a freezing order in respect to cryptocurrency assets but granted the order in respect of the policy. For a second time, the court re-timetable the case management directions. In circumstances where none of the cardinal case management directions with respect to the completion of expert report, updating valuations of US properties, agreement on tax issues or the provision of a jointly instructed tax report, agreement on pension issues or the provision of a jointly instructed pension tax report, updating disclosure and witness statements had been complied with, and for the reasons set out in my judgement of that date, the court was compelled to vacate the final hearing listed in October 2023 and re-list the final hearing in February 2024. At this hearing it was apparent that, notwithstanding the court making an LPSO in favour of the wife in June 2023, and thereafter varying the order to permit funds to be paid to her new solicitors in September 2023, such of those directions that were due to have been completed by the date of this hearing had still not been complied with. This in the context of the wife having now received £190,827 under the LSPO.

[47] Finally, whilst the wife suggests again at this hearing that the husband has failed to disclose significant assets held in cryptocurrency and is not being frank regarding his current employment situation, and by implication that he has undisclosed assets and income available to him to meet his obligations under the LSPO and MPS orders, those allegations remain to be definitively particularised and determined.

⁵ This has now spiralled to almost £3m.

56. The absence at the start of the trial of a section 25 statement or open offer was a dereliction of basic trial preparation. This was grossly unfair to H. The section 25 statement when filed during the trial, styled as a document “self-penned” by W, was in breach of all Efficient Conduct guidance, included numerous inadmissible documents. Why was W self-penning this statement when she had legal funding specifically to prepare for this trial?
57. W’s conduct throughout these proceedings has illustrated that she remains unable to conduct herself reasonably even with invested and highly skilled legal advisers preferring to conduct herself in an irrational and unrestrained manner. She has wasted over a day of court time in giving fresh instructions to her legal team. This is unreasonable and not fair to H. One can only imagine what it has been like for H trying to manage that behaviour for extended periods unrepresented.

H's conduct

58. Has H’s late disclosure of the Coinbase/Topanga IPO been the root cause of all the other conduct issues? No.
- H had only one contact with Topanga/Coinbase between 2015 and 2021, [1377]
 - H and his associate Mike Deeg were worried about the legitimacy of the investment [1381, 1377, 1384]
 - A complete search of H’s computer produced no other substantive documentation;
 - H told his solicitor about the Coinbase IPO on 9 April 2021 and believed the proper time for disclosure was with updating disclosure;
 - In rebuttal to a question posed to him by BMKC, H explained that his solicitor did recall the conversation about Topanga/Coinbase IPO but did not recall the quantum discussed;
 - The fact that H has not waived privilege over the whole HFC file is his right and cannot be used against him to draw any adverse inference.
 - H *volunteered* the Coinbase windfall in July 2021.
 - W knew about the investment in May 2017 [1387], 2018 [1389, 1392] 2019 [2094] and 2021 [1397]
 - W’s solicitors delayed the updating disclosure; proposing on 6 and 9 July 2021 that they would set a date for updating which they did not do until 16 July. It was on this date that H did exchange the update and *volunteered* the Coinbase listing.
 - If W did not know about Coinbase/Topanga as she alleges, why would H have disclosed the listing and the new value of \$5m on 16 July? On W’s case, she would never have known, and he could have kept the full amount;

- k. H explained in evidence that on 13 July 2021, he refused an offer to give W all the properties in exchange for him keeping all the investments. If he dishonestly thought he could retain the Coinbase shares and his other investments, he would have accepted this offer, but he rejected it.

59. H complied with every court direction made. These often included extreme searches and third party interventions to try and quell W's incessant enquiries.

60. H has provided disclosure going back throughout the marriage. This is extreme. It constitutes the "rummage through the attic" that Coleridge J and successive judges since have warned against. The more he discloses; the more W wants to ask.

61. At the interim hearings, H has not had an opportunity to explain properly the difficult litigation conduct he has faced from W. Now that the court has had an opportunity to examine the proportionate and compliant way in which H has conducted the litigation, it should now be clear that he had an impossible task to manage these proceedings (often unrepresented) in the face of W's litigation conduct.

62. H did not apply financial pressure to W. On the contrary, as his bank analysis shows, W received extensive funding and significantly more than H, [2858].

63. The real financial pressure was being exerted by W in her spending on unrestrained, unfocused and unhelpful litigation expenses:

Order	Ref:	W Incurred	W Paid	W Projected	H Incurred	H Paid	H Projected	Total
07/04/2021	23	£60,433	£25,904	£133,506	£71,701	£71,701	£54,000	£132,134
16/08/2021	32	£169,115		£318,666	£179,586		£145,000	£348,701
16/05/2022	125	£393,451	£284,898	£232,038	£248,294	£247,294	£145,000	£641,745
20/06/2022	255	£586,902	£484,834	£239,973				
13/07/2022	3147	£738,980	£586,320					
17/11/2022	3151	£1,122,845	£838,485					
09/06/2023	3155	£1,369,365	£833,946					
01/11/2023	590	£1,519,976		£458,292	£844,129		£299,950	£2,364,105
16/01/2024	636	£1,794,092			£907,026			£2,701,118
21/2/24		£1,900,000			£987,000			£2,887,000

Distribution

64. In *SS v NS* Mostyn J said this:

32. *Assuming that the marital choices have given rise to **hard needs** which have to be met by a spousal maintenance order, the next questions that arise are: how much and for how long?*

33. In its recent report^[4] the Law Commission set out its "policy" on needs but was careful to say that the policy was in fact no more than "clarification" rather than a proposed change in the law (see para 3.73). I consider that the report sets out a useful summary of the guiding principles. The report recommended at paras 3.88 and 3.89 that the Family Justice Council should prepare guidance as to the meaning of financial needs, which should be addressed primarily to the courts, but which should be produced additionally in a plain English format and made widely available to the public. As a result the "Matrimonial Needs Working Group" chaired by Roberts J has been convened and it expects to publish the guidance in the first half of 2015.

34. As for "how much" the Commissioners wrote at para 3.96:

*"Exactly how, and at what level, needs will be met **will depend on the resources available and, usually, the marital standard of living. Replicating the marital standard of living in two homes, after divorce, will be rare: most parties will not be able, in the short to medium term, to live at the standard they enjoyed during the marriage.** That said, their former standard of living will be relevant in so far as any reduction in standard of living as a consequence of the financial settlement made on divorce **should not fall disproportionately on one party.** In addition, the transition to independence, if possible, may mean that **one party is not entitled to live for the rest of the parties' joint lifetimes at the marital standard of living, unless he or she can afford to do so from his or her own resources.**"*

35. I would emphasise the final sentence. **It is a mistake to regard the marital standard of living as the lodestar. As time passes how the parties lived in the marriage becomes increasingly irrelevant. And too much emphasis on it imperils the prospects of eventual independence.**

46. Pulling the threads together it seems to me that the relevant principles in play on an application for spousal maintenance are as follows:

i) A spousal maintenance award is properly made where the evidence shows that choices made during the marriage have generated **hard future needs** on the part of the claimant. Here the duration of the marriage and the presence of children are pivotal factors.

ii) An award should only be made by reference to needs, save in a most exceptional case where it can be said that the sharing or compensation principle applies.

iii) Where the needs in question are not causally connected to the marriage the award should generally be aimed at alleviating significant hardship.

iv) *In every case the court must consider a termination of spousal maintenance with a transition to independence as soon as it is just and reasonable. A term should be considered unless the payee would be unable to adjust without undue hardship to the ending of payments. **A degree of (not undue) hardship in making the transition to independence is acceptable.***

v) *If the choice between an extendable term and a joint lives order is finely balanced the statutory steer should militate in favour of the former.*

vi) ***The marital standard of living is relevant to the quantum of spousal maintenance but is not decisive. That standard should be carefully weighed against the desired objective of eventual independence.***

vii) *The essential task of the judge is not merely to examine the individual items in the claimant's income budget but also to **stand back and to look at the global total and to ask if it represents a fair proportion of the respondent's available income that should go to the support of the claimant.***

viii) *Where the respondent's **income** comprises a base salary and a discretionary bonus the claimant's award may be equivalently partitioned, with needs of strict necessity being met from the base salary and additional, discretionary, items being met from the bonus on a capped percentage basis.*

65. In Waggott v Waggott Moylan LJ said:

*[129] Secondly, (ii) How should the court assess whether an award determined by application of the sharing principle meets the party's needs? More specifically to the arguments advanced in this case, **to what extent is it fair for the wife to be required to use her sharing award to meet her income needs when the husband will meet his needs from earned income?***

[130] I reject Mr Turner's more extreme argument that the wife's capital, apart from her housing need, should be preserved and should not be used in any way to meet her income needs. This again would conflict with the clean break principle to such a significant extent as to undermine the statutory 'steer' because, absent other resources, the applicant spouse would always have a claim for an additional award to meet his or her income needs.

*[131] In my view it is clear from Miller and Charman alone that, as a matter of principle, **the court applies the need principle when determining whether the sharing award is sufficient to meet that party's future needs.** To repeat what I have said above (see para [108]), there must be a means of determining whether, and if so how, the sharing award does or does not meet the applicant's needs. There is no suggestion that the question of needs for these purposes is to be determined by reference to a different need principle, or more broadly, by means of a different approach. Indeed, any other approach would be inconsistent with the observations made by both Lord Nicholls and Baroness Hale, that there is no*

rule about where the court starts the exercise, and inconsistent with Charman (at para [73]) in which the sufficiency of the award by reference to the sharing principle is directly assessed by the award 'suggested by the needs principle'.

*[132] This does not mean that the manner in which the need principle is applied to the sharing award is inflexible, no more that the application of the need principle is itself inflexible. The cases referred to above (see para [115]) demonstrate the latter point. Further, as Wilson LJ observed in Jones (at para [27]), **an earning capacity can be 'relevant to a fair distribution of the assets pursuant to the sharing principle'. It can be taken into account when the court is deciding whether the capital should be amortised in full, in part or not at all and when deciding what assumed rate of return to apply.** However, to repeat what Wilson LJ said in Jones:*

*'Even if, however, an earning capacity may also sometimes be relevant to a fair distribution of the assets pursuant to the sharing principle, it does not follow that **the earning capacity should itself be treated as one of those assets, still less that an attempt should be made to capitalise it.**'*

[133] Further, even if in Vaughan Wilson LJ was not including a sharing award within the scope of capital received by a wife 'otherwise than as a needs-based capital payment' (at para [42]), if, in some circumstances, a wife can be expected to meet her income needs out of inherited capital, it is difficult to see why the same should not apply to a wife's share of marital wealth.

*[134] I would also agree with his observation that it is 'impossible to be categorical about what the law expects in this area'. Given the range of options from full amortisation to an assumed rate of return and the range of potential circumstances (including all the s 25 factors) it is difficult to see how a definitive outcome can, in fairness, be mandated for all cases. **In some cases, it will clearly be fair for that part of the sharing award available to meet income needs to be fully amortised, for example, because neither party has any resources other than those being shared. In other cases, the court might take the view that the applicant should have a greater level of security than that provided by an amortised sum because of the respondent's earnings and apply only an assumed rate of return.** To repeat, when determining this issue, the court will need to have regard to all the relevant circumstances, to the clean break principle and, as appropriate, the issue of undue hardship.*

66. The court should make an order in the terms of H's net effect schedule. That order should provide:

- a. 3100 West Arrowhead to be transferred to H or sold and the net proceeds provided to H (he would prefer the former);
- b. H will take on the BOJH full mortgage liability. If he is not able to release W from her covenants within 6 months, the property shall be sold;
- c. W retains 3093 West Arrowhead (mortgage free with lower latent tax);
- d. Each party will take over the tax liability assigned to each property;
- e. H will retain the rental units in Frost Street together with all the tax;
- f. The joint accounts will be closed and the proceeds shared equally;
- g. H's private equity investments will be shared in specie;

- h. The crypto currency will be shared in specie;
- i. W shall return H's jewellery and the pawn ticket to enable him to recover the jewellery;
- j. Chattels shall be shared equally between the parties (to be divided by list with each party taking alternate choices);
- k. £345,750 shall be set aside from the pension funds to hold in escrow to fund tax on Coinbase. If any of the fund is not reclaimed, the fund will be divided equally by the parties after the four year limitation period expires;
- l. £700,000 shall be set aside into an account to fund the children's tertiary education. Both parties will need to consent for withdrawals;
- m. £150,000 will be retained by H to provide him with a war chest to defend proceedings brought or pursued by W in respect of issues litigated in these proceedings for 7 years (statute of limitations) unless W signs a full undertaking agreeing to use her best endeavours to withdraw or terminate any litigation or action on the same terms)
- n. £233,848 will be drawn from the pension funds to pay tax on the pension in Portugal (allowing the balance to be drawn tax free by H and paid as provided for in paragraphs (j) to (l);
- o. The remaining pensions (in Malta, Jersey and US) will be shared equally;
- p. The parties will retain all other assets and liabilities in their own hands;
- q. Clean break.

Alexis Campbell KC

Sassa-Ann Amaouche

28 February 2024

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Net effect schedule		Adjust	H	W	Notes
Inherited properties (non-mat - ignore)	£246,387	-£246,387	N/A		Non-matrimonial
3100 West Arrowhead	£5,936,000				
Costs of sale	-£356,160				
100% of the mortgage	-£1,160,000				
CGT & taxes	-£1,309,455				
	£3,110,385		£3,110,385		Transfer or sale
3093 West Arrowhead	£5,912,000				
Costs of sale	-£354,720				
CGT & taxes	-£595,084				
	£4,962,196			£4,962,196	Transfer to W
Frost Street x 4 units	£2,742,000 1F				
Costs of sale	-£191,940 2R				
US CGT	-£375,304 3R				
NY Transfer tax	-£34,428 4F				
NY tax	-£148,295				
	£1,992,033		£1,992,033		Transfer to H
Total property	£10,311,001				
Joint accounts	£34,744		£17,372	£17,372	Divide equally
Personal savings	£186,789		£137,990	£48,799	Each retain own
Total savings	£221,533				
Private equity investments	£499,822		£249,911	£249,911	Share in specie
Fidelity	£26,768			£26,768	W retains
Total investments	£526,590				
EMVirya Ltd	£46,009		£46,009		H retains
EMVirya Trading Ltd	£25,000		£25,000		H retains
NourZa (non mat - ignore)	£100,964	-£100,964			Non-matrimonial
Oxus (non mat - ignore)	£0				Non-matrimonial
Total business	£171,973				
H's watches formerly in W's possession	£0			£0	W transfers Pawn voucher and add back below
Range Rover	£10,000			£10,000	W retains balance of car fund
Total chattels	£10,000				
Crypto	£53,366		£26,683	£26,683	Shared in specie
Loans	£64,000		£64,000		H retains
Rent deposit	£2,778		£2,778		H retains
IRS tax refund	£45,242			£45,242	W retains
Total other	£165,385				
H	-£59,899		-£59,899		
W's outstanding professional fees	-£1,483,425	£913,000		-£570,425	H has incurred £987k - W has incurred £1.9m - difference £913,000
EDF	-£24,987			-£24,987	Additional fees
W's credit cards	-£19,209			-£19,209	
Hill Villa and Outpost	-£36,171			-£36,171	
Total liabilities	-£1,623,691				
Malta Pension	£2,338,477				
Fund to be held in escrow for CGT Coinbase		-£345,750			Preserve for tax four years from 2021
School fees fund (notional division)		-£700,000			Education fund
10% tax on drawdown		-£233,848			10% tax leaves tax free liquid capital to distribute
Equalising the remaining Malta pension			£529,440	£529,440	Parties get tax free cash
Equalising US pensions	£647,747		£323,873	£323,873	Parties share in US pension
Total pensions	£2,986,224				
NET EFFECT	£12,769,015	-£713,949	£6,465,574	£5,589,492	£12,055,066
			54%	46%	
H's Litigation cost argument					
Total professional fees unpaid				£1,428,499	
Matching sum for H's legal fees				-£570,425	
Balance unpaid fees	£858,074			£858,074	W should not be given credit for this
H's Conduct Add-Back Arguments					
US costs order (Bank of Jackson Hole)	£104,800			£104,800	Add back
Detach interest and fees	£0			£0	£168,806 included above in unpaid fees
H's pawned jewellery proceeds	£50,000			£50,000	W has spent and must be added back
EDF	£24,987			£24,987	Add back
Hill Villa liabilities	£12,336			£12,336	Add back
Outpost liabilities (WY)	£23,835			£23,835	Add back
Adjustment in MPS	£22,500			£22,500	Add back
Loss of rental income (50% share)	£60,000			£60,000	Add back
Costs - Imerman documents	£25,000			£25,000	Add back
Costs - ex parte application 06.09.23	£30,000			£30,000	Add back
Existing court orders	£17,410			£17,410	Add back
Further adjustment due to W's conduct - to be determined by the Court	?				
Asset division (excluding non-mat) prior to	£13,284,008		£6,465,574	£6,818,434	£13,284,008
			48.7%	51.3%	
Non-matrimonial assets - property	£246,387		£246,387		
Non-matrimonial assets - business	£100,964		£100,964		
Overall division (all assets including non-m	£13,631,359		£6,812,926	£6,818,434	£13,631,360
			50.0%	50.0%	